



13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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RBA hawkish in near term, while cuts brought forward to 2027

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By Luci Ellis

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12:15 July 10 2026

Share

RBA remains hawkish and our conviction regarding a rate hike in August has increased. Follow-up hike is less certain but still our base case, just. Moderation in inflation outlook in 2027 brings forward start of cutting phase to August 2027.



- **Our conviction that the RBA will increase the cash rate in August has increased.** Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted

reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.

- Later today we will publish our July *Market Outlook* with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.
- **We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined.** Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.
- **Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously.** We still think the RBA will be "once bitten, twice shy," from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking

rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted [back in May](#), it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any ‘re-escalation’ premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran’s coastline to further reduce Iran’s capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh’s testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (–0.2%) was weighed down by German stocks, while London’s FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week’s losses, while the CSI 300 bucked the wider trend with a –2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today’s key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister’s announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell –0.4% and –0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell –1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down –0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac’s conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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Australia's Trade in Goods Account, May

#trade

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By Mantas Vanagas

Senior Economist, Westpac

15:30 July 02 2026

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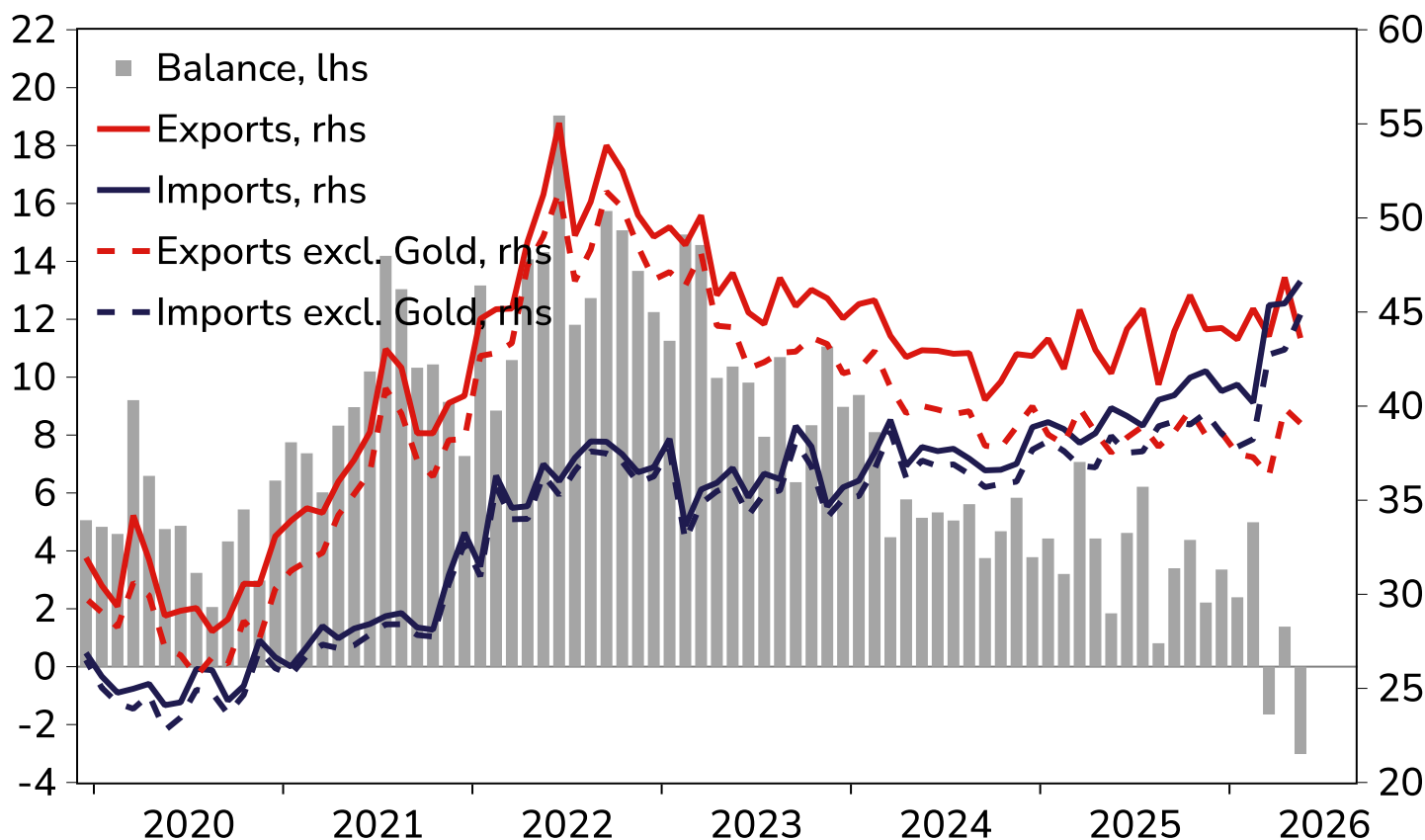
Trade data remained volatile amid sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Trade balance: -\$3.0bn. Export values: -6.9%mt. Import values: 2.6%mt.



The latest trade data surprised to the downside, with the headline goods trade balance falling back below zero in May, just one month after moving back into surplus. The \$3.0bn deficit was the largest since the end of 2015. The detail suggests that several factors on both the export and import sides are pulling the balance in different directions. These include sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Most of these influences are likely to persist for some time – in some cases into the medium term – suggesting that trade data are likely to remain volatile.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

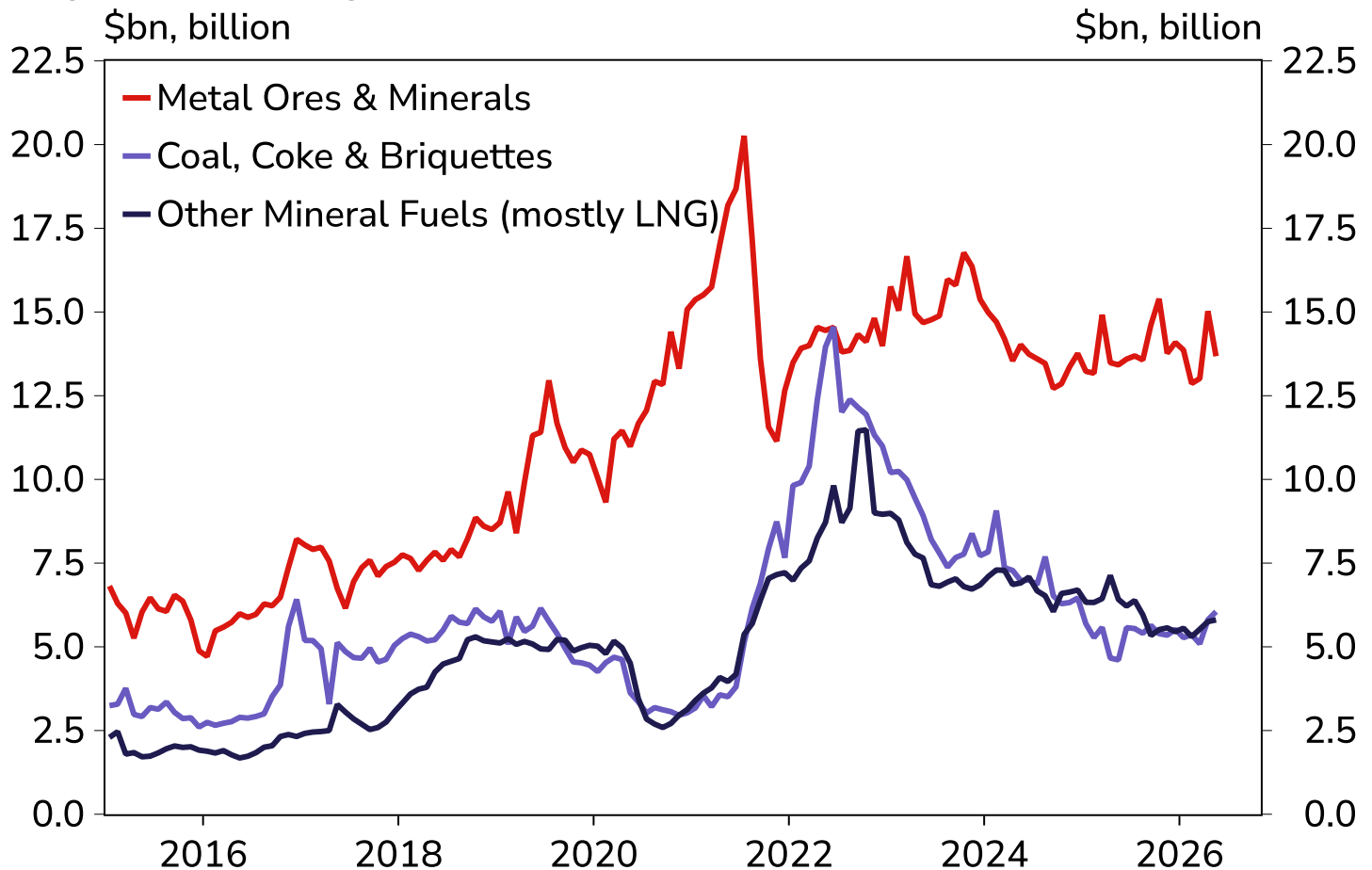
Export earnings fell 6.9%*mt* in May, one of the weakest results in recent months. This followed a 7.2%*mt* increase in April and taken together over these two months exports remained 2.5% above their March quarter levels.

- The monthly decline was largely driven by non-monetary gold, which fell 35%*mt* and accounted for around three-quarters the total weakening in exports. Gold prices have been declining from their peak in early March, and the trend tilted further down in June, signalling a further downward adjustment in exports values going forward.
- Iron ore exports declined 9.0%*mt*. However, this largely unwound a 15% increase in April, leaving export levels close to their average over the previous twelve months. ABS detail indicates that both

volumes and prices contributed to the decline. With market prices having eased further recently, this drag is likely to persist into June.

- Among other major categories, coal and LNG exports rose by 4.2%*mt*h and 0.9%, respectively. Given strong increases in preceding months, this points to a solid quarterly lift in the June quarter. Rural exports also increased, supported by higher meat exports.

Key Commodity Exports



Source: ABS, Macrobond, Westpac Economics

Imports

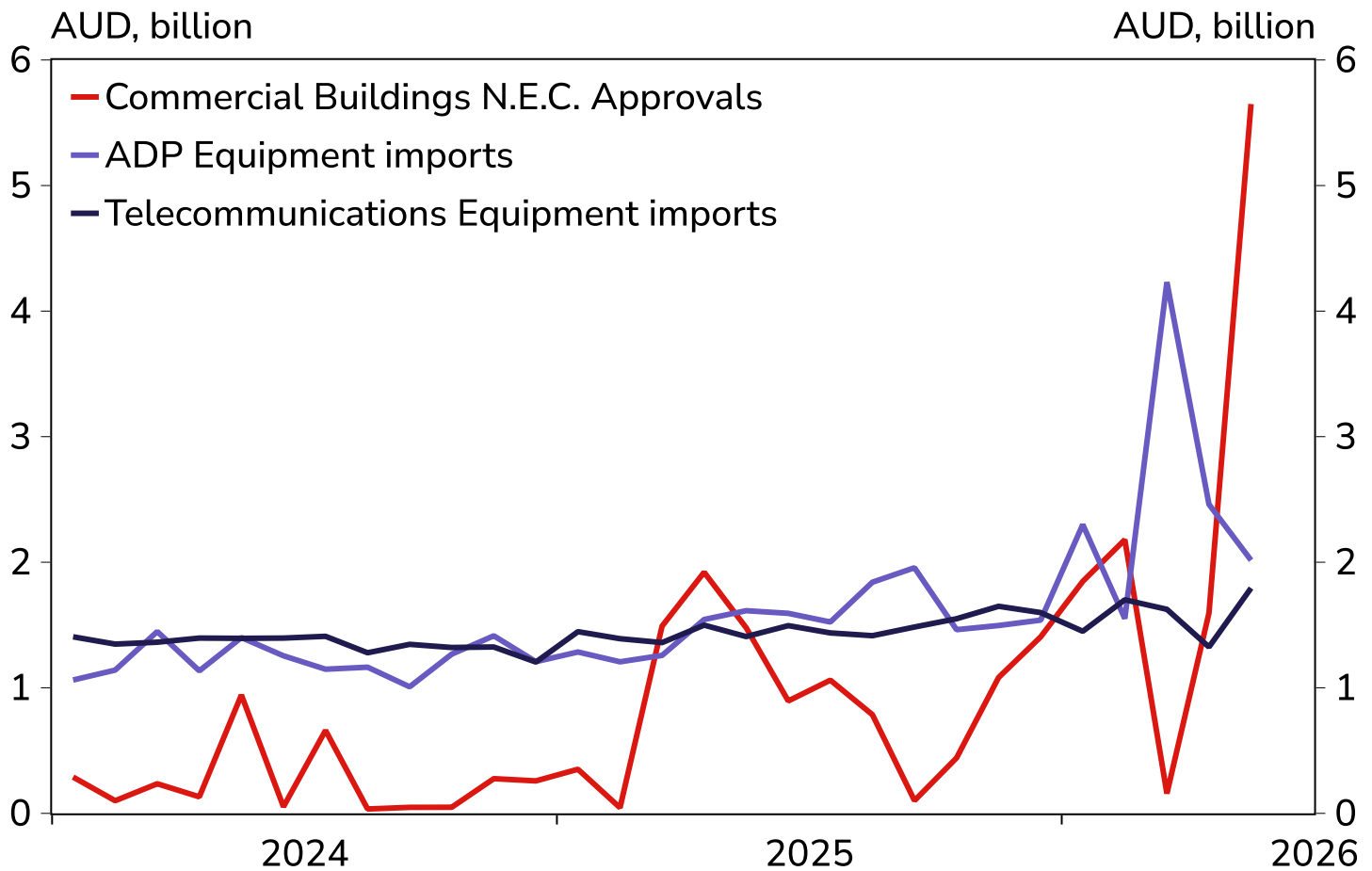
Import values rose 2.6%*mt*h. Following an almost 13% increase in March and little change in April, this suggests that import growth in the June quarter has been strong to date.

- As on the export side, non-monetary gold imports fell sharply, down almost 28%*mt*h. Excluding gold, imports growth was a particularly strong 4.3%*mt*h.
- Fuel imports, which had doubled over the previous two months, were broadly unchanged. ABS estimates suggest that prices declined in May, with this effect likely to intensify, implying that fuel import values may begin to ease.
- The March quarter national accounts highlighted a strong increase in data centre investment. As many fit-out components are imported, the trade data provide a partial guide to this activity. Automated Data Processing (ADP) imports fell almost 20%*mt*h in May, marking a second consecutive steep decline. However, following the surge in March – when values nearly tripled –

levels remain above historical norms. Telecommunications equipment, which is also most likely used in data centres, rose 35% after softer outcomes in the prior two months.

- Civil aircraft imports – a volatile component – rose by more than 150%, contributing to an 8.2%^{mnth} increase in capital goods imports.
- Consumption goods imports rose at a very similar pace, with transport equipment imports the standout category, increasing by almost 25%^{mnth}. This category appears to be gathering momentum and is likely to reflect higher imports of EVs, as consumers respond to elevated fuel prices and a broader range of EVs becomes available in the domestic market.

Data centre equipment imports and building approvals



Source: ABS, Macrobond, Westpac Economics

Looking ahead

Outcomes for both exports and imports in coming months are likely to be influenced by the dynamics in key commodity markets. With several key prices having declined recently, softer results in major trade categories – including commodity exports and fuel imports – appear likely in June.

The headline trade balance will also be influenced by the evolution of data centre investment. Our previous analysis has highlighted the significant expansion potential in this sector and its broader economic implications. However, the latest trade data illustrate that this expansion is likely to proceed unevenly, with imports associated with the build-out remaining lumpy. Importantly, capital goods imports associated with data centre fit-outs provide only a partial view of the underlying activity. Construction

activity, which relies more heavily on domestic inputs and labour, represents another major component of the build-out. The strength of this activity was reflected in the [non-residential building approvals data](#) released yesterday, which showed a substantial increase over recent months.

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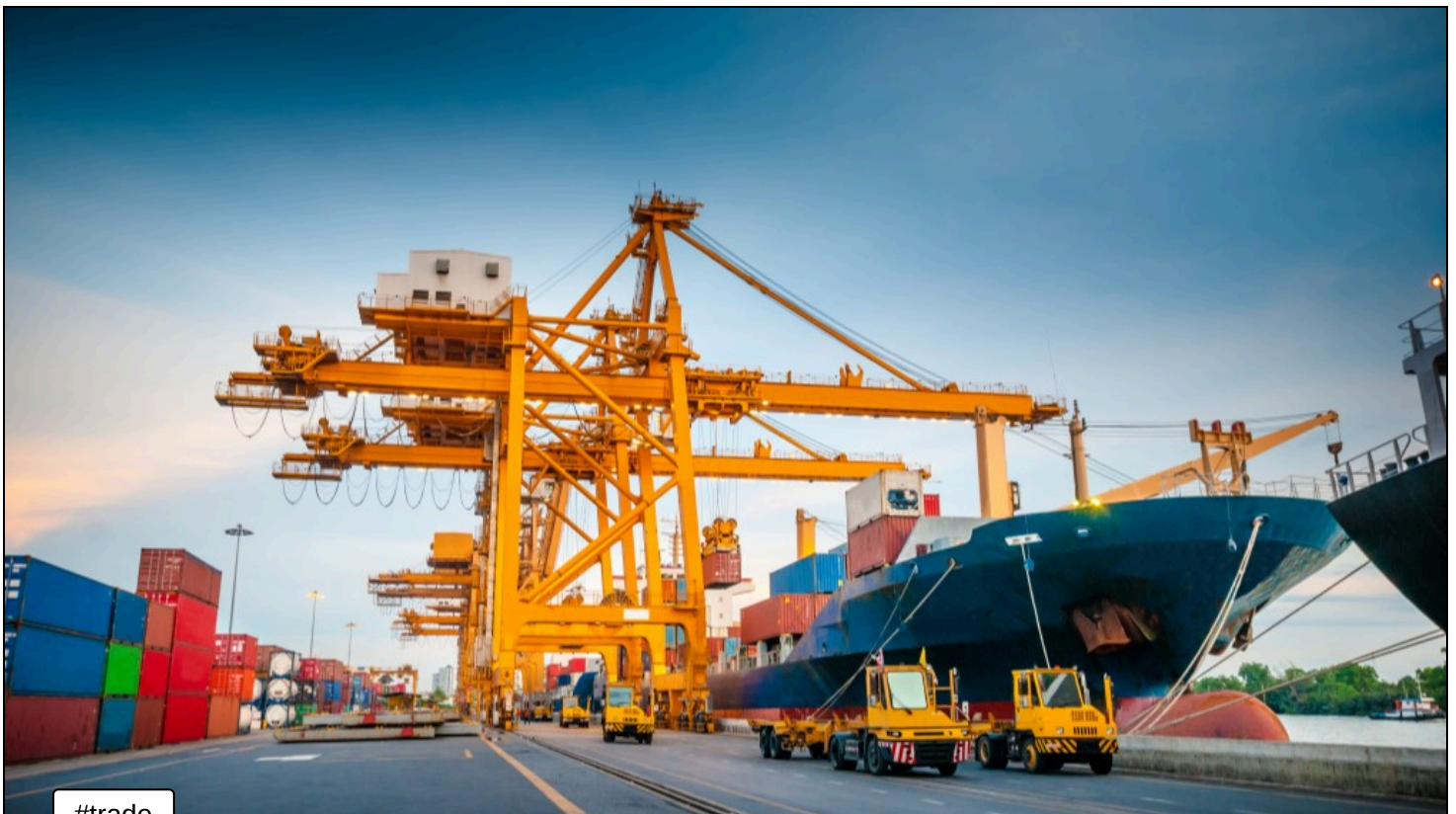


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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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Cliff Notes: testing conditions

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

09:51 July 10 2026

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Key insights from the week that was.



Amid a sparse local data calendar, a [speech](#) from RBA Assistant Governor (Economic) Sarah Hunter was scrutinised but had little market impact. The speech focused on supply-side shocks, such as the Middle East conflict, and the conundrum it presents for dual-mandated central banks like the RBA.

Assistant Governor Hunter reiterated the RBA's perspective that these shocks are harder to 'look

through' if economic capacity is already tight when the shock occurs, firms can readily pass through costs and/or inflation expectations de-anchor. While the latter is more of a risk than a reality at present, the RBA's take on recent data suggests concern over capacity and pass-through is warranted, particularly in the construction sector. This is why the Monetary Policy Board telegraphed in its June policy decision that rate hikes remain on the table despite their decision to pause at that meeting following three successive hikes. The future scale and pace of tightening will depend on how the risks around each of these factors evolves in coming months. The upcoming Q2 CPI will prove critical in understanding the best course.

In New Zealand, the RBNZ delivered a 25bp increase at their July meeting, taking the cash rate (OCR) to 2.50%. A key argument for the hike was concern that financial conditions would have eased further if the OCR was left unchanged. The MPC seems to be comfortable with an end-2026 level for the OCR circa 2.75%-3.00% – broadly in line with the May forecasts. Our New Zealand economics team expects follow-up 25bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. That means the peak OCR of 4.00% will now be reached in September 2027 instead of December.

Across in the US, the minutes of the June FOMC meeting showed participants felt a high degree of uncertainty over the outlook and wanted to consider a broad range of incoming information over successive months before determining if policy needs to be adjusted. Remaining on hold and removing previous forward guidance which favoured additional easing from the statement were consensus opinions.

On the balance of risks, the discussion amongst members points to a majority view that price risks had risen and labour market uncertainties receded since April. However, following June's decision, energy prices jolted lower and nonfarm payrolls growth moderated again. The disconnect between payrolls and household survey employment also continues to grow, the latter in outright decline. Growth in consumer demand is also materially below trend and looks set to remain soft, limiting the ability of firms to pass through cost increases.

Still, price risks remain. Midweek, President Trump stated he believed the ceasefire with Iran was "over" but did not stop negotiators from continuing to engage. This followed strikes on around 80 Iranian military targets by the US in response to 3 ships being hit by projectiles in the Strait. Another 90 sites were hit in a second day of strikes, and Iran retaliated against US military assets in the region on both occasions.

President Trump has made clear he intends to order additional strikes in scale every time Iran threatens shipping on the Omani side of the Strait, which Iran has done to force shipping through the lanes it controls. A renewed blockade of Iranian cargo was also threatened by President Trump, with a view to increasing domestic pressure and restricting Iran's ability to sell oil into global markets. However, President Trump also felt this escalation would prove short lived. Brent oil rose close to USD81 initially but has since eased back to around USD76. This compares to a low of USD71 early in the week.

Data received in the US and elsewhere in the northern hemisphere this week was secondary in

significance and broadly in line with recent trends. Most notable was the ISM services index which reported a deterioration in new orders but also a pairing of input price pressures and improvement in employment, albeit for the latter only to near the 20-year average after three successive contractionary readings.

China's headline and core inflation rates meanwhile stabilised around 1.0%yr in June as producer price inflation edged up to 4.1%yr. Weak domestic demand continues to limit Chinese firms' ability to pass through higher production costs, which have primarily been driven by energy prices. Excess capacity and cautious consumers are likely to restrict consumer inflation in the absence of targeted (and effective) fiscal support.

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Construction rebalancing keeps the RBA on alert

#australia

#construction

#gdp



By Pat Bustamante

Senior Economist, Westpac

15:22 July 08 2026

 Share

Infrastructure is fading, but housing and data centres are keeping capacity tight and the RBA on alert.

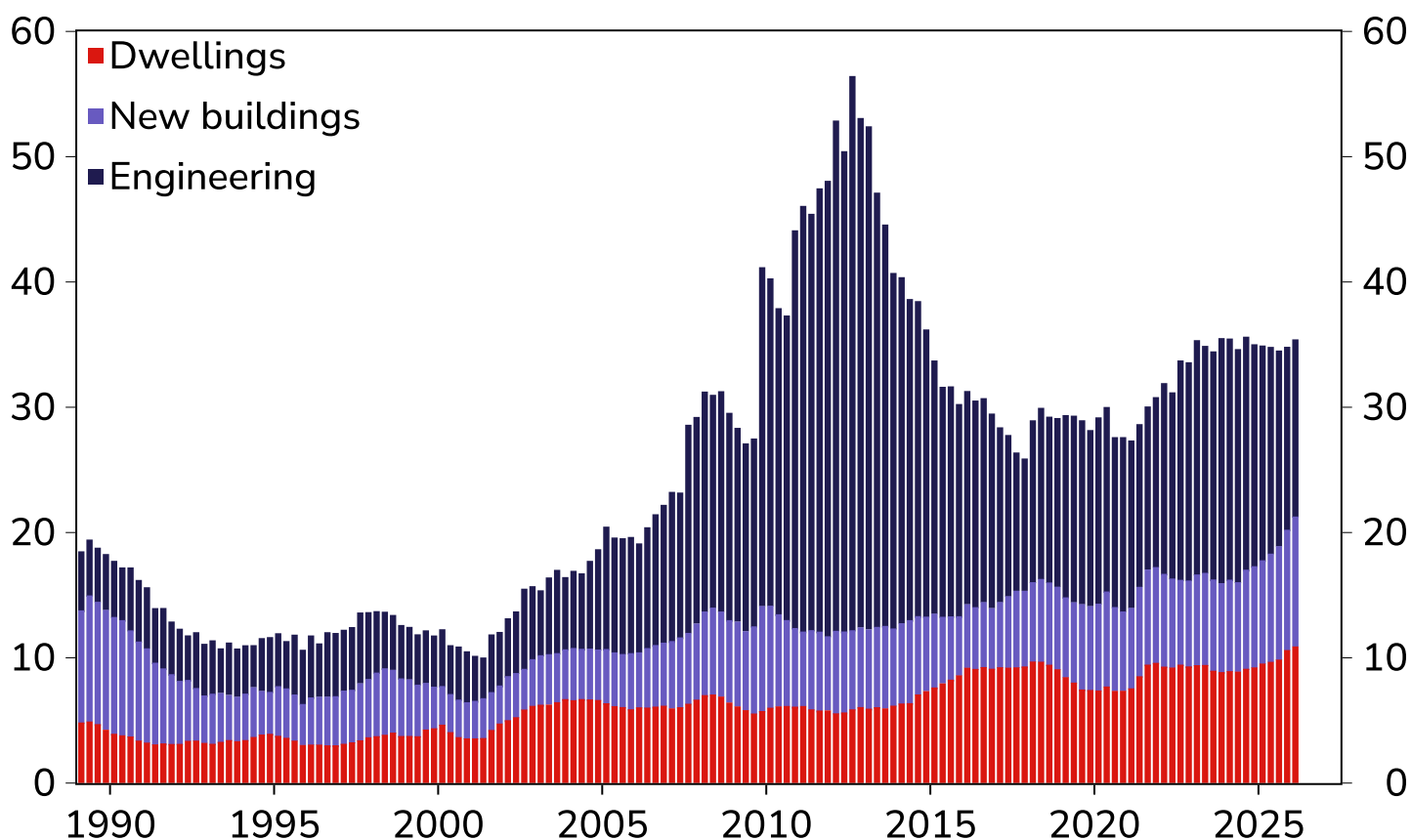


- Construction activity is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

- The **public infrastructure pipeline** is shrinking rapidly, especially in NSW and Victoria. Private engineering work has been more resilient but is starting to soften as well. Electricity-related projects across both the public and private sectors have declined in recent quarters, likely reflecting grid capacity constraints and delays affecting several large-scale renewable energy developments in NSW.
- **Residential building** remains an important source of support. The dwelling pipeline is still elevated, despite a fall in private commencements in Q1. This should sustain activity in the near term. However, risks remain with interest rate rises and established markets moving into a downturn. Higher fuel and related costs are also likely to squeeze builders' margins and thus activity, though not as much as in the post-COVID period, when fixed-price contracts were more common. Against this, there have been a range of state and Federal government measures aimed at boosting new building in recent years.
- The standout positive story is **non-residential building**. The work yet to be done pipeline has reached a record high, driven by an unprecedented wave of data centre investment concentrated in NSW and Victoria. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP – and we know there is further upside due to a big spike in data centre approvals in April and May ([see here](#)) and the record level of investment we expect over coming years ([see here](#)). Major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity, with recent state budgets, particularly in NSW pointing to further strength in the year ahead
- **The bottom line:** as infrastructure work fades, building construction is stepping up led by non-residential activity. This shift should keep the construction sector operating at high utilisation rates. If growth in building activity outpaces the decline in infrastructure, capacity pressures could even intensify, placing renewed upward pressure on construction costs and prices. This rebalancing reinforces our view that domestic inflation pressures will linger for a while yet, and the RBA may not be finished with its tightening cycle.

Construction pipeline

% share of the economy, work yet to be done



Source: ABS, Macrobond, Westpac Economics

The ABS's Engineering Construction (released last week) and Building Activity (released today) publications provide estimates of the construction pipeline and the value of work yet to be done on projects that have already commenced. As such, they offer an important leading indicator of near-term construction activity. The data complements, and ultimately feeds into, the National Accounts estimates of engineering construction, dwelling investment, non-dwelling construction and public infrastructure spending.

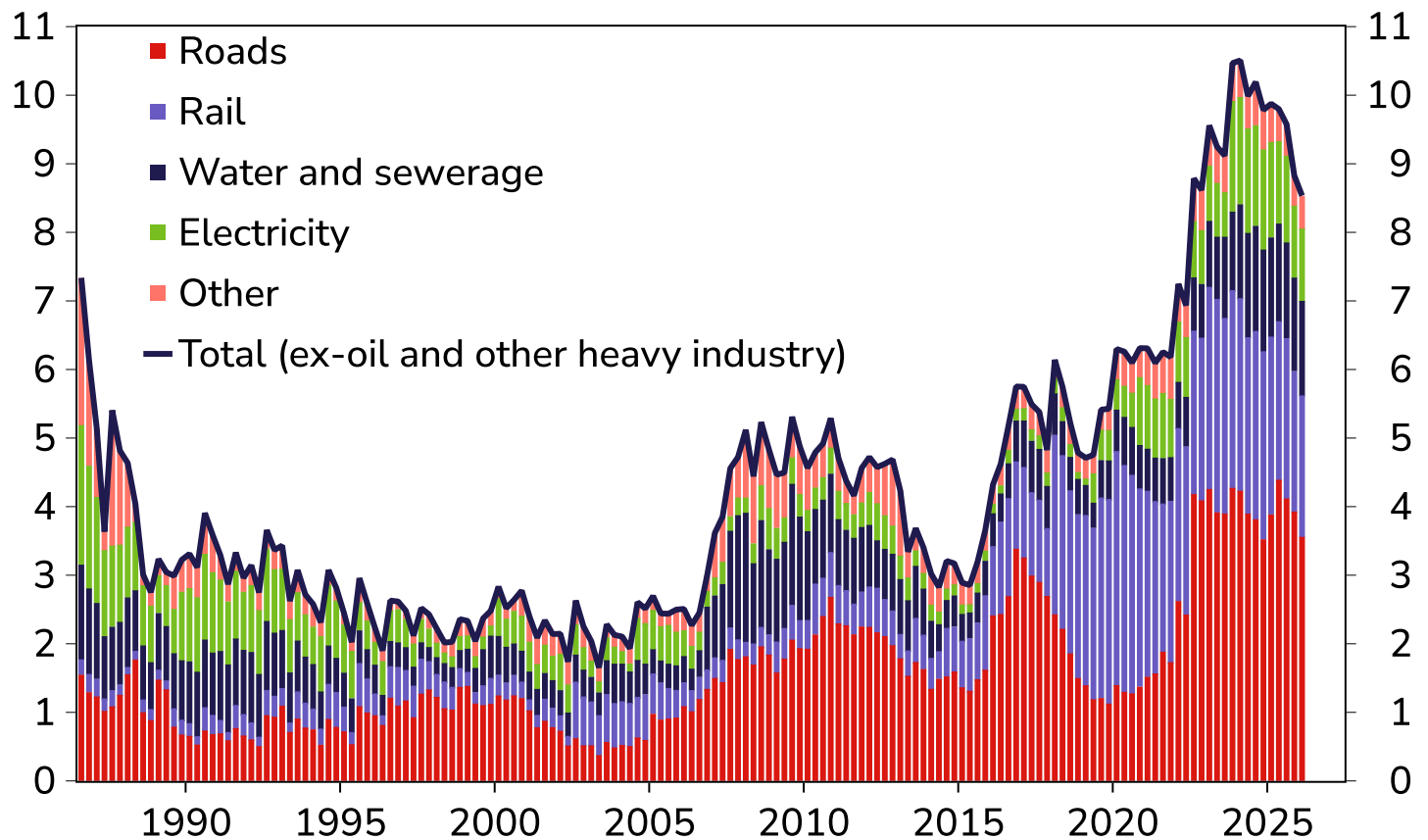
The ABS will release its preliminary estimates of construction work done in Q2 2026 on 26 August 2026, providing a timely read on how activity is tracking ahead of the Q2 National Accounts due on 2 September.

Overall, the pipeline is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

The public infrastructure pipeline has fallen sharply, particularly in NSW and Victoria. In NSW alone, the value of work yet to be done has almost halved over the past year, falling from around \$35 billion to \$17 billion. Part of the decline reflects the wind-down of major road and highway projects, alongside the completion of several large metro projects in Sydney and Melbourne.

Public infrastructure pipeline

% share of the economy, work yet to be done

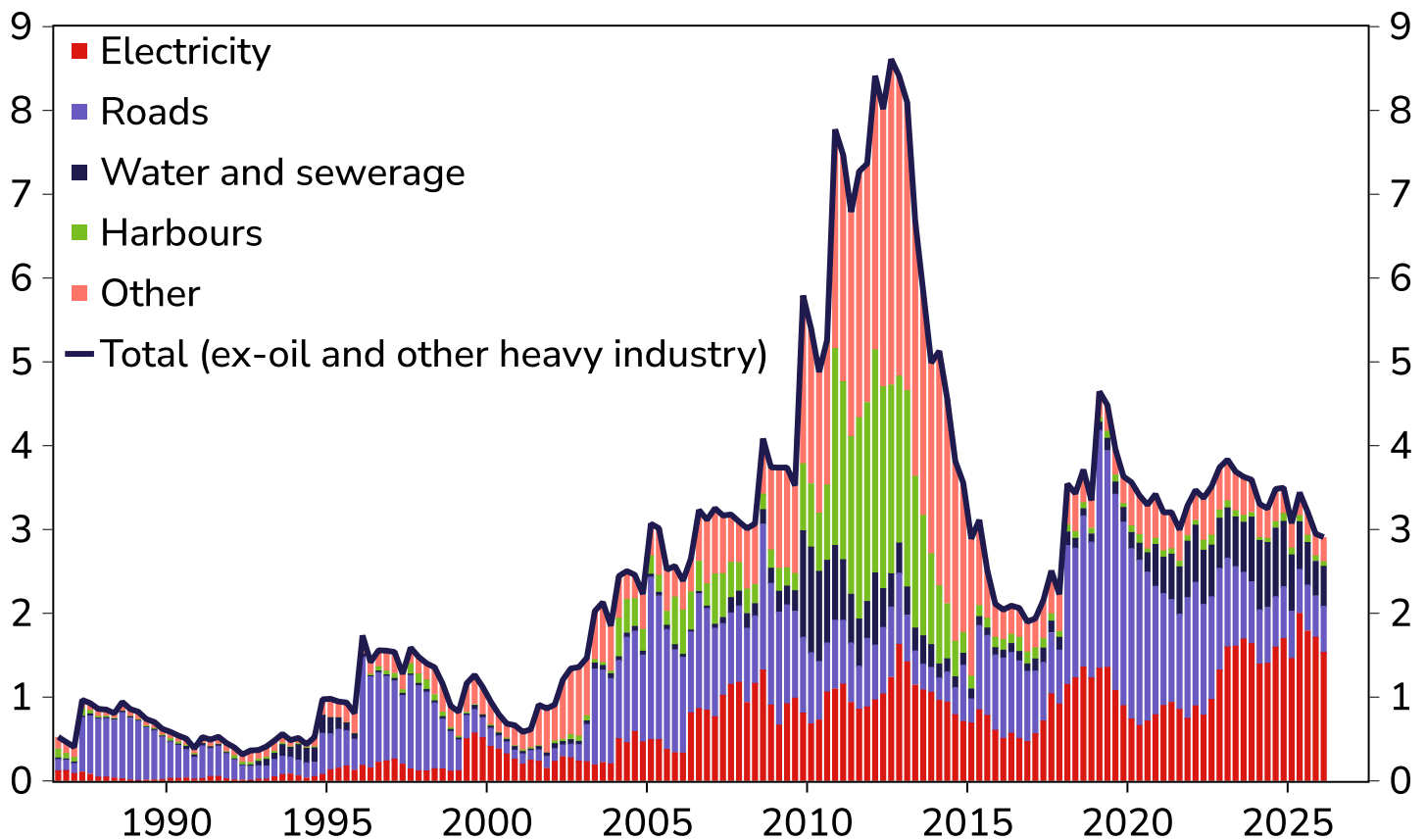


Source: ABS, Macrobond, Westpac Economics

The private engineering pipeline has been more resilient, although it too is starting to soften, with the softness driven by the wind-down of road and transport projects, as well as a decline in electricity generation and distribution projects.

Private infrastructure pipeline

% share of the economy, work yet to be done

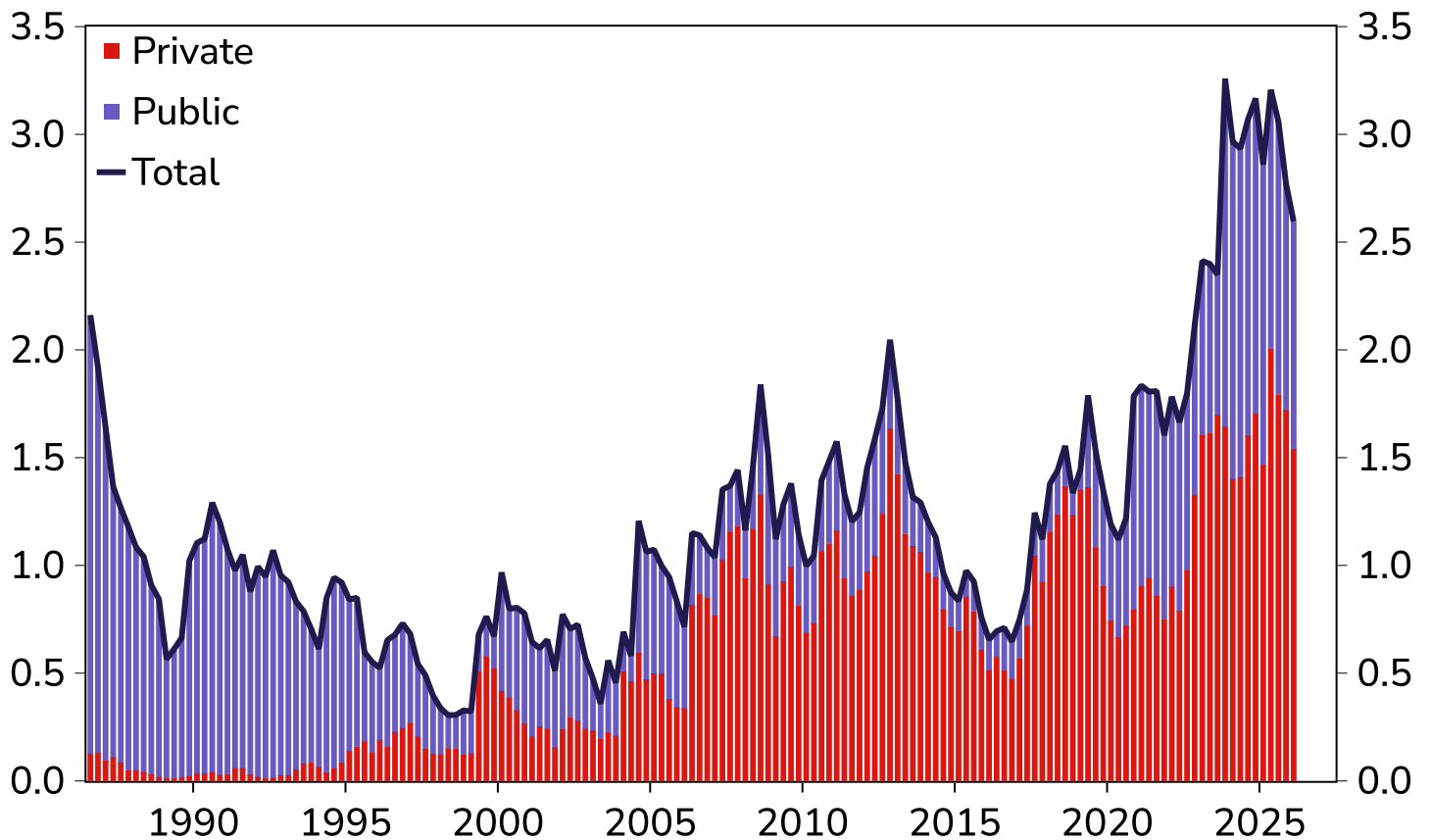


Source: ABS, Macrobond, Westpac Economics

Electricity-related projects across both the public and private sectors have declined in recent quarters and that continued over Q1, particularly in the private sector.

Electricity infrastructure pipeline

% share of the economy, work yet to be done



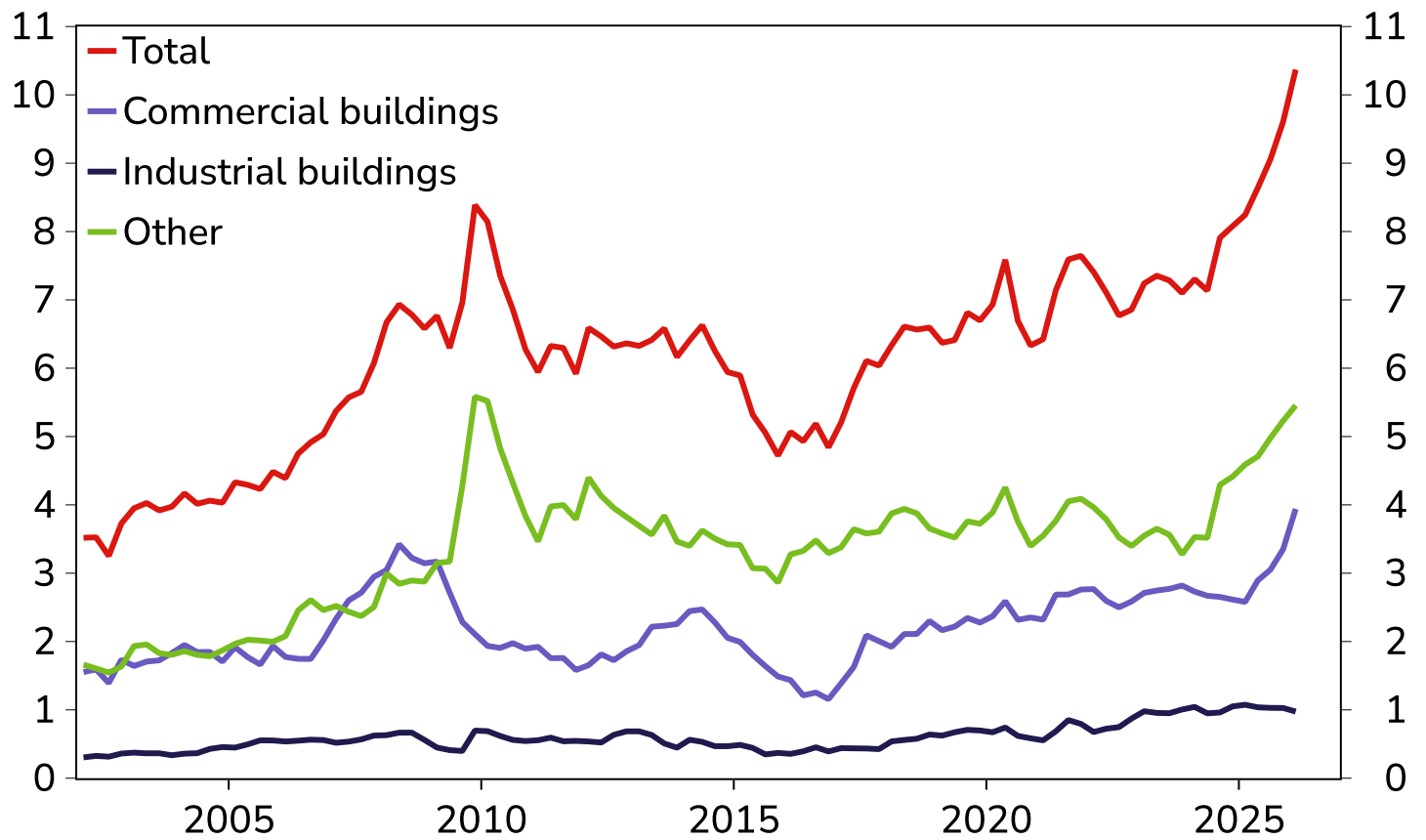
Source: ABS, Macrobond, Westpac Economics

The standout positive story is **non-residential building**. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP. Today's data shows continued strength with commencements increasing sharply and we know there are further upside given strong April and May approval data.

That saw the value of other commercial buildings in the pipeline reach a record share of the economy.

Non-residential building pipeline

% share of the economy, work yet to be done

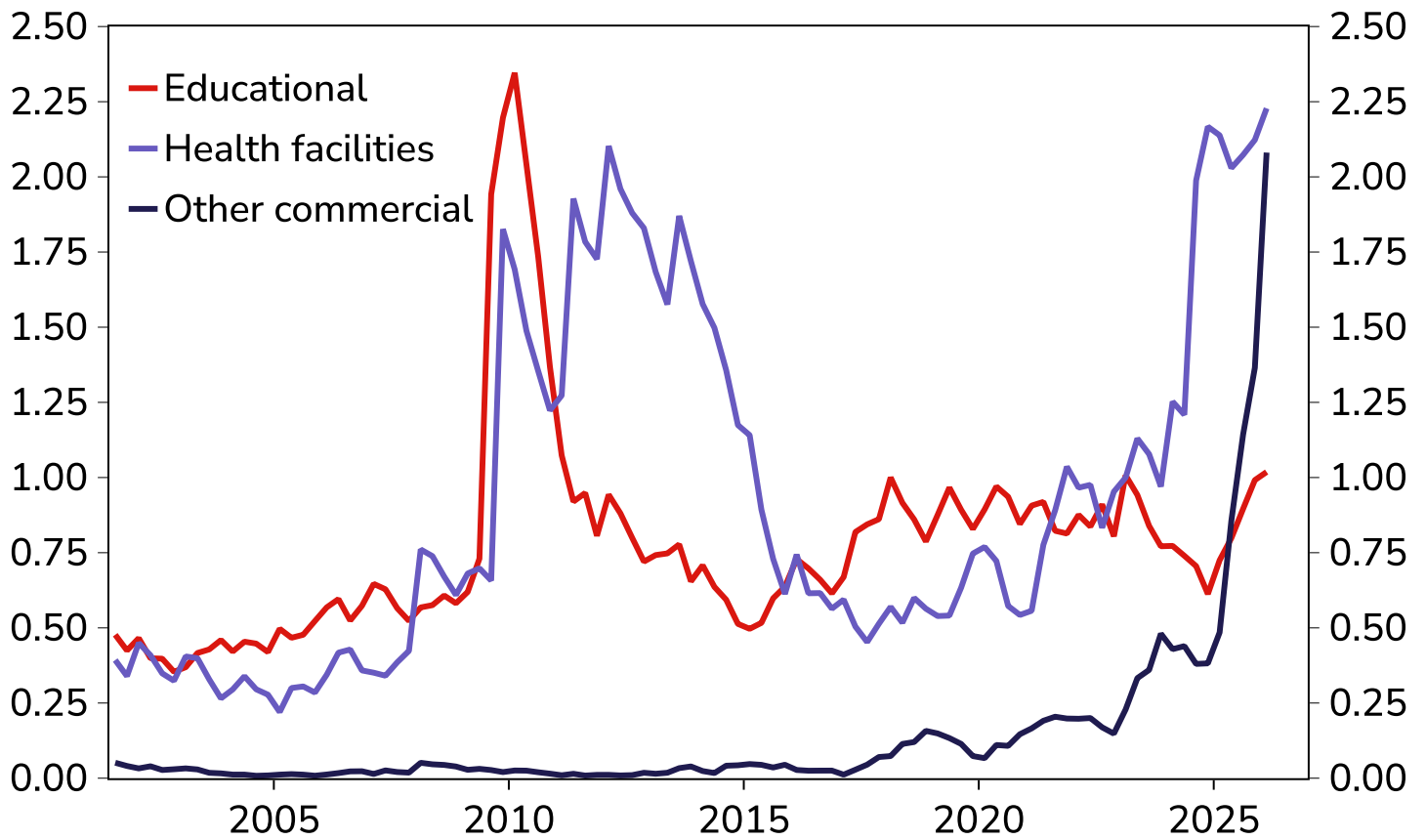


Source: ABS, Macrobond, Westpac Economics

While data centres stole the show, major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity.

Non-residential building pipeline

% share of the economy, work to be done

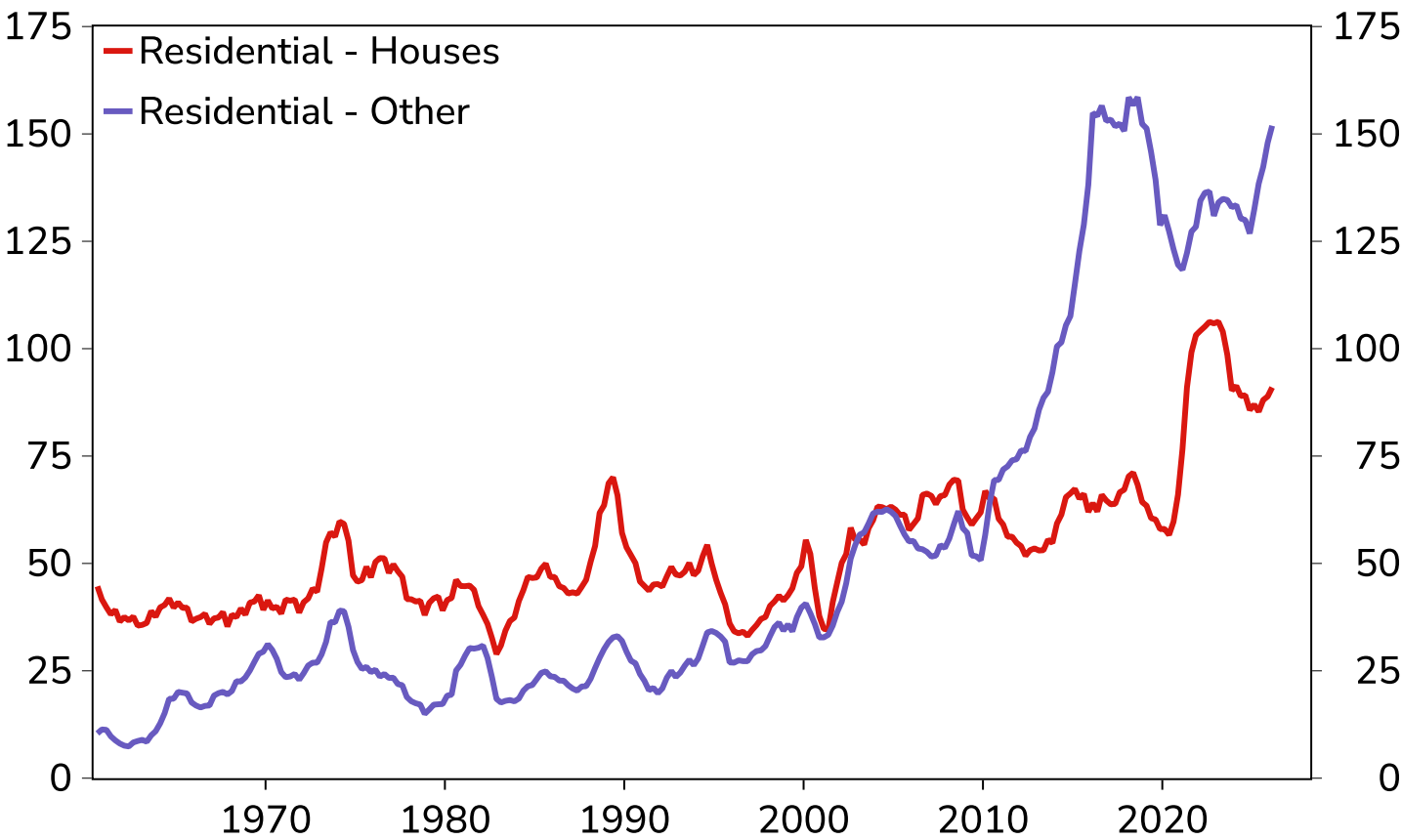


Source: ABS, Macrobond, Westpac Economics

The number of dwellings under construction also increased in the quarter, supporting near term activity, consistent with our forecasts for dwelling investment.

Dwellings under construction

Number, thousands



Source: ABS, Macrobond, Westpac Economics

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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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China's greatest opportunity and biggest threat

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By [Elliot Clarke](#)

Head of International Economics, Westpac

08:05 July 03 2026

Share

To achieve its development ambitions, China's industrial might must pay off for households.



The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in

the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline. With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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Australian Business Conditions and Confidence, June

#businessconditions

#confidence

#aud

#australia



By [Luka Belobrajdic](#)
Economist, Westpac

14:10 July 14 2026

 Share

An easing in global commodity prices sees business confidence recover further in June, while conditions hold steady. Confidence +9pts to –5 / Conditions unchanged at +3.

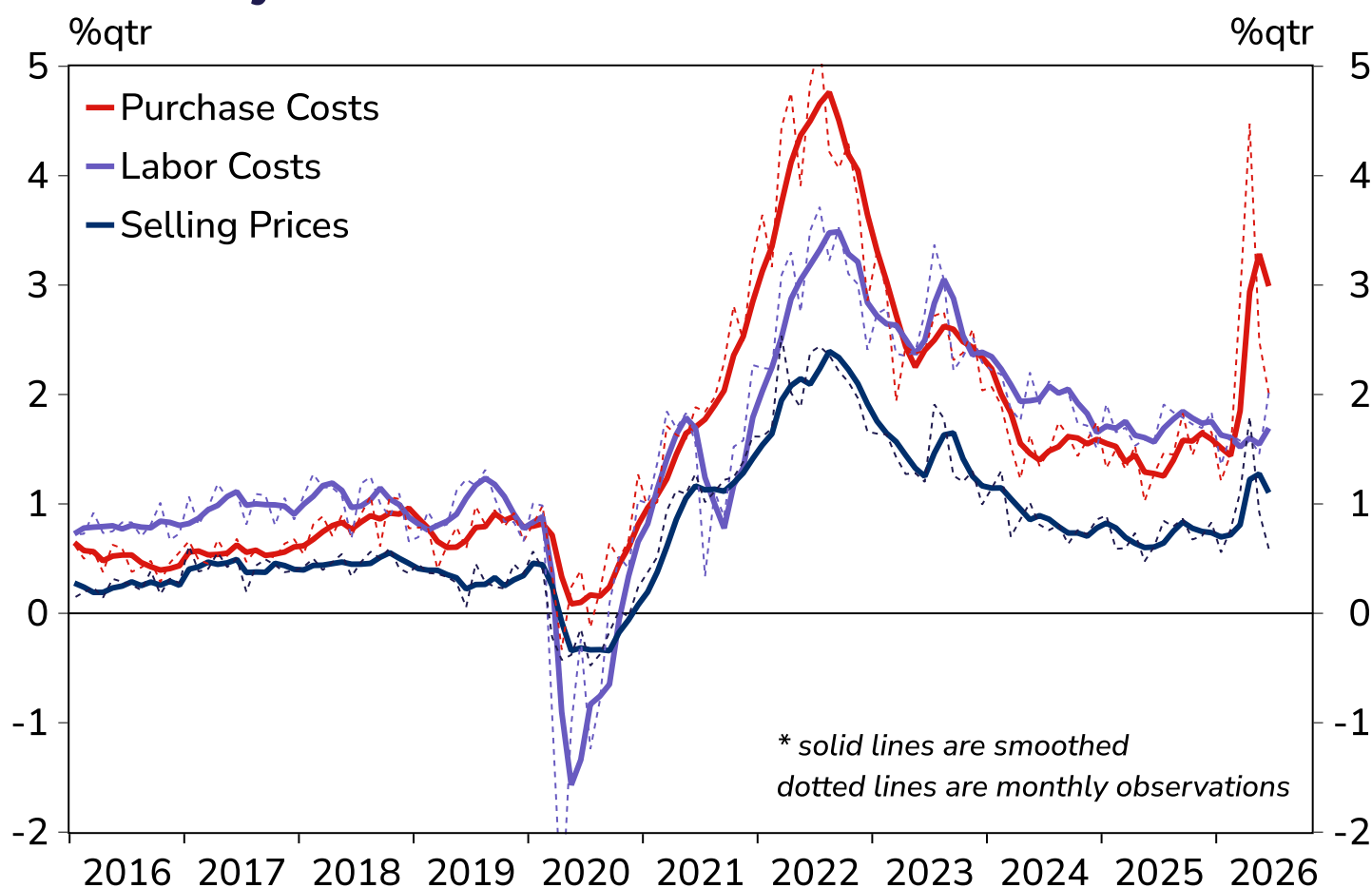


The June NAB Business Survey was in the field from 23 June to 1 July, capturing businesses' reaction to the signing of the US-Iran Memorandum of Understanding and the subsequent pull-back in global commodity prices. Business confidence continued to recover from the sharp decline recorded in March

following the initial outbreak of the conflict between the US and Iran, rising 9pts to –5 in June. Despite the improvement, confidence remains 10pts below its long-run average, among the bottom 10% of outcomes recorded since 1997, highlighting ongoing caution around the outlook. Consumers appear to share a similar view, with concerns around a worst-case scenario for fuel prices and further rate rises easing, while sentiment remains subdued overall.

Part of the improvement in business confidence reflects a further moderation in cost pressures in June. Purchase cost growth declined by 0.5ppt to 2.0%qtr, aided by easing fuel prices after a downwardly revised 2.0ppt fall in May. While well below the 4.5%qtr peak recorded in April, purchase cost growth remains 0.8ppt above its long-run average. However, the recent flare-up between the US and Iran and subsequent rise in oil prices over the past week demonstrates that upside risks around input cost pressures remain at play. Final product price growth also moderated, falling 0.3ppt to 0.6%qtr, matching its long-run average. In contrast, labour cost growth rose by 0.5ppt, the largest increase since July 2023, to 2.0%qtr. Given the survey was in the field to 1 July, the result captures at least some of the 4.75% increase in award wages.

NAB Survey: Costs and Prices

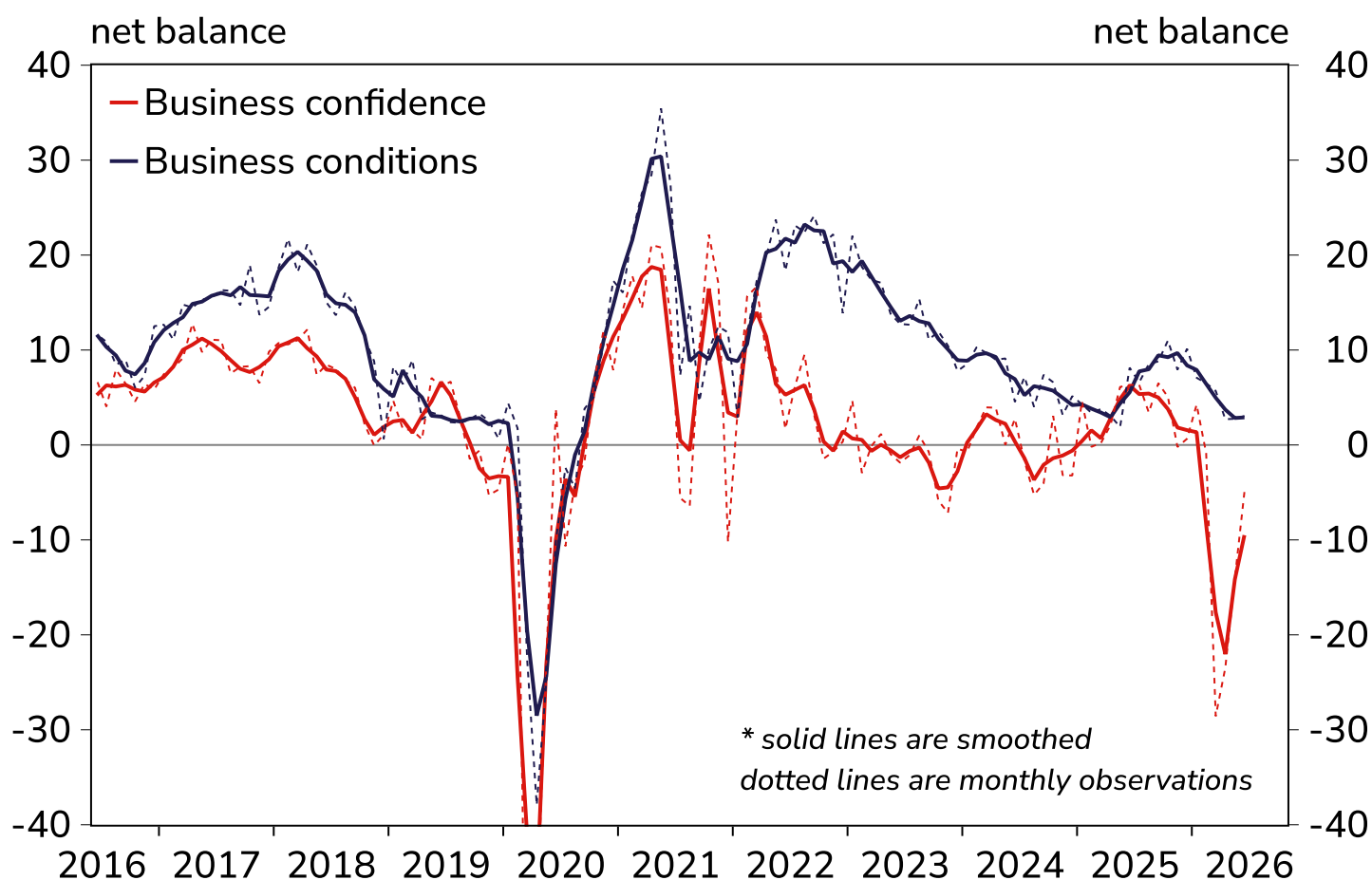


Source: NAB, ABS, Macrobond, Westpac Economics

The headline business conditions index held steady at 3pts in June, marking a third consecutive month at that level. Conditions remain 4pts below their long-run average and well below the peak of 11pts recorded in October last year. On a three-month average basis, conditions continue to trend lower through 2026, reinforcing the view that underlying momentum has been easing.

Across the major sub-components, profitability improved modestly, rising 2pts (rounded) to 0. While this leaves the sub-index 5pts below its long-run average, it suggests the balance of firms reporting a squeeze on profit margins has eased. Trading conditions were broadly unchanged at 7pts, remaining 4pts below their long-run average. Meanwhile, the employment sub-index fell 1pt to 1, leaving it 2pts below its long-run average. The result is the weakest since June 2024 and, on a three-month average basis, points to a material slowing in labour demand, reinforcing our view that genuine weakness is emerging in the labour market.

Business conditions and confidence

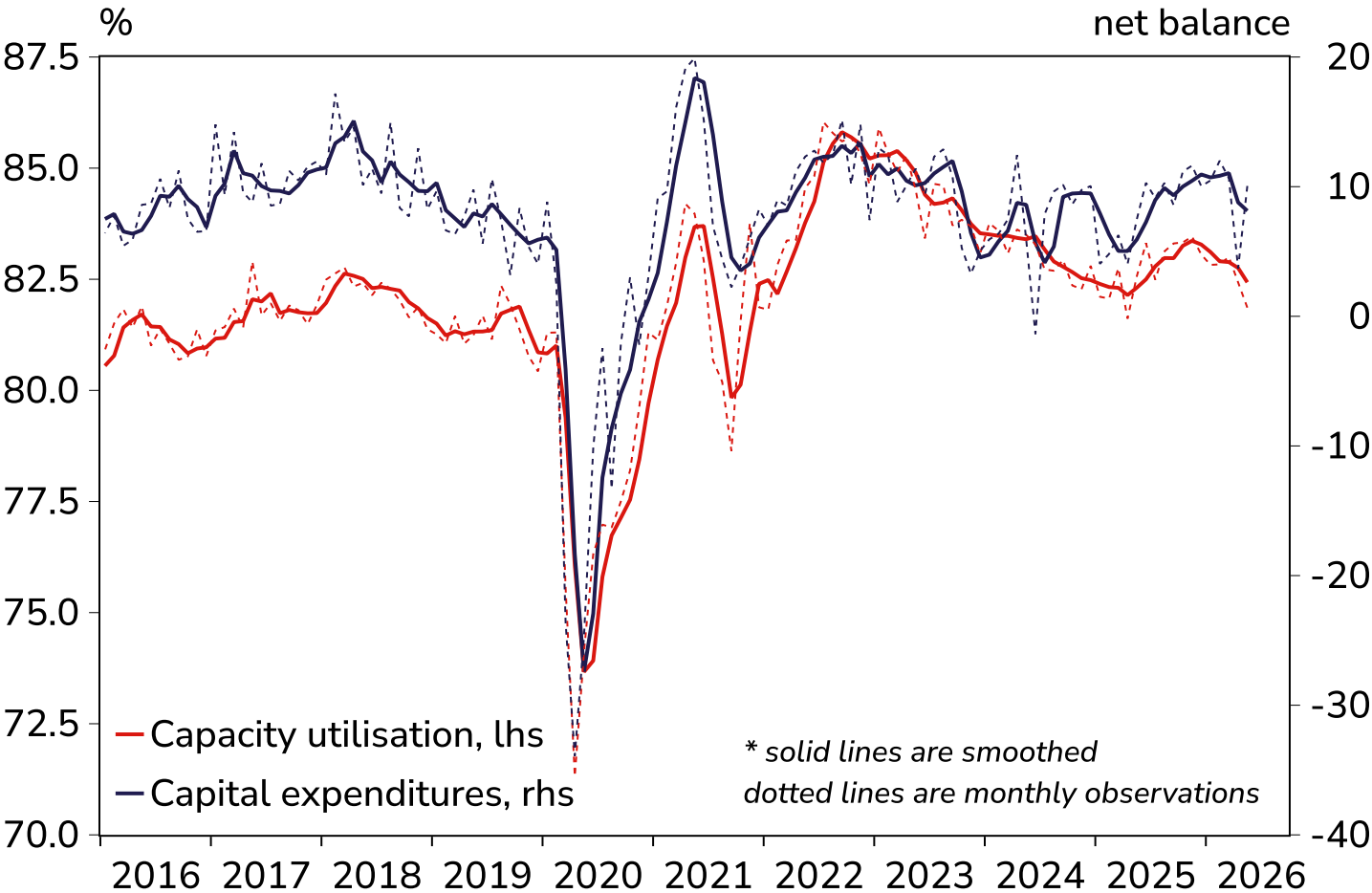


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation rose marginally to 82.0% in June. While 0.6ppt above its long-run average, the broader trend continues to point to an easing in capacity pressures since late last year. By contrast, capital expenditure fell sharply, declining 8pts to 1 – the largest monthly fall since August 2020 during the height of the COVID-19 pandemic. Looking through the recent volatility, the three-month average continues to point to a moderation in planned capital expenditure.

Among other indicators, forward orders rose 1pt to 0, continuing to recover from the weakness seen following the outbreak of the Middle East conflict. Inventories increased by 1pt to 4, likely reflecting broadly stable trading conditions.

Capacity utilisation and capital expenditures



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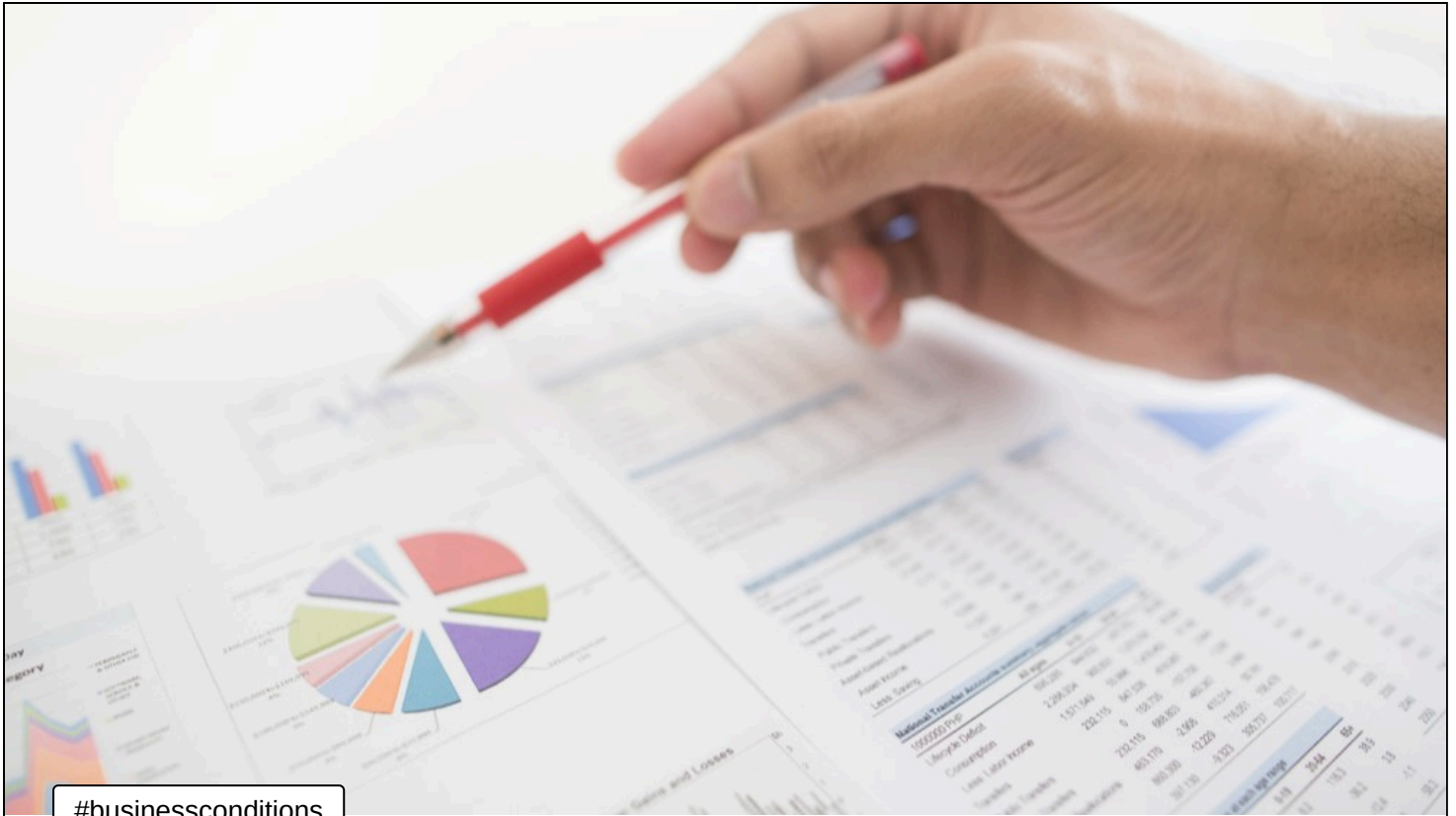


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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	-0.01
180 day BBSY	4.79	-0.01
1 year swap	4.51	0.00
2 year swap	4.45	-0.04
3 year swap	4.41	-0.04
4 year swap	4.42	-0.01
5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
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8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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13 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets faded geopolitical developments at the end of last week, viewing renewed hostilities as restrained and stopping short of pricing in any 're-escalation' premium. Oil prices and bond yields fell, stock markets rose.

Over the weekend, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. Just as we go to press, the US announced it is commencing yet another wave of strikes against Iran.

Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.6947	0.2%
AUD/JPY	112.35	-0.2%
AUD/GBP	0.5188	0.3%
AUD/NZD	1.2059	0.0%
AUD/EUR	0.6091	0.3%
AUD/CNH	4.7109	0.0%
AUD/SGD	0.8978	0.1%
AUD/HKD	5.4460	0.2%
AUD/CAD	0.9840	0.0%
EUR/USD	1.1406	-0.1%
USD/JPY	161.73	-0.4%
USD Index	100.95	0.0%

Equities	Close	Change
S&P/ASX 200	8,806	0.5%
S&P 500	7,575	0.4%
Japan Nikkei	68,558	1.2%
Hang Seng	24,175	0.6%
Euro Stoxx 50	6,270	-0.2%
UK FTSE100	10,497	0.2%
VIX Index	15.03	-5.1%

Commodities	Current	Change
CRB Index	366.16	-0.6%
Gold	4119.93	-0.1%
Copper	13484	0.0%
Oil (WTI futures)	71.41	-0.9%
Coal (coking)	237.00	-0.2%
Coal (thermal)	129.20	-2.2%
Iron Ore	99.15	0.6%
ACCU	36.13	-4.3%

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Cliff Notes: on the minds of policy makers

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

11:28 July 03 2026

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Key insights from the week that was.



This week's [RBA minutes](#) provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the

MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, “increasing the cash rate target” will be considered if required.

Last week’s speech from Deputy Governor Hauser shed more light on the RBA’s thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA’s successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. Cotality’s latest home value index fell 0.4% in June, Sydney and Melbourne’s correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing credit growth, evidence that the RBA’s rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and tight supply will limit their scale.

Before moving offshore, a final note on trade. The goods trade balance surprised materially to the downside in May, flipping from a surplus of \$1.4bn to a deficit of \$3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June’s result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from

2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the [ECB's Sintra Forum on Central Banking](#), highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

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Outside of geopolitics, markets will have plenty to digest this upcoming week, including a raft of earnings announcements, FOMC Chair Warsh's testimonies before the House and Senate, and US CPI and PPI data.

In other news late last week, Japan's Finance Minister called on pension funds, including the GPIF, to repatriate funds to invest in domestic assets, sparking a rally in JGBs and the Yen.

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7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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5 year swap	4.45	-0.01
6 year swap	4.50	-0.01
7 year swap	4.55	-0.01
8 year swap	4.61	-0.01
9 year swap	4.66	-0.01
10 year swap	4.71	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.42	-0.04
10 year bond	4.84	-0.04
United States		
3-month T Bill	3.69	0.01
2 year bond	4.21	0.03
10 year bond	4.56	0.01
Other (10 year yields)		
Germany	3.07	-0.02
Japan	2.74	-0.13
UK	4.87	-0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.89	0.02
3 yr bond	4.44	0.02
3 mth bill rate	4.47	0.00
SPI 200	8,814	0.5%



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Financial Markets

Markets largely faded recent geopolitical developments at the end of last week – oil markets instead viewing the renewed hostilities as restrained and measured, stopping short of repricing any 're-escalation' premium. Stock markets broadly rose, bond yields edged lower across most jurisdictions while the USD and oil prices moved sideways.

Over the weekend however, Iran and the US traded threats and the US commenced a third wave of strikes on military targets along Iran's coastline to further reduce Iran's capacity to threaten ships in the Strait of Hormuz. This action followed another attack on a transiting ship. Iran has announced the Strait is closed until further notice, though negotiations are reportedly continuing and the passage along the Omani coast is available, albeit with the risk of being targeted. Previously, in these circumstances, ships have continued to transit without their responders on. Whether this is again the case will take several days to assess.

As we go to press, the US announced that it is commencing yet another wave of strikes against Iran.

Coming up this week, markets will have plenty to digest outside of geopolitics. Markets will be closely watching FOMC Chair Warsh's testimonies before the House and Senate. A raft of earnings announcements are also due. The Bank of Canada will also be convening this week, though markets are priced for a near-unanimous hold. Data-wise, US CPI and PPI will likely be the main events, alongside Q2 GDP data out of China.

- Share markets broadly finished last week on a positive note. The US rounded out the week with modest gains across the S&P 500 (+0.4%), Dow Jones (+0.3%) and the NASDAQ (+0.3%). The Euro Stoxx 50 (-0.2%) was weighed down by German stocks, while London's FTSE 100 (+0.2%) managed to eke out a small gain in an otherwise negative week.
- Asian shocks broadly rose, the Nikkei up 1.2%, the Hang Seng up 0.6% after a much more solid innings through last week, the KOSPI up 2.5% but only partially retracing some of the week's losses, while the CSI 300 bucked the wider trend with a -2.0% decline. The ASX 200 rose 0.5%, led by gains in miners.
- Treasury yields edged slightly higher at the end of last week, the 2Y up 3bps to 4.21% and the 10Y up just 1bp to 4.56%. The move comes against the backdrop of renewed hostilities in the Middle East driving stronger market conviction over the case for Fed rate hikes later this year, seen to begin as early as October.
- The 10Y JGB yield fell by an outsized 13bps to 2.74%, as traders reacted to the Finance Minister calling on pension funds, including the GPIF, to repatriate funds to invest in

Today's key data and events

Time	Event	Exp	Prev
–	NZ Performance Services Index Jun	–	47.5

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

domestic assets, including JGBs. Other jurisdictions meanwhile saw a fall in bond yields too, including the 10Y Bund (down 2bps to 3.07%) and 10Y Gilt (down 3bps to 4.87%).

- ACGB yields also edged lower during local trading, both the 3Y and 10Y down 4bps to 4.42% and 4.84% respectively, with futures trading overnight on Friday only partly unwinding some of that move.
- The USD traded a wider range but ultimately shook off geopolitical developments and finished flat, the DXY probing as low as 100.6 intraday before return back to just under the 101 level. The Yen was a standout – strengthening 0.4% against the greenback in response to the Finance Minister's announcement regarding pension fund domestic investment.
- Moves elsewhere across the basket were modest and offsetting – the Euro and Loonie a touch weaker, while the Sterling was steady. The Aussie dollar finished the week a bit firmer, grabbing a hold around the USD0.6950 mark, up 0.2% against the greenback on the day. Early trading this morning is yet to signal a reaction to news flow over the weekend – risk currencies are barely lower at the margin.
- Crude oil prices settled lower on Friday, with markets fading the geopolitical risk and instead taking the cue from the fact that talks were set to continue over the weekend. Brent and WTI fell -0.4% and -0.9% to US\$76.01/bbl and US\$71.41/bbl, slightly higher than post-MOU lows but still well below the ranges traded during previous active conflict. With strikes continuing over the weekend and into this morning, assessments over the underlying health of the ceasefire may be tested.
- Metals finished last week in mixed fashion, LME copper flat while LME aluminium fell -1.9% and LME nickel rose 0.9%. Gold edged only slightly lower, down -0.1% to around US\$4,120/oz.

Local Data

No major data of note on Friday, but Westpac **tweaked its RBA call**, bringing forward rate cuts into the second half of 2027. On the near-term profile, Westpac's conviction of an August rate hike has increased. Westpac still regards a follow-up in September as most likely, but our conviction about its occurrence and timing has declined (see [here](#)).

Westpac also published its **July Market Outlook**, containing our updated economic and financial forecast and our latest insights on the Australian and global economy (see [here](#)).



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RBA Minutes and other commentary: still on edge about inflation

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By [Matthew Hassan](#)

Head of Australian Macro-Forecasting, Westpac

17:56 June 30 2026

Share

RBA Minutes released today and other commentary over the last week suggest the Monetary Policy Board is still on edge about inflation risks in Australia.



- RBA Minutes reprise the 'hawkish hold' message from June's decision statement.
- Some notable observations on housing and data centre build but central narrative unchanged.

- Deputy Governor Hauser's recent speech and accompanying RBA research underscore risks around tight capacity and possible shift in price-setting behaviour.
- Q2 CPI remains critical, with a lot riding on how this and the balance of risks to the outlook are judged..

The advent of post-meeting media conferences means the minutes to RBA meetings are of less importance than they once were. However, they still serve to remind us of the key considerations for policy. Read alongside last week's speech by the Deputy Governor and a series of RBA insight notes, the latest Minutes suggest the Bank is still on heightened inflation alert.

The central narrative through the meeting Minutes is, unsurprisingly, the same as that set out in the decision statement and in the Governor's post-meeting press conference. The economy is still seen as tight, i.e. "operating with excess demand and widespread inflationary pressures". However, the Board opted to use the 'space' provided by previous rate rises, pausing in June to get a better sense of how the situation was unfolding in the Middle East and how previous rate rises were impacting locally.

There were some interesting titbits in the detail though, including:

- Financial conditions are now seen as restrictive. While the conviction here is not high ("probably somewhat restrictive"; "remained uncertain") it is a little more forthright than the decision statement which simply stated that conditions were now tighter. That uncertainty may also be partly due to staff updates on the RBA's modelled estimates which pointed to a slightly higher real neutral rate compared to when the cash rate was last at 4.35% (at the start of last year).
- Housing market developments were largely absent in the decision statement but featured a few times in the Minutes, including in the 'Considerations for Monetary Policy section' ("Housing demand had eased, which also reflected the broader economic environment and recently proposed tax changes"; and "Members also noted the risks associated with a potentially material weakening in housing markets, including if this were to inhibit growth in consumption"). Likewise, the data centre investment surge rated a mention in the main assessment section as well ("[Members] discussed the potential for continued strength in such activity to exacerbate capacity pressures and skills shortages in other parts of the economy").

While neither topic is a central concern for the Board right now, they are on the radar.

Also of some note were the areas where views within the Board differed. In particular, there were "somewhat differing views about the extent of current capacity pressures". As we have discussed in the past, this likely centres on assessments of slack in the labour market. That would seem to be the case given that members still assessed that persistently weaker-than-expected productivity growth was a problem for bringing inflation back to target.

The other notable point of difference was on the extent to which the Fair Work Commission's moderately higher than expected 4.75% increase in all modern award wages might indirectly influence other wage negotiations. Again, views on the impact differed but Members agreed that it would "depend in part on the tightness of the labour market and expectations for inflation".

Coming back to the central narrative of tight capacity and persistent inflation, the RBA deliberations here have been given some additional framing by the Deputy Governor and a series of RBA 'insight' notes. Titled "The Straight Line Belongs to Man, the Curved Line Belongs to God", Deputy Governor Hauser's Sir Douglas Copland Memorial Lecture, delivered to the Economic Society of Australia last

week, was a little more technical than the ‘fireside chats’ and speeches that have been used to shape mainstream and financial market expectations. However, it focussed on two areas that are extremely pertinent to the Board’s current deliberations, namely: 1) the sensitivity of inflation to shocks when capacity is tight; and 2) potential changes in price-setting behaviour. The ‘straight lines’ and ‘curves’ being discussed were those showing the relationship between unemployment and wage growth or price inflation, and between cost and price changes. And the question is to what degree do these relationships become ‘curvier’ as unemployment falls/capacity tightens.

The Deputy Governor spelled out the clear takeaway for monetary policy: that inflationary pressures are likely to be higher for a given change in activity if; 1) domestic capacity pressures and inflation are already elevated; and/or 2) cost shocks are large or persistent; and/or 3) inflation expectations are elevated. From here the Deputy Governor concluded that “non-linearities in the Phillips curve suggest that policy should respond proactively to an inflationary shock when we are already on the steep part of the curve – and that is what the Monetary Policy Board has done in recent months.”

The insights notes expand on this a little, in an even more technical manner. Some notable points are that:

- the RBA’s models currently incorporate some non-linearity (i.e. curviness) in the relationship between unemployment and wage costs/inflation but not in price-setting behaviour which means the latter will be a key area of judgement for policy making (informed by liaison);
- there is clear evidence that price-setting behaviour did change during and after the pandemic, adjusting more frequently from 2022;
- this increased price flexibility is estimated to account for 0.4-1.3ppts of the gap between modelled estimates and the actual peak in inflation 2022-23; and
- that the way the policy trade-off between inflation and unemployment shifts when prices are more flexible means policy can focus more closely on the inflation part of the mandate (the idea here being that inflation declines will also be associated with more muted rises in unemployment).

All up, the RBA minutes and other communications again point to heightened concerns about persistently above-target inflation. We already knew the June quarter CPI release on July 29 would be the critical piece of domestic information heading into the RBA Monetary Policy Board’s August 10-11 meeting. However, the latest RBA communications make it clear that aside from this, the key judgements will be around the scale and persistence of shocks emanating from the Middle East, and whether price setting behaviour has shifted,

On balance, we continue to see high inflation and an unacceptably slow return to target as drawing additional interest rate rises from the RBA – but depending on how the inflation data, geopolitics and key judgements land, that balance could be a close-run thing.

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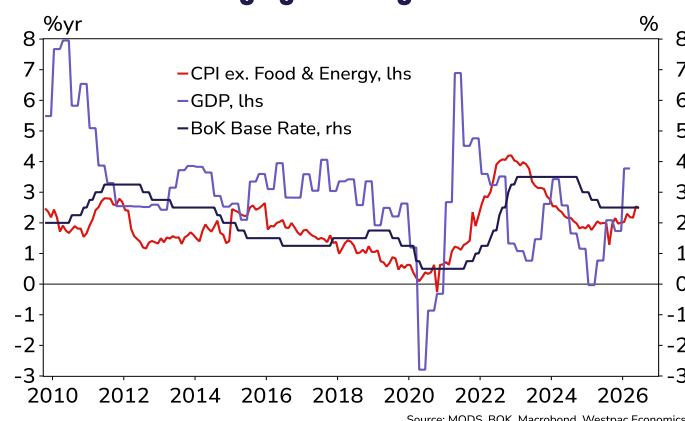
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Mapping out Asia ...

- Korea's technology sector is no longer only passively benefiting from the AI cycle; firms are pro-actively investing to accelerate capacity growth.
- Announced investment plans of US\$500bn, spearheaded by Samsung and SK Hynix, together with the government's KRW105trn (US\$71bn) National Growth Fund suggests this investment cycle has a lot further to run.
- Warranting this, semiconductor exports have surged 197%yr, highlighting the scale of global technology demand.
- Capital goods imports also increased 35%yr, emphasising that Korea is just one part of the Asian production system.
- The key question is whether today's technology boom can translate into a sustained increase in aggregate growth or just a one-off level shift for industrial activity.

Tech is turbocharging Korean growth

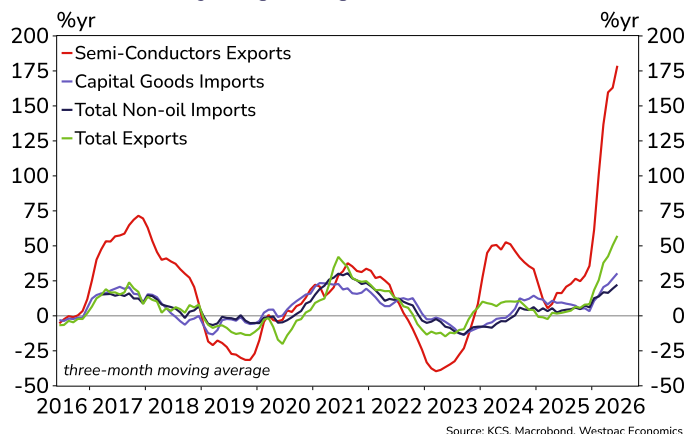


- Over in Japan, the Q2 Tankan survey provided mixed investment signals. Expected R&D spending slowed to 4.1% in FY26 from 6.5% in FY25, pointing to some moderation in manufacturing investment. Non-manufacturing firms meanwhile expect investment growth to accelerate to 9.2% from 7.0%.
- Justifying an acceleration in investment by non-manufacturers are widespread, structural labour shortages, unable to be fully offset by rising participation amongst women and older workers.
- Until at-target consumer inflation is firmly entrenched in day-to-day life, manufacturers and service firms alike also need greater investment to manage margins through productivity and efficiency.



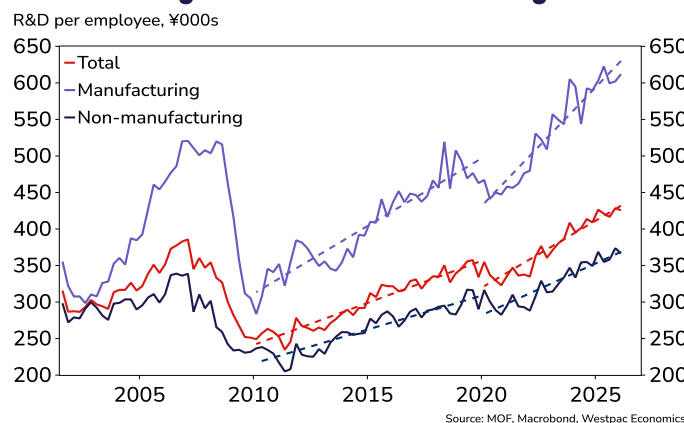
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South Korea is just getting started



- The BoK increasingly appears to view the AI investment cycle as a durable source of aggregate economic growth rather than a temporary export boom.
- Large-scale investment in semiconductors and AI infrastructure should increasingly support other business investment, construction activity and productivity growth.
- The BoK has acknowledged these factors, revising its 2026 forecast up to 2.6%yr from 2.0%yr.
- Stronger medium-term growth prospects help explain the BoK's willingness to maintain a tighter policy stance despite soft conditions in other sectors.
- Exports and future income generation should also aid Korea's external position and the won in time.

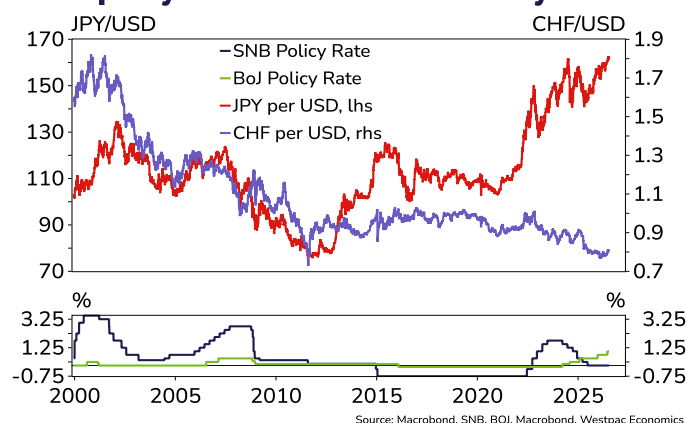
Labour saving investment is accelerating



... in charts

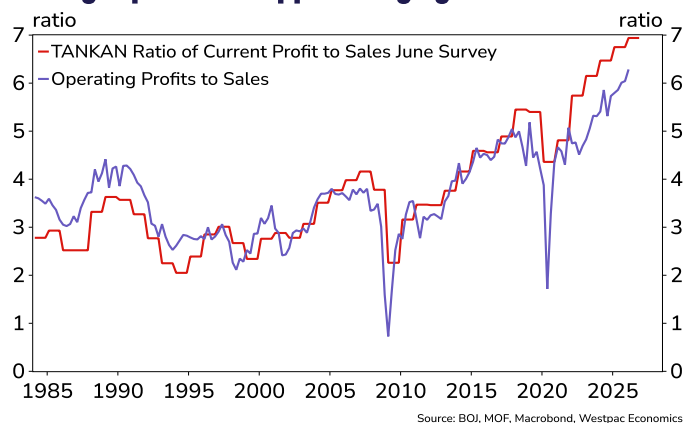
- Japanese services inflation remains well above its pre-pandemic average.
- The missing piece in the virtuous cycle has been real wages, with household purchasing power improving more slowly than expected.
- Corporate profits continue to provide firms with scope to grow investment and wages sustainably, however.
- Future real wage gains should boost discretionary consumption and inflation, giving durability to the inflation mindset.
- Profits and investment are therefore anticipated to build a foundation for persistent consumer and wage inflation, while also offering greater confidence in medium-term aggregate activity growth, warranting further policy normalisation.

Lower policy rates aren't the whole story



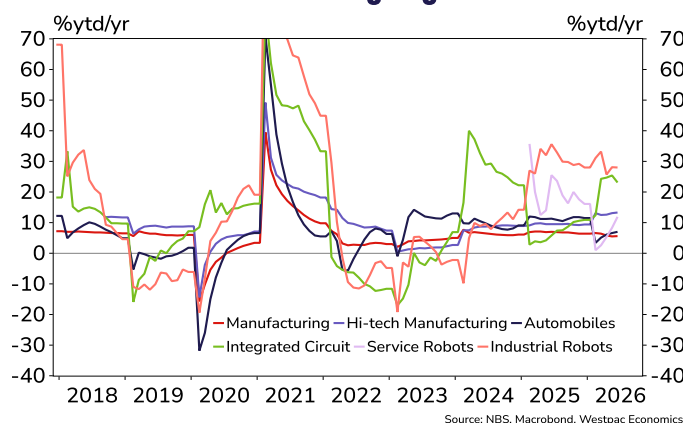
- Chinese industrial capacity remains a key source of growth, production rising 5.4%ytd in June.
- Notably, growth is increasingly concentrated in high-tech industries, including integrated circuits (+19%yr), industrial robots (+28%yr) and new energy vehicles (+29%yr).
- These sectors are more capital-intensive and automated than the labour-intensive industries which drove earlier industrial cycles.
- Strong output and export growth may therefore generate fewer and fewer gains in employment and household income compared to the past.
- This helps explain why [household demand continues to lag](#) China's industrial and trade performance.

Stronger profit to support wage growth



- Despite lower interest rates than Japan for much of the past decade, CHF has strengthened as the yen weakened. This suggests the market cares about more than just policy rates.
- Switzerland attracts safe-haven and reserve inflows while Japan remains a net exporter of savings.
- For Japan, a growing share of income earned abroad is also retained there, compounding foreign asset holdings instead of current yen demand.
- Raising policy rates to the level we expect (1.50% from mid-2027) will not reverse this dynamic. But what could?
- A change in capital flows via the repatriation of stockpiled foreign assets and income back to Japan and/or reduced new foreign investment by Japanese investors and/or greater foreign appetite for yen-denominated assets.

Chinese manufacturers are going dark





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China has need for urgent stimulus

#china

#asia

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By Elliot Clarke

Head of International Economics, Westpac

14:33 July 15 2026

 Share

Q2 GDP and the June partial data highlighted (yet again) aggregate growth's reliance on external demand. Domestic businesses and households are in need of immediate, proactive support.



Q2 GDP and the June activity data provided a mixed read on China's economy. Q2 GDP met expectations in the quarter at 0.9%, but the annual rate disappointed, coming in at 4.3%yr. Year-to-date, growth is on track to meet our expectation of 4.7%ytd; however, that rate is towards the bottom of authorities' 4.5%-5.0% full-year guidance.

Delving into the detail, it is evident the industrial sector continues to drive aggregate momentum. Having dipped near 4.0%yr in April and May, growth in industrial production rebounded to 5.3%yr in June, keeping the year-to-date pulse at 5.4%. High-tech manufacturing categories such as integrated circuits (18.8%yr) and industrial robots (28.1%yr) are behind the recent gains, while motor vehicle production is unchanged over the year (-0.2%yr). Note though, within the vehicle category, production of new-energy vehicles is up 29.4%yr.

This rotation towards high-tech manufacturing is likely a negative for employment given the level of automation used in new factories, so too the relocation of assembly work to neighbouring nations –mobile phone production was down 13.5%yr in June. For aggregate activity though, the integration of Asian production and trade combined with rapid technological development continues to produce significant net gains for the trade position, 27%yr growth in exports and a 36%yr gain for imports leaving the monthly trade surplus at USD126bn in June – just inside January 2025's record high and a multiple of the surplus prior to the pandemic.

The domestic growth story remains downbeat overall, primarily due to declining investment. Fixed asset investment's contraction accelerated in June to -5.7%ytd from -4.1%ytd in May. Mining and transport-related investment have grown year-to-date, but manufacturing and utilities investment remain in a lull after years of rapid growth; meanwhile, healthcare, education, recreation and, of course, property investment continue to decline at a rapid rate. Property investment's 18%ytd fall is arguably most notable, coming after a -11.2%ytd, -10.1%ytd and -7.9%ytd result in June 2025, 2024 and 2023 respectively and despite significant support from authorities over the period. Further material losses are likely given residential property sales were down 13.7%ytd in June and as prices are yet to stabilise – new and existing home prices fell 0.15% and 0.32% respectively in the month.

For the consumer though, there are some emerging positives. Having disappointed earlier in 2026, annual growth rebounded from -0.6%yr to +1.0%yr in June, leaving sales 1.3% higher year-to-date. Spending by category was mixed, in part due to volatility created by several past incentive programs. The property sector's decline also continues to weigh heavily on demand for construction goods and appliances, although there was some evidence of accelerating discretionary spending, likely aided by equity market gains over the past year and a half and broadly stable labour markets across the major cities and immediate surrounds.

All told, Q2 GDP and the June partial data highlight China's economic resilience and also give a degree of hope that domestic demand will strengthen over the coming year(s), as authorities intend. That said, as we have recently discussed, there remains a clear disconnect between the income generated by China's major exporters and the financial prospects of the average Chinese household. Until the returns of trade are distributed more equitably to households, through wages, taxes and wealth gains, Chinese authorities need to fill the gap.

Following such significant declines across essential local infrastructure, and with confidence impaired, today there is little risk of wide-spread capital misallocation or speculative excess. Pro-active support in scale via the local governments and state-owned entities is therefore the best course to speed aid. As the property sector stabilises and businesses recognise a broadening uptrend across the domestic economy, the private sector will also contribute. Our 4.7%ytd expectation for 2026 remains in place but, in the absence of immediate stimulus, is likely to become a stretch target.

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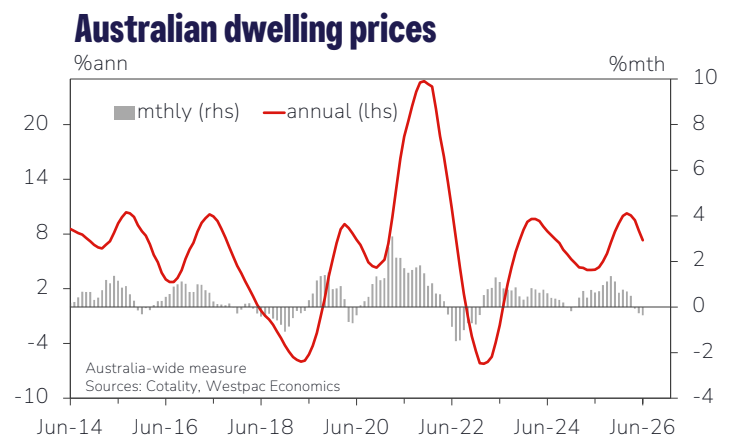
1 July 2026

AUSTRALIAN DWELLING PRICES BULLETIN

Sydney-Melbourne correction deepens

Key points

- The Cotality home value index – covering all of Australia – fell 0.4% in June, following a 0.3% decline in May and a 0.1% dip in April. Annual growth slowed to 7.3%yr. The quarterly decline is the most significant since the 2022-23 price correction.
- Corrections in Sydney and Melbourne are becoming more pronounced, led by material declines in 'top tier' segments with turnover also down sharply. Momentum is slowing elsewhere but price and turnover growth are still mostly positive.
- Uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term.



**June Cotality
home value
index: -0.4%*mth*;
+7.3%*yr***

Markets heading south or slowing



Matthew Hassan
Head of Australian Macro-Forecasting

The Cotality home value index, covering all of Australia, fell 0.4% in June following a 0.3% decline in May and a 0.1% dip in April. The cumulative 0.7% fall over the quarter is the biggest quarterly decline since the 2022-23 correction. Annual growth has slowed to 7.3%yr.

The detail continues to show deepening price corrections in Sydney and Melbourne, a moderation in previously strong gains in Brisbane, Adelaide and Perth and slowing momentum in other cities and regional areas. Across the fifty detailed sub-markets covered, 28% recorded price declines in Q2 compared to 16% in Q1.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

The slowdown to date mainly reflects the rate hikes in February, March and May and uncertainty around the Middle East conflict with some likely added drag more recently from tax policy changes announced in the Federal budget in mid May.

Turnover is starting to weaken more materially in the Sydney and Melbourne markets where price corrections have been more pronounced. Preliminary estimates points to a 4.6%qtr decline in turnover nationally in Q2, following a 5%qtr decline in Q1. The same estimates point to falls of around 15%qtr for Sydney and Melbourne, compared to 7% declines in Q1. The gap between sales and new listings, which have been relatively steady, is narrowing quickly, particularly in these softer markets. The shift is reflected in auction markets, with clearance rates moving further below average in Sydney and Melbourne and a notable rise in pre-auction withdrawals.

By dwelling type, the price cycle continues to be slightly more pronounced houses than units. Price growth is also weaker for 'top-tier' properties across each market (defined as the top 25% of properties by value). Indeed, weighted across cities, prices in this segment declined 1% in June to be down 2.6%qtr. The same measures for mid and low price tiers show 1.4%qtr and 0.1%qtr declines respectively.

The June price results by capital city were as follows:

- **Sydney:** with a sharp 1.2% fall in June coming on top of a 1.1% decline in May, Sydney is now leading the correction nationally with prices down 3.2%qtr and annual price growth dropping back to just 0.3%yr. 'Top tier' houses are down more meaningfully, -4.6%qtr and -4.7%yr. 'Bottom tier' houses are still sitting on a 9%yr annual gain.

Cotality home value index: June 2026

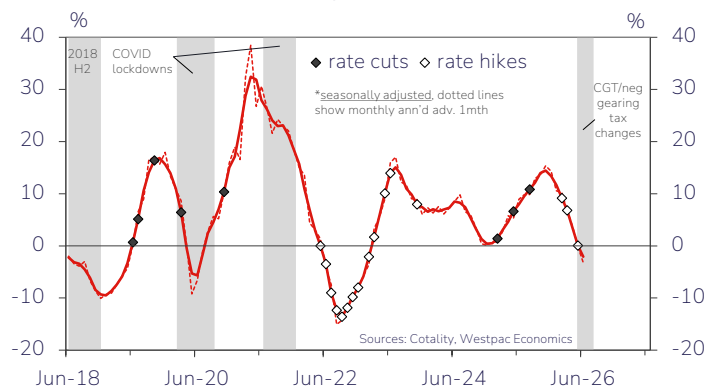
	%mth				%ann			
	Mar	Apr	May	Jun	Mar	Apr	May	Jun
Australia*	0.5	-0.1	-0.3	-0.4	10.0	9.5	8.4	7.3
seas. adjusted	0.3	0.0	-0.3	-0.2	10.0	9.6	8.5	7.4
- houses	0.5	-0.1	-0.3	-0.4	10.9	10.3	9.0	7.8
- units	0.4	-0.1	-0.1	-0.2	7.0	6.8	6.1	5.6
Major capital cities								
Sydney	-0.4	-0.9	-1.1	-1.2	5.2	4.1	2.1	0.3
Melbourne	-0.7	-0.8	-0.8	-1.0	3.3	2.1	0.6	-0.9
Brisbane	1.5	0.7	0.3	0.3	18.9	18.9	18.3	17.4
Adelaide	1.2	0.9	0.3	0.0	11.3	12.0	12.0	11.6
Perth	2.0	0.7	0.6	0.7	24.5	24.5	24.2	23.9
Turnover^	-5.0	-3.4	-3.2	-4.6	2.0	0.3	-1.8	-7.0

* Australia-wide measure, covering both capital cities and regional areas.

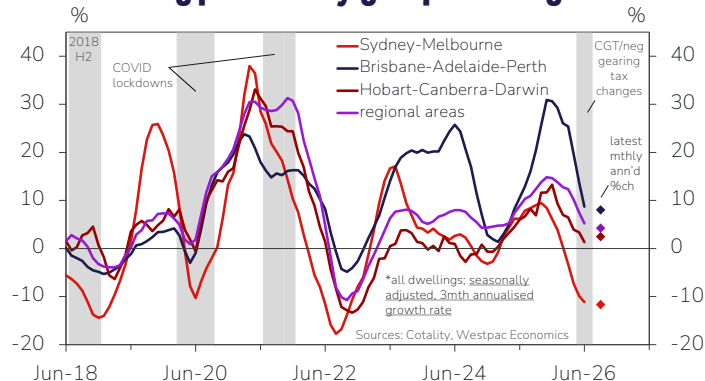
Sources: Cotality, Westpac Economics.

^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas

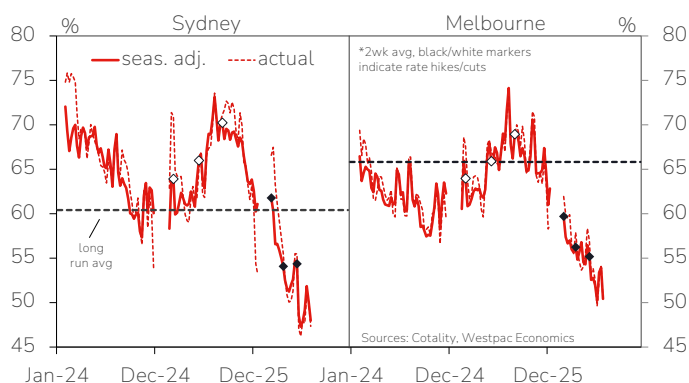


- **Melbourne:** a -1%^{mth} decline, a slight acceleration on the -0.8%^{mth} falls in May and April, leaving prices off 2.6%^{qtr} and tipping annual growth into outright negative (-0.9%^{yr}). 'Top tier' house prices are down 4.5%^{yr}, comparable to the weakness in this segment in Sydney. However, that follows a much poorer price performance in Melbourne in recent years – 'top tier' house prices have declined 4.4% since mid-2021 in Melbourne but are up 4.6% for this segment in Sydney and by just over a third for capital city dwelling prices more generally.
- **Brisbane:** prices rose 0.3% in June, in line with May's rise and consistent with a continued tapering in growth back from the very strong gains seen over the ten months to March. At 17.4%^{yr}, annual growth remains strong but gains have been tracking a 6% annualised pace more recently. The detail continues to show the familiar pattern of outperformance across lower-priced tiers although the wedge is narrowing. Notably, all tiers are still seeing positive, albeit slower, price growth.
- **Adelaide:** stalled flat in June, annual price growth slowing back 11.6%^{yr} with a clearer step-down in recent months. Interestingly, the detail here shows the latest slowing has been a little more pronounced for 'low and middle tier' segments. South Australia has seen a more meaningful rise in new dwelling construction than other states and this price pattern could be a sign that new supply is starting to ease pressures in some segments.

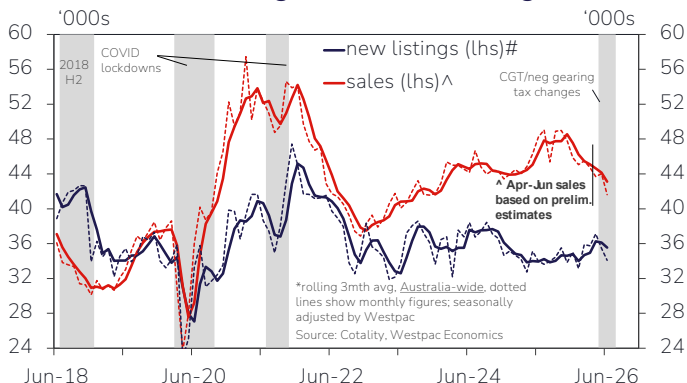
- **Perth:** continues to lead the major capitals price-wise posting another 0.7%^{mth} gain in June, broadly in line with May and April but a significant step-down on the string of 2%+ monthly rises between August and March. Annual price growth is still very strong at 24%^{yr} but gains in recent months have been at around a 10% annual pace.
- Outcomes across the smaller capitals were again more mixed, price growth holding up in Darwin (1.4%^{mth}, 19.8%^{yr}), more subdued in Hobart (0.6%^{mth}, 9.3%^{yr}), and dipping in Canberra (-0.6%^{mth}, 2.9%^{yr}).
- **Regional markets** showed flat prices in NSW and Victoria but and modest gains in Queensland (which includes the Gold and Sunshine Coasts).

Overall, the June update showed a similar picture to May with deepening corrections underway in Sydney and Melbourne and momentum slowing everywhere else. As we highlighted in our recent [Housing Pulse](#), tight supply, the likely absence of 'urgent' selling and relatively well anchored consumer price expectations should limit downside risks to prices going forwards. Notably, new listings are starting to show some pull back as well. However, current uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term. If these were to emerge, thin trading conditions could result in sharper price moves.

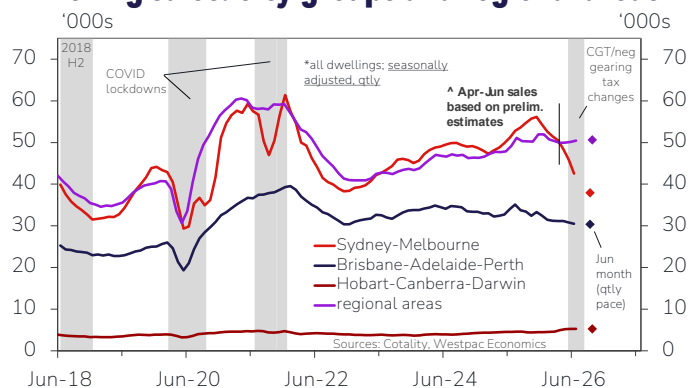
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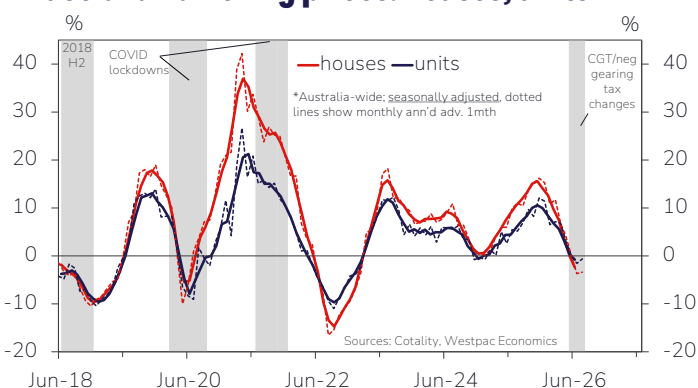
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas

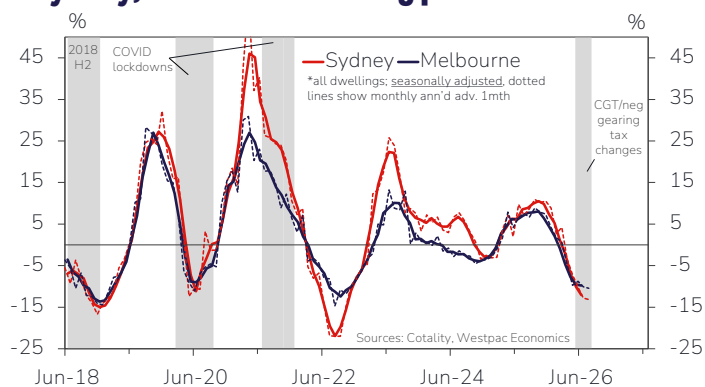


Australian dwelling prices: houses, units

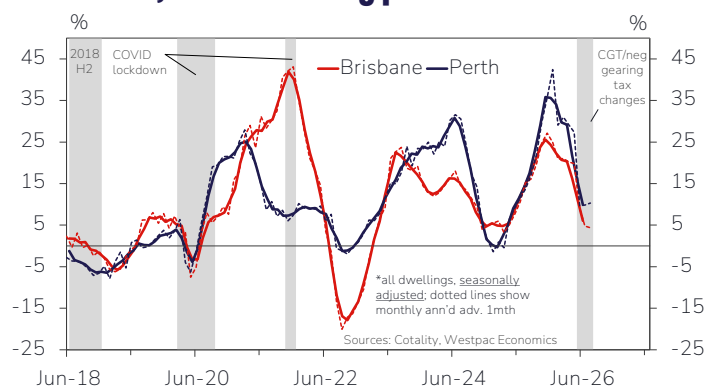


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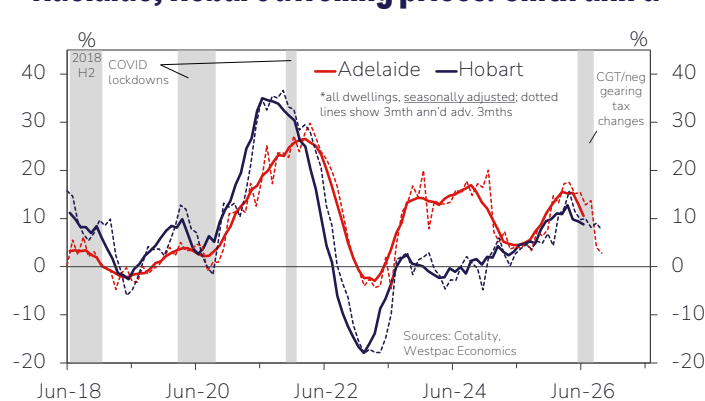
Sydney, Melbourne dwelling prices: 3mth ann'd



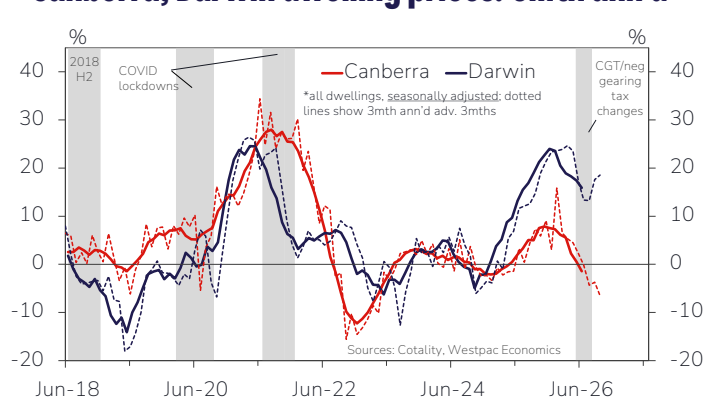
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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First Impressions: NZIER Quarterly Survey of Business Opinion, June quarter 2026

#businessconditions

#newzealand



By Michael Gordon

Senior Economist, Westpac NZ

08:10 July 14 2026

 Share

Business confidence picked up a bit in the June quarter, but Middle East tensions and higher fuel prices remained on firms' minds.



Key results (seasonally adjusted)

General business situation: +12 (Prev: +1)

Trading activity, past three months: +1 (Prev: 0)

Trading activity, next three months: +10 (Prev: +13)

Average selling prices, past three months: +37 (Prev: +23)

Average selling prices, next three months: +52 (Prev: +43)

The NZIER's June quarter survey of business opinion showed a modest lift in confidence as the tensions in the Middle East eased. Sentiment about the general business situation rose to a net 12% positive, compared to a net 1% in the March survey. However, the own-activity measures, which tend to have a closer correspondence with GDP growth, were little changed for the quarter.

As in the March quarter, the fast-moving events in the Middle East meant that the averages in this survey hide a lot. While the survey period ran from 10 June to 7 July, nearly all of the responses were received on two dates: on the 10th when the survey was sent out, and on the 17th after the signing of the Memorandum of Understanding between the US and Iran. For general business sentiment, early responses were a net 5% negative, while the second batch were a net 20% positive. With the renewed hostilities this month, the first batch of responses is probably more representative of where sentiment would stand if the survey was re-run today.

Other activity indicators were mixed. Investment and hiring intentions were less negative than in the March quarter, while profitability was expected to worsen further.

Conditions remain mixed across industries. Manufacturing remains relatively upbeat, buoyed by strong export sales, but respondents were more negative about the quarter ahead and noted a particularly large increases in their costs and sale prices. The building industry was a little more positive this quarter, but reported that they have continued to cut their prices despite soaring costs. Merchants (wholesalers and retailers) remained positive, but less so than last quarter.

The rise in fuel prices since March was clearly reflected in the pricing measures of the survey. A net 41% of firms reported raising their prices in the last quarter, up from 22% last quarter the highest reading since September 2023. In the next three months, a net 54% of firms intend to raise their prices, the highest since March 2023.

For the RBNZ, the implications of the survey are unclear. While it's not surprising that a number of firms would be looking to pass on the rise in fuel and other costs, the short horizon for the survey questions (three months ahead) means that it doesn't tell us a lot about the potential for second-round inflationary effects. And while the activity measures improved in some places, they don't really seem to support the RBNZ's assertion that the economy has been running stronger than they expected in their May MPS forecasts.

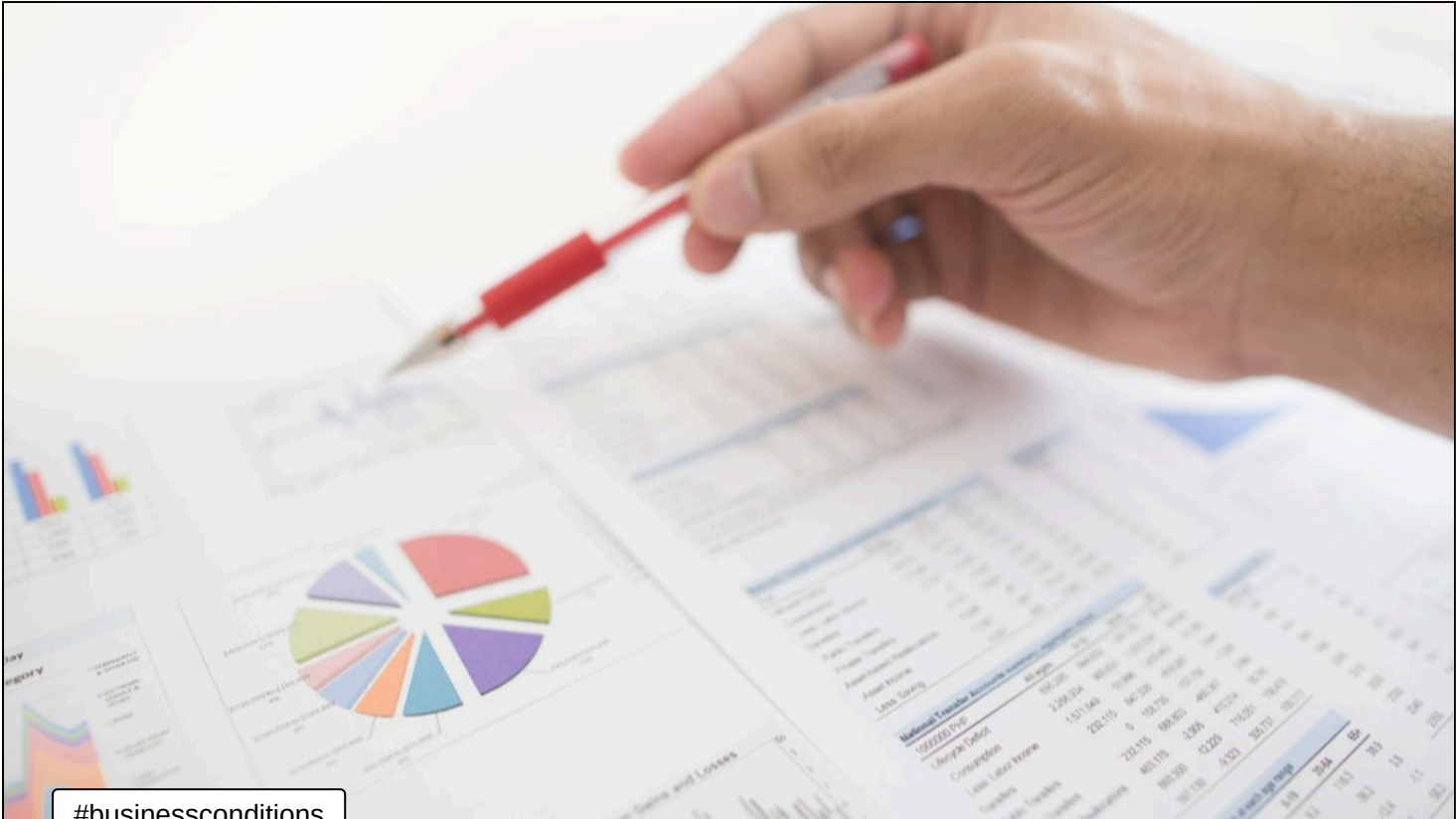
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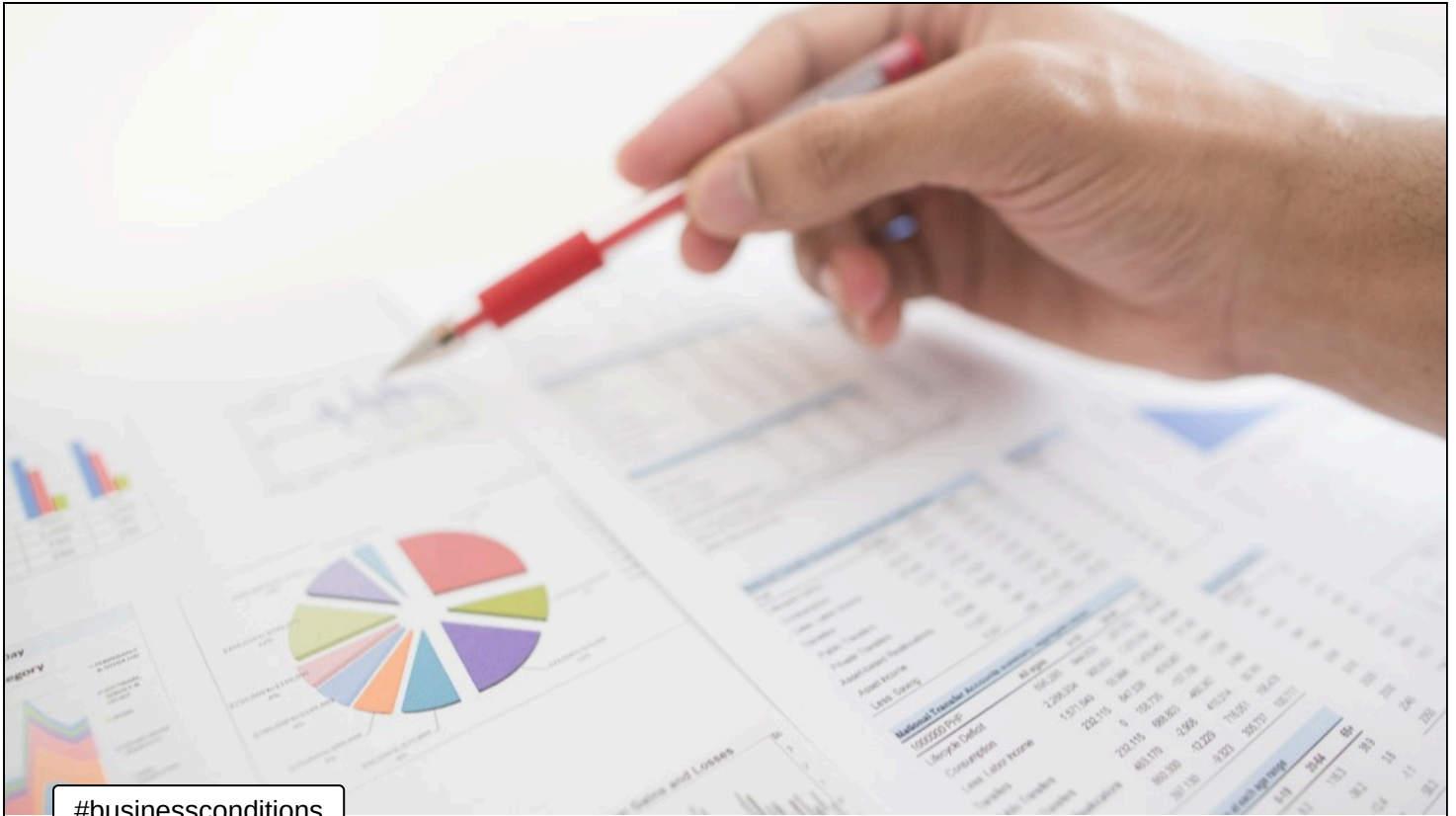


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HOUSEHOLD FINANCES CHART PACK

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Key takeouts

- Overall household income levels are continuing to rise. However, much of that is due to increases in entrepreneurial earnings (which is in part due to increased earnings in the agricultural sector). In contrast, wage and salary growth remains limited.
- Household savings rose in the March quarter.
- We also saw a related increase in the value of New Zealanders' financial assets. That offset softness in the value of housing and land assets, which have essentially shown no growth since late 2023.
- Household spending on interest costs has fallen. Looking ahead, we don't expect further significant falls in interest costs with mortgage rates pushing higher in recent months.

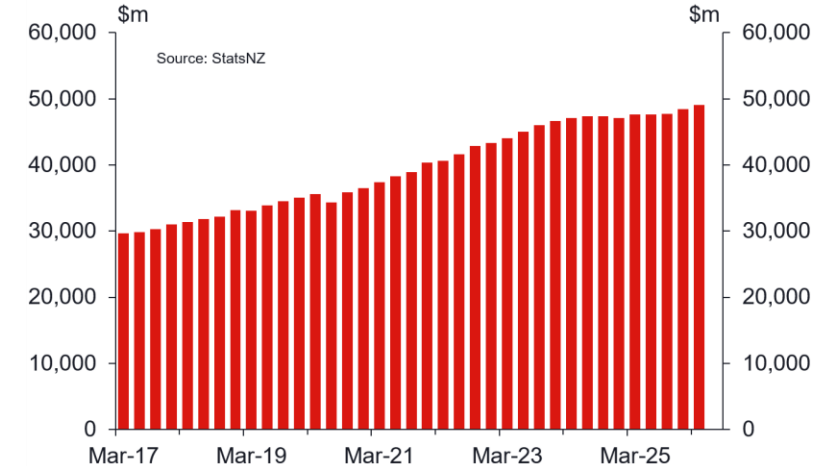
Note: Much of the data in this report is taken from Stats NZ's update on household incomes, assets and savings for the March quarter 2026.

HOUSEHOLD INCOMES

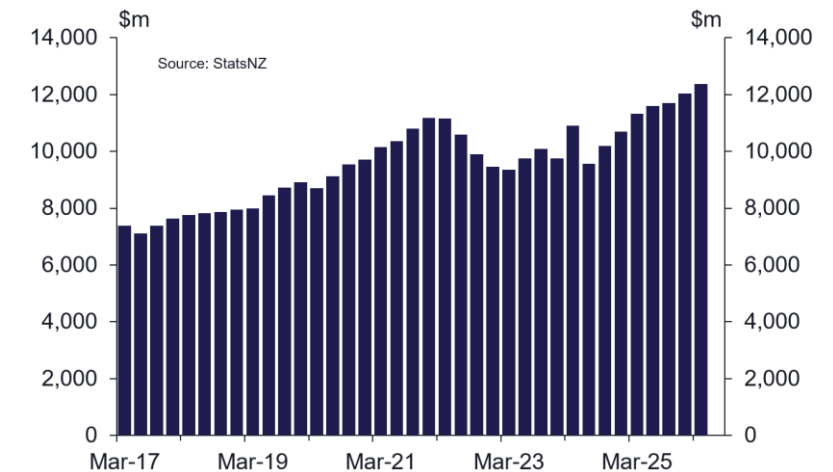
Disposable incomes have continued to lift.

- Over the past year, overall household disposable income levels have risen by around 5%. In part that rise was due to the 1.5% increase in the number of households.
- Adjusting for population changes, our own estimate of the average household's disposable income rose 3.8% in the year to March (up from 3.1% at the end of last year).
- However, while overall incomes have been rising, that's mainly due to increases in entrepreneurial earnings, which are up 14% over the past year. That will include stronger earnings in the agricultural sector, which has been boosted by the strength in commodity export prices. That lift in agricultural earnings has been reflected in stronger economic confidence and spending in many rural regions.

Compensation of employees.



Entrepreneurial income.



SAVINGS AND WEALTH

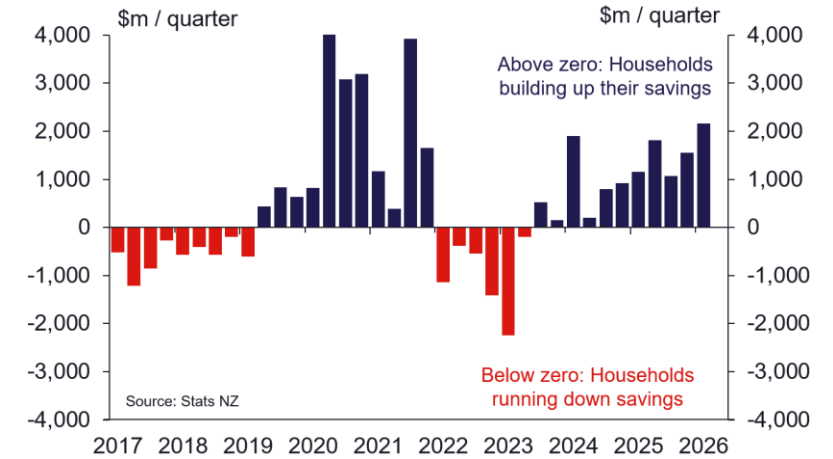
Household savings rose by \$2b over the past quarter.

- March's large increase in savings builds on the solid increases seen over the past three years.
- That seen the household savings rate rising to 3.3% of disposable income, the highest it's been since the pandemic lockdowns.

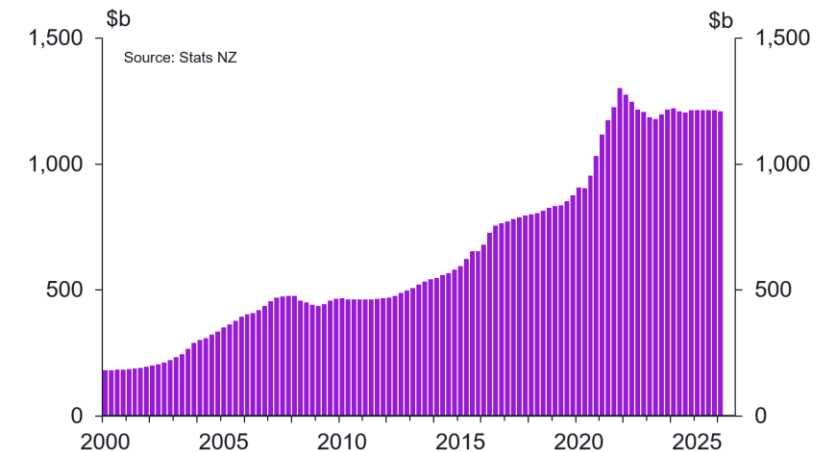
Overall household wealth levels were up 1.5% over the past year.

- The value of households' financial assets has continued to rise and is up 3.3% over the past year.
- However, the value of housing and land assets is down 0.5%, which has resulted in only limited growth in overall wealth levels.
- The value of housing and land assets remained essentially unchanged since late 2023.

Household savings.



Values of housing and land assets.

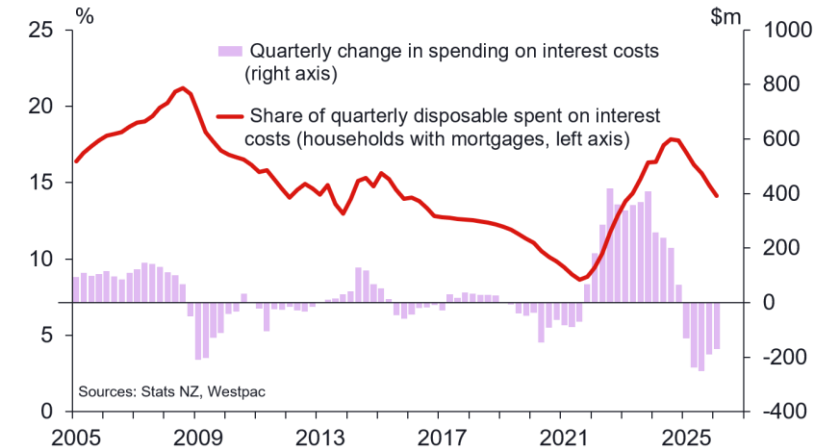


INTEREST COSTS

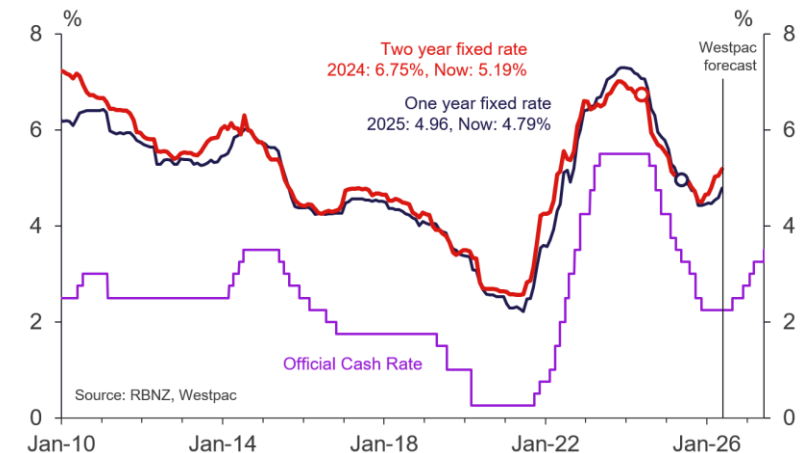
Households' spending on interest costs have fallen for a fifth consecutive quarter.

- Reductions in interest costs over the past year have helped to support household spending in the face of rising living costs.
- We don't expect to see further significant falls in households borrowing costs over the remainder of this year. Mortgage rates have been pushing upwards in recent months (though there's been some scaling back of those increases this week). That's occurred against a backdrop of renewed concerns about inflation in the wake of the Middle East war. And while tensions in the Middle East have eased over the past few weeks, the RBNZ is still expected to raise the Official Cash Rate at a measured pace over the coming months.
- Even with mortgage rates rising, we don't expect a significant rise in households' interest costs over the next few months. That's because 90% of New Zealand mortgage borrowing is fixed for a period (usually for terms of one to two years).

Household spending on interest costs.



Interest rates.



Quick links



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1 July 2026

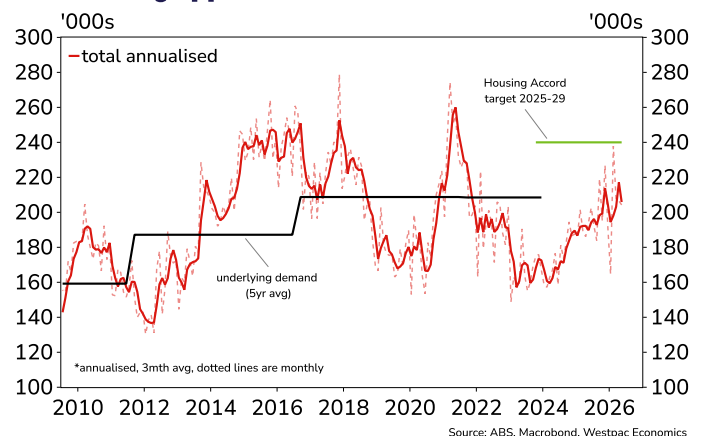
AUSTRALIAN DWELLING APPROVALS BULLETIN

Detached dwellings remain resilient

Key points

- Total dwelling approvals fell 1.1%*mt*h in May, with the annual pace easing to 5.3%*yr*. Approvals continue to normalise from the elevated levels reached in February.
- Private detached dwelling approvals returned to growth, rising 2.8%*mt*h. In contrast, private unit approvals fell 10.4%*mt*h, led by high-rise projects.
- SA and NSW recorded growth, while WA and Victoria posted modest declines. Queensland recorded the weakest outcome.
- The value of residential building approvals fell 5.7%*mt*h, although a sharp rise in non-residential approvals, led by data centre-related projects, saw the total value of building approvals increase 14%*mt*h.
- Further softening appears likely amid a higher rate environment and elevated construction costs, while tax changes add uncertainty to the outlook.

Dwelling approvals



**Total dwelling approvals
-1.1%*mt*h,
5.3%*yr***

Total approvals continue to soften



Luka Belobrajdic
Economist

Total dwelling approvals fell 1.1%*mth* in May, with the annual pace easing to 5.3%*yr*. The result was in line with Westpac's expectation for a 1.0%*mth* decline, although weaker than market expectations for a flat outcome. Private detached dwelling approvals continued to show resilience, while unit approvals further unwound the sharp gains recorded in February.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals returned to growth in May, rising 2.8%*mth* and more than offsetting April's decline. The April result was revised higher, with approvals now estimated to have fallen 0.4%*mth* (+0.6*ppts*) in the month. As a result, the annual pace strengthened to 13.2%*yr*, the strongest outcome since September 2024, suggesting detached housing approvals have remained relatively resilient despite higher interest rates.

Private unit approvals continued to unwind from February's surge, declining 10.4%*mth* in May. This follows an upwardly revised 4.0%*mth* increase in April, compared with an initial estimate of a 3.6%*mth* decline. The annual pace has moved into contraction at -8.6%*yr*, with approvals in the month sitting below the average level recorded across 2025. High rise unit approvals again drove the headline move, with the Westpac seasonally adjusted estimate across both sectors falling 35%*mth*, while low mid rise approvals declined 6.9%*mth*.

Across the states, SA was the strongest performer, with private dwelling approvals rising 8.4%*mth*, driven by unit approvals, while detached dwellings declined. NSW also recorded growth, with private dwelling approvals increasing 1.4%*mth*. WA recorded a modest decline of 0.2%*mth*, while Victoria fell 2.2%*mth*. Queensland was the weakest performer, with approvals falling 14.2%*mth* as both segments retreated.

In value terms, residential building approvals fell 5.7%*mth* in May, with a 0.1%*mth* rise in renovation activity outweighed by a 6.6%*mth* decline in new residential approvals. Non-residential approvals rose 41%*mth*, led by the data centre-dominated 'other commercial' segment, up +254%*mth*. As a result, the total value of building approvals increased 14%*mth*.

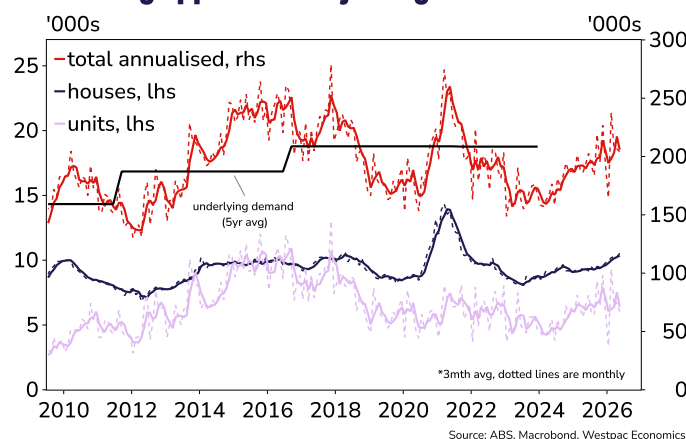
Approvals continue to ease from the elevated levels reached in February, although detached dwellings continue to support the headline result. Looking ahead, downside risks remain, with further possible RBA cash rate increases and elevated construction costs posing headwinds, while tax changes add uncertainty to the outlook. For a full assessment of housing market conditions, see our latest Housing Pulse ([here](#)).

Building approvals – May 2026

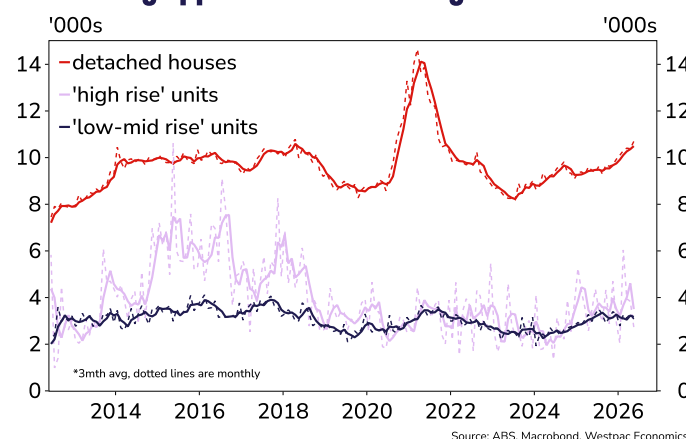
3mth avg	3mth %chg*			%yr	
	latest	Apr	May	Apr	May
Private houses	10,356	4.7	3.8	10.3	11.4
Private units	6,412	24.1	3.1	17.6	4.2
Public dwellings	389	-8.7	27.4	-3.4	8.3
Total dwellings	17,157	11.7	3.9	12.9	8.5
Total dwellings, <i>mthly</i> *	17,019	-0.2	-1.1	10.9	5.3
– units in 'high rise'^	3,516	45.6	-1.5	34.3	10.3
– units in 'low rise'^	3,132	5.0	1.1	7.5	2.2
Renovations, \$bn	1.344	4.1	2.4	14.0	12.6
Non-res., \$bn	8.193	-4.1	4.1	7.2	9.5

*figures for 'total dwellings *mthly*' are monthly and *mthly*%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

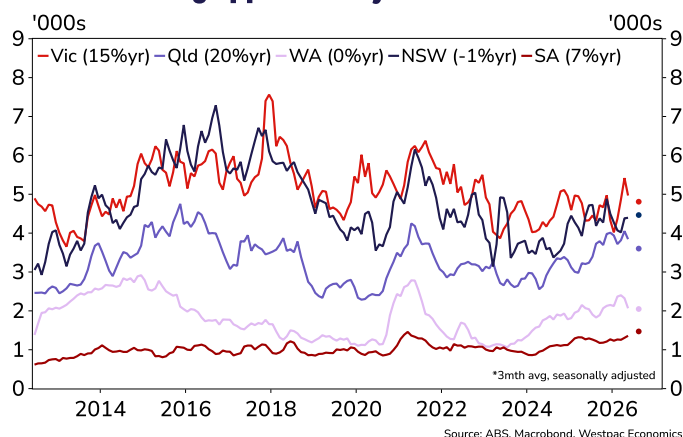
Dwelling approvals: major segment



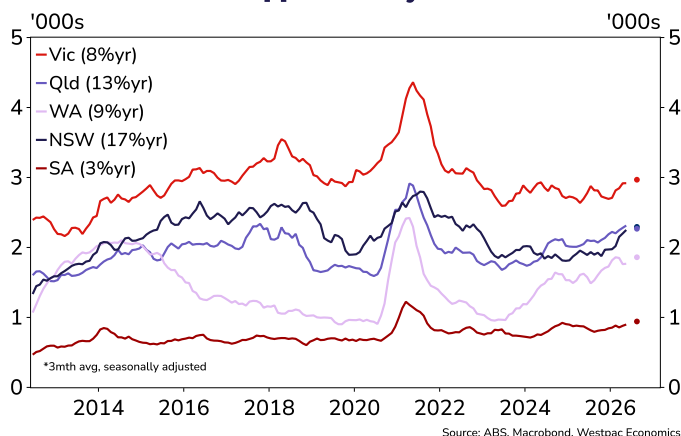
Dwelling approvals: detailed segment



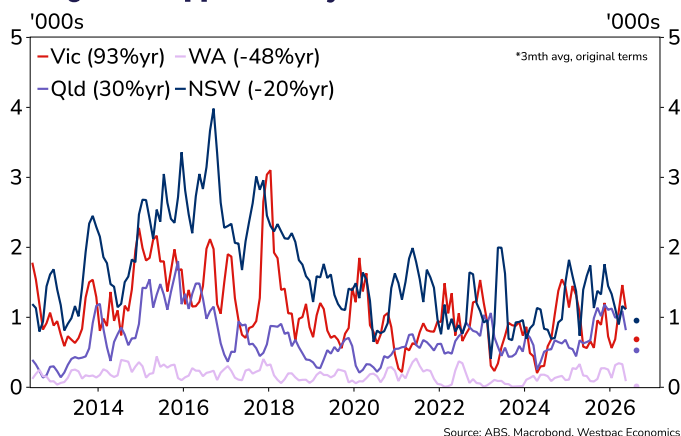
Total dwelling approvals: by state



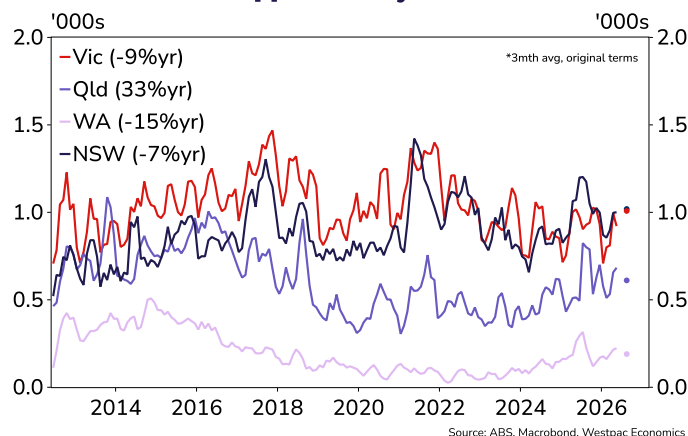
Detached house approvals: by state



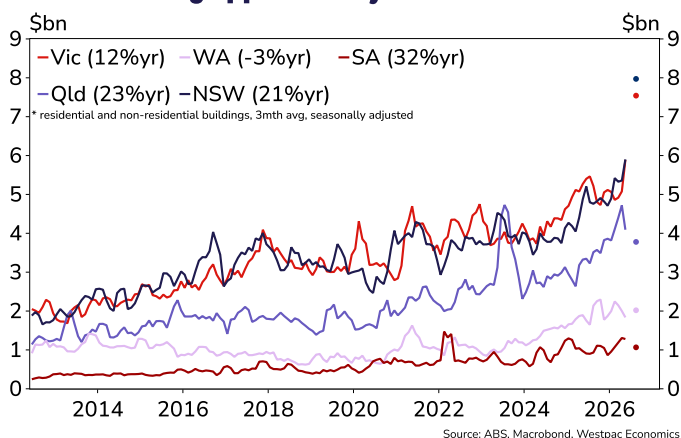
'High rise' approvals: by state



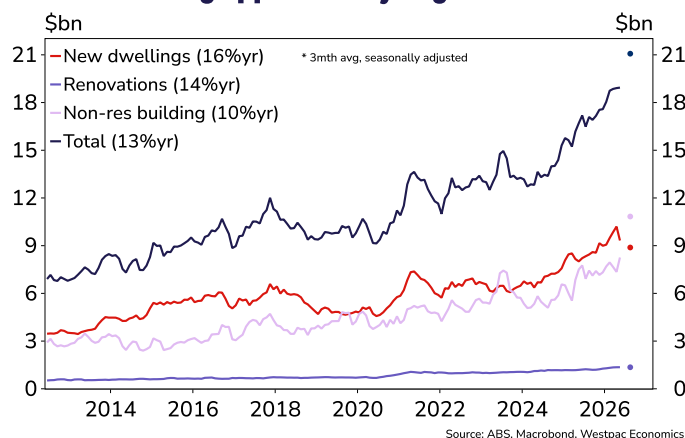
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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From forward guidance to framework guidance

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By [Illiana Jain](#)

Economist, Westpac

07:47 July 03 2026

Share

Key themes from the ECB's 2026 Sintra Forum on Central Banking.



The three key themes emerging from this year's ECB Forum in Sintra were:

- Greater flexibility in monetary policymaking, with central banks placing less emphasis on forward guidance and more emphasis on communicating the framework underpinning policy decisions.
- The uncertain implications of AI, which has the potential to reshape productivity and labour market outcomes but is not yet evident in the data.

- A growing focus on non-bank financial risks, as policymakers monitor the rapid growth of leveraged market participants, private credit and other sources of potential financial instability.

The European Central Bank's annual forum brought together leaders from major central banks including the ECB, Bank of England, US Federal Reserve and Bank of Canada. Three key themes were highlighted by the keynote panel: the need for greater flexibility in conducting monetary policy, how AI advances are factoring into decision making and the importance of safeguarding financial stability.

The panel began with the head of the central banks noted above outlining the method behind their recent decisions. Evident in each response is that heightened uncertainty over first round and secondary price pressures combined with mixed messages from incoming activity data necessitate flexibility in setting the policy stance and communicating risks. Constructively, panellists expressed little concern that their economies were facing a return to the stagflationary environment of the 1970s. Strong labour markets and well-anchored inflation expectations were cited as safeguards against such a turn.

ECB President Lagarde went on to discuss the ECB's move away from traditional forward guidance in favour of 'framework guidance', that is communicating the thinking that underpins its decisions versus an expectation of where to next. Governor Bailey and Chair Warsh agreed with the approach, arguing that forward guidance can ultimately make it harder to effectively manage policy if conditions evolve in an adverse manner, to the detriment of the economy. As such, inter-meeting and looking to the medium-term, market participants will be left to discern the future policy path based on policy makers' framework, their latest risk assessments and the data that follows.

A preference for optionality and careful communication was also evident in discussions around the balance sheet. While Chair Warsh again noted a preference for a smaller central bank balance sheet, he recognised that any changes must be clearly signalled to markets before implementation. Although domestic conditions remain the primary driver of policy, the panellists were cognisant that actions in one jurisdiction can have important implications elsewhere and that this should be kept in mind.

AI's impact on the economy and markets received considerable attention throughout the panel. While panellists broadly agreed that AI has the potential to lift productivity and expand the supply side of the economy, there was little consensus on the timing or magnitude of these effects. Chair Warsh did, however, suggest labour market changes could emerge rapidly once adoption becomes widespread. The net impact on inflation of AI adoption is difficult to discern ahead of time, so too the implications for monetary policy.

A discourse on AI and financial stability focused on the benefits of sharing research and coordinating approaches across jurisdictions. More broadly on financial markets, panellists noted the growing power of hedge funds in government bond markets. Though the risks associated with individual funds may be manageable, concerns arise when multiple investors employ similar strategies and rely on the same funding markets. A period of heightened volatility could trigger a rapid unwinding of positions, potentially spilling over into other markets.

Leveraged ETFs and the rapid growth of private credit markets were cited as other potential material risks, particularly given elevated valuations in some markets. Stronger productivity growth and technological innovation could, in time, justify these valuations but, warranted or not, a sharp correction would have lasting implications for market stability and the real economy. Governor Bailey noted that the Bank of England is actively assessing the potential implications of this myriad of risks.

Overall, policymakers are operating in an environment where the outlook can change quickly for many reasons including, but not limited to, shifts in trade policy, technological change and/or developments in financial markets. In this environment, the flexible application of a clearly defined policy framework is the preferred approach to manage the cyclical momentum of the economy, known risks and financial stability.

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WESTPAC WAVE

Fiji FY2026-27 National Budget Review

01 July 2026

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- The 2026–27 National Budget for Fiji projects a fiscal deficit of \$1.0bn (7.0% of GDP), up from \$0.8bn (5.5% of GDP) in 2025–26.
- Over the medium-term, the fiscal deficit is expected to remain close to \$1.0bn annually, above 6.0% of GDP. The Government does not expect to achieve an operating surplus until 2028–29. Public debt is projected to reach 88.3% of GDP by 2028–29 with annual interest payments nearing \$600mn.
- The primary balance, defined as revenue less non-interest expenditure, is projected to remain in deficit at \$449.4mn (3.0% of GDP) in 2026–27, with no meaningful improvement expected over the medium-term. By 2028–29, the primary deficit is still forecast to exceed \$400mn. This raises an important question: how will lenders and credit rating agencies assess Fiji's fiscal trajectory?
- The tax regime has largely been kept stable, apart from the introduction of a 5% Tourism Services Tax to support the aviation industry and the alignment of some duty rates. Revenue is projected to average around 25% of GDP over the medium-term.
- This is a \$4.9bn spending budget (32.8% of GDP), approximately \$200mn higher than the revised 2025–26 expenditure estimate. Most of this increase is directed towards accommodating the General Election, Population Census and key capital projects, while broad-based operating expenditure cuts of around 10% have been implemented across ministries and departments.

BIG Numbers

Revenue (25.8% of GDP)

\$3.8bn

↓ -69.8mn
over last FY

Expenditure (32.8% of GDP)

\$4.9bn

↑ +199.5mn
over last FY

Fiscal Deficit (-7.0% of GDP)

\$1.0bn

↑ +269.3mn
over last FY

Gross Debt (84.8% of GDP)

\$12.6bn

↑ +1.0bn
over last FY

Primary Deficit (3.0% of GDP)

\$449.4mn

↑ +211.2mn
over last FY

*Compared to FY2025-26 revised estimate

Promising budget requires greater caution

Shamal Chand

Senior Economist, Westpac Pacific Economics

The theme of Fiji's 2026–27 National Budget is “A Responsible Budget for Sustainable Future.” Prior to the announcement, very little information on key policy measures had been made public. There was a broad expectation that the Government would keep major revenue policies unchanged while tightening expenditure and maintaining support for households and businesses. In many ways, that is exactly what was delivered.

The Government's central message in the budget is that it recognises public spending has become bloated and that expenditure discipline needs to improve. The budget attempts to demonstrate this by largely keeping overall expenditure unchanged from the previous year. In doing so, it continues to support the critical education, health, security and social sectors of the Fijian economy.

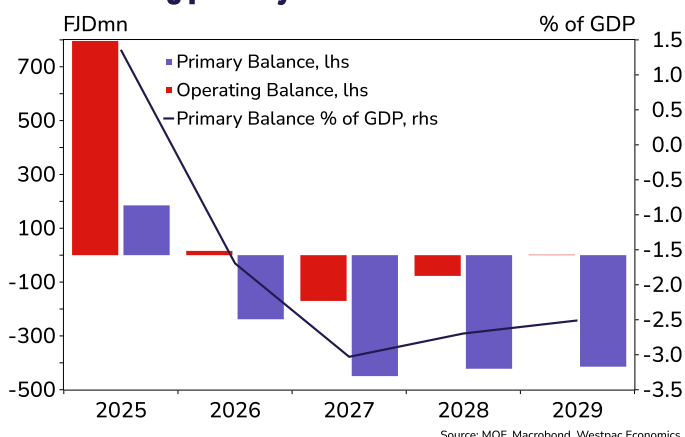
While the Government's commitment to expenditure control is commendable, the worsening primary balance requires greater scrutiny. The primary balance measures the difference between Government revenue and non-interest expenditure. A negative primary balance indicates that the Government is borrowing to meet its interest obligations, creating a potentially self-reinforcing cycle in which rising interest payments require additional borrowing.

Fiji's primary deficit is projected to widen from \$238.1mn (1.7% of GDP) in 2025–26 to \$449.4mn (3.0% of GDP) in 2026–27 and even hovering above \$400mn throughout the medium-term forecast period to 2028–29, which is a cause for concern.

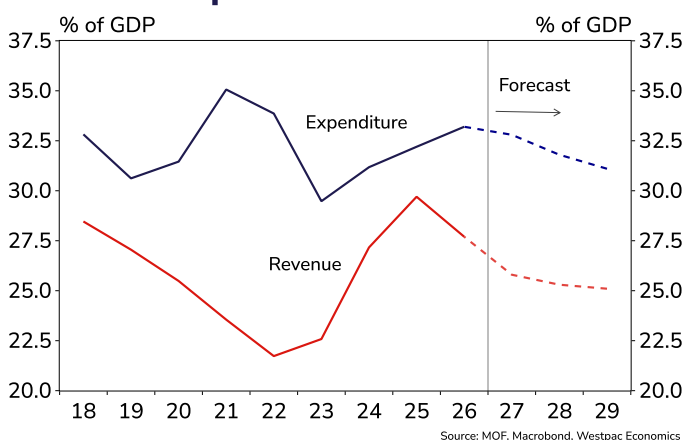
Fiji's multilateral development partners, lenders and credit rating agencies closely monitor the primary balance as a key indicator of fiscal discipline and debt sustainability. A persistent primary deficit, including over the medium-term, suggests that the Government is unable to fully finance its expenditure through its own revenues before interest costs are considered. This presents a significant fiscal and sovereign risk if left unchecked, potentially leading to credit rating downgrades and higher borrowing costs in the future.

In summary, the budget documents show that revenue is projected to decline from \$4.1bn (29.7% of GDP) in 2024–25 to \$3.8bn (25.8% of GDP) in 2026–27 before gradually recovering to \$4.2bn by 2028–29. Meanwhile, expenditure is expected to continue rising, reaching \$5.1bn (31.1% of GDP) by 2028–29, driven largely by operating costs and growing debt-servicing obligations. The fiscal deficit is projected to widen sharply from \$337.5mn (2.5% of GDP) in 2024–25 to \$1.0bn (7.0% of GDP) in 2026–27 and remain elevated thereafter. Public debt is projected to increase from 79.0% of GDP to 88.3% of GDP by 2028–29.

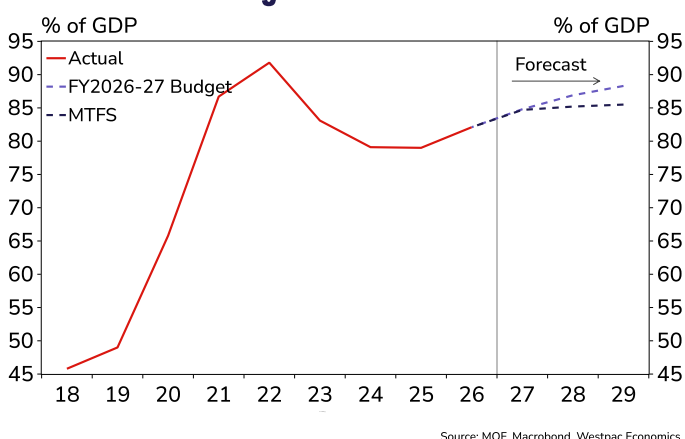
Deteriorating primary balance



Revenue and Expenditure



Debt to GDP ticks higher



Tax stability and expenditure control

Government expects revenue to remain relatively subdued initially at \$3.8bn, with no major changes to the existing tax structure, even as nominal GDP is projected to grow by 5.5%. One of the strongest features of the budget is the preservation of tax stability. VAT, personal income tax and corporate tax rates remain unchanged. The only notable tax measure is the introduction of a 5% Tourism Services Tax from September 2026 on hotels and tour operators with annual turnover exceeding \$2mn, alongside the alignment of several duty rates and other cosmetic changes.

The Government appears to be relying once again on conservative revenue assumptions. Given that the 2025–26 fiscal year is expected to finish close to the original budget estimates, it is difficult to argue that expenditures have been materially overstated this time around. Instead, the budget reflects a Government that is increasingly comfortable operating with large deficits. The lack of fiscal consolidation is no longer being disguised in the MTFS. The deficit continues to widen, and medium-term projections revised upwards.

The budget keeps overall expenditure broadly unchanged from the previous year, despite accommodating around \$200mn in new spending for the General Election, Population Census and key infrastructure projects. To create room for these priorities, Government announced a broad-based 10% reduction in operating expenditure across ministries, departments and other agencies, including no civil service pay increase.

Given rising inflation, can ministries/departments realistically absorb a 10% reduction in operating grants without cutting or reorganising their overheads?

Most support measures had already been announced before budget day, including fuel duty concessions for Energy Fiji Limited, bus operators, hotels, resorts, mining companies and manufacturers that rely on diesel generation - proactively extended until October.

The budget includes targeted incentives aimed at supporting peer-to-peer lending platforms, equity crowd-funding, EV charging infrastructure, sporting development and greater iTaukei participation in commercial investments.

A review of 2025–26 likely outcomes highlights a familiar concern: capital expenditure implementation. Operating expenditure was largely delivered, with revised estimates reaching approximately \$3.9bn, or 99.3% of budget. Capital expenditure, however, significantly underperformed. Revised estimates indicate capital spending of \$792.3mn, meaning around \$134.3mn of planned capital works and investments might not be delivered. This could also be due to the restructuring and merging of ministries mid-fiscal year.

This pattern continues to raise concerns about the Government's ability to fully translate budget allocations into productive infrastructure outcomes. It also contributes to the worsening composition of expenditure. Over the past several years, the balance between operating and capital spending has deteriorated to an 82:18 ratio.

Medium-Term Budget Plan

\$ million	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue	4,053.2	3,894.0	3,824.2	3,959.9	4,151.2
% of GDP	29.7	27.7	25.8	25.3	25.1
Tax	3,484.6	3,391.3	3,306.1	3,508.2	3,685.9
Non-Tax	568.6	502.7	518.1	451.7	465.3
Expenditure	4,390.7	4,670.4	4,869.9	4,970.7	5,134.7
% of GDP	32.2	33.2	32.8	31.8	31.1
Operating	3,257.2	3,878.1	3,994.2	4,036.9	4,149.5
o/w finance charges	522.5	538.3	596.3	588.8	569.1
Capital	1,056.9	792.3	875.7	933.8	985.2
Fiscal Deficit	-337.5	-776.4	-1,045.5	-1,010.8	-983.5
% of GDP	-2.5	-5.5	-7.0	-6.5	-6.0
Debt	10,761.8	11,538.2	12,583.9	13,594.7	14,578.2
% of GDP	79.0	82.1	84.8	86.9	88.3
Nominal GDP	13,625.6	14,055.5	14,833.5	15,649.3	16,510.1
Primary Balance	185.0	-238.1	-449.4	-422.0	-414.4
% of GDP	1.4	-1.7	-3.0	-2.7	-2.5
Operating Balance	796.0	15.9	-170.0	-77.0	1.7
% of GDP	5.8	0.1	-1.1	-0.5	0.0

Source: Westpac Fiji Analysis; Ministry of Finance budget reports

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Proposed financing plan

The 2026–27 Budget will be financed through a combination of domestic and external borrowing to meet a gross financing requirement of \$1.48bn. This comprises a projected fiscal deficit of \$1.04bn and debt repayments of \$436.3mn. While domestic financing remains the largest funding source, Government is budgeting for a significantly larger contribution from external partners than in recent years.

Total overseas financing is projected at \$628.0mn, accounting for 42.4% of total financing requirements, up from 37.6% in the revised 2025–26 Budget and 27.8% in 2024–25. Domestic financing is expected to contribute \$853.9mn (57.6%).

The external financing programme is dominated by multilateral lenders, particularly the ADB, which is expected to provide \$511.8mn, representing more than 80% of total overseas financing. The World Bank and IDA are expected to contribute \$55.9mn, while smaller amounts are anticipated from the AIFFP (\$7.5mn), OPEC Fund (\$6.9mn) and IFAD (\$1.5mn). Of the total external programme, approximately \$496.0mn is expected to be sourced through policy-based lending operations, with the balance funding project-related expenditure.

However, the financing assumptions remain exposed to significant execution risks. During 2025–26, Government experienced substantial challenges in accessing external financing, a risk we highlighted in last year's budget review. As at April 2026, only \$44.7mn in foreign financing had been secured, equivalent to just 8% of the revised external

financing target of \$559.3mn, due to delays in policy reforms. This forced Government to draw on its cash reserves to meet expenditure needs, with Government deposits in commercial banks falling to \$0.6bn in May from levels previously close to \$1.0bn.

In contrast, domestic financing performance remained strong, with \$789.9mn raised, representing around 85% of the annual domestic financing target, with an increased risk of domestic liquidity constraints in future.

The 2025–26 experience highlights the uncertainty surrounding external financing flows. Policy-based loans are generally subject to policy reform commitments, approval processes and disbursement conditions, which can delay funding beyond budget assumptions. Given the heavy reliance on ADB financing in 2026–27, any delays in approval or disbursement could create financing pressures and require Government to rely more heavily on domestic markets.

In response, Government appears to be extending the maturity profile of domestic debt. Recent auction data point to a gradual shift towards 25-year bonds, while demand for shorter tenors has generally weakened. Several 25-year bond auctions in 2026 attracted relatively strong investor interest, including a March issuance that received \$99mn in bids against \$40mn offered. Extending maturities reduces refinancing and rollover risks while better aligning Government borrowing with the long-term nature of infrastructure investment. This also meets the needs of institutions such as FNPF.

Proposed Financing Sources

Financing (\$ million)	2024-25	2025-26	2026-27
Overseas			
Asian Development Bank	10.4	35.9	511.8
World Bank & IDA	29.1	42.4	55.9
Japan International Cooperation Agency	0	0	0
Asian Infrastructure Investment Bank	0	0	0
Australian Infrastructure Financing Facility for Pacific	0	0	7.5
European Investment Bank	7.7	1.8	0
OPEC Fund	0	0	6.9
IFAD	0	0	1.5
Other unspecified policy-based / multilateral financing	159.2	479.2	44.4
Total	206.4	559.3	628.0
Domestic Bonds and Loans	534.8	928.7	853.9
Total Financing	741.2	1,488.0	1,481.9
Share			
Overseas	27.8%	37.6%	42.4%
Domestic	72.2%	62.4%	57.6%

Source: Westpac Fiji Analysis; Ministry of Finance budget reports

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Budget developed in crisis...

Budget announcements in Fiji are usually accompanied by optimism and high expectations. This year was different. The 2026–27 National Budget was developed during one of the most uncertain periods in recent years. Having said that, describing the environment as “uncertain” has become almost a budget cliché; nearly every budget over the past few years has been prepared under similar circumstances.

Global fuel markets were disrupted by conflict in the Middle East, inflation pressures were rebuilding, growth forecasts were being revised downwards, and Fiji is edging closer to a General Election. Throughout May and June, policymakers were forced to prepare for a scenario involving prolonged fuel market disruptions, elevated oil prices, and rising prices.

Yet by the time the new financial year begins, the global environment had shifted dramatically, although uncertainty remains elevated. A ceasefire between the US and Iran had largely held, shipping traffic through the Strait of Hormuz had resumed and millions of barrels of previously stranded oil were reaching international markets. Domestic fuel prices followed suit, with petrol falling by 49c and diesel by a substantial \$1.19/litre in July. As such, with these positive developments and accounting for recent budget announcements, we keep Fiji’s 2026 growth profile unchanged at 2.0%.

Inflationary pressures expected to persist

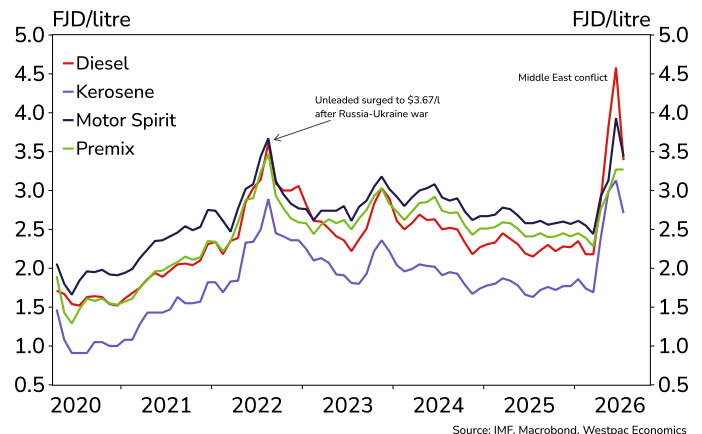
Government expects year-end inflation to exceed 6.0% with June reading already at 6.1%. While falling fuel prices should help ease some pressure during the second half of the year, households and businesses will continue to feel the cumulative effects of higher living and operating costs. Based on past experience of many, even if benchmark fuel prices decline, retail goods prices do not always adjust downwards accordingly unless they are subject to regulatory pricing mechanisms. Domestic consumption continues to be supported, including through remittances, which have surged to \$561.7mn as of April (up by 25.2%).

Aviation sector supported

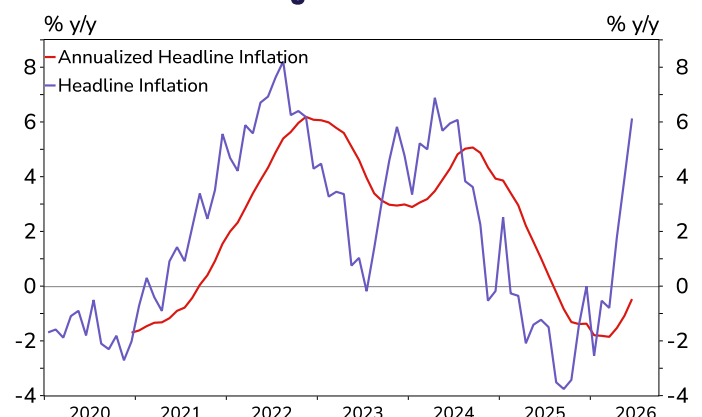
The budget provides much-needed support to the aviation sector, particularly Fiji Airways, which is facing high operating costs. The budget supports Fiji Airways through a planned \$200mn Government guarantee, \$10mn in fees relief, and an extension of tax loss carry-forward provisions to 15 years. A temporary 5% Tourism Services Tax is expected to generate approximately \$70mn to support Fiji Airways.

In addition, visitor arrivals in May 2026 totalled 85,405, down 1.4% y/y from 86,587 in the same month last year. Year-to-date arrivals reached 362,106, up 3.1% compared with 351,069 over the same period in 2025. Fiji is now in its peak tourism season, and softer arrivals over the past 2 months may signal a weaker growth trajectory this year.

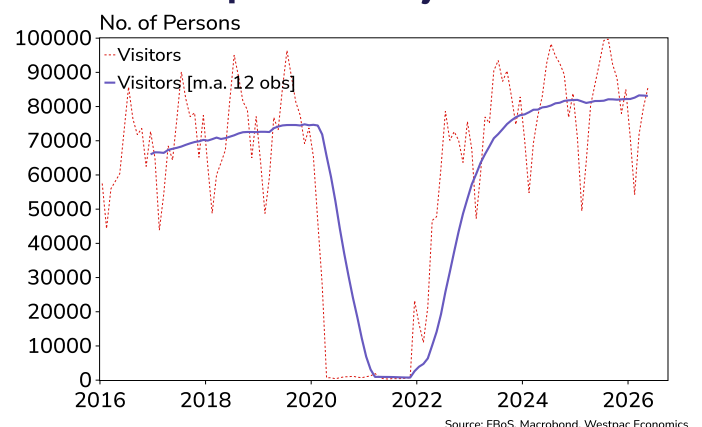
Fiji domestic fuel price



Headline inflation surges to 6.1% in June



Visitor arrivals up 3.1% as of May



...has become quite a cliché

Government asks private sector to drive growth

To spark this transition, the Government is rolling out aggressive tax holidays across key sectors. New cement manufacturing facilities and major iTaukei joint ventures in eco-tourism can qualify for tax holidays of up to 13 years, while mahogany processors and healthcare facilities receive targeted tax incentives.

Simultaneously, the Government is attempting to cut through bureaucratic red tape. Investor permit processing times are expected to be reduced from 21 days to just five, supported by a fast-track taskforce involving Investment Fiji and the Ministry of Immigration to clear project bottlenecks, alongside a \$4mn digital building permit system. The budget also seeks to reduce business costs through duty reductions on selected imported inputs, including aluminium and PVC products, with the aim of lowering construction and manufacturing costs.

Superannuation changes

One of the most notable initiatives is the temporary reduction in employer FNPF contributions from 10% to 8% for a 12-month period. For businesses, particularly in labour-intensive sectors such as tourism, retail and manufacturing, this provides immediate payroll cost relief and additional cash flow during a period of weaker growth.

For workers, lower contributions would normally raise concerns about slower accumulation of retirement savings. With no major support measures for employees announced in the budget, businesses now have the opportunity to maintain the previous 10% employer contribution rate as an additional employment incentive.

One piece of good news, which was incorporated into the announcement, was FNPF's declaration of a 9.5% interest crediting rate to member accounts, totaling \$866mn for the financial year ending 30 June.

Support to households and most vulnerable

The Ministry of Housing has been allocated \$25.6mn to address urbanisation challenges. The revamped First Home Ownership Initiative now targets households earning below \$60,000, offering grants of up to \$40,000 for home construction. A further \$10mn has been allocated to upgrade nine informal settlements, while \$1.3mn will support the relocation of 1,200 vulnerable households.

To ease cost-of-living pressures, social protection programmes receive \$211.4mn, supporting around 130,000 beneficiaries. Zero-rated VAT on 22 items has been maintained, while \$40mn has been allocated for Back-to-School Assistance in 2027. Households earning below \$30,000 continue to receive free water and subsidised electricity.

The State of state-owned entities

Another area requiring reform is the state-owned enterprise (SOE) sector. Many SOEs continue to generate returns on assets and equity well below levels generally expected in the private sector. SOEs recorded an average return on assets of 1.7% and a return on equity of 4.1% in 2025. Total dividends paid were \$18mn, despite SOEs holding assets worth more than \$10bn. The Government needs a clearer medium-term strategy for restructuring, commercialisation and, where appropriate, privatisation.

Challenges ahead

Foreign Reserves: Government projects foreign reserves to decline cumulatively by around \$522.8mn by 2029 as a result of a widening current account deficit. While foreign reserves currently stand at \$3.4bn, sufficient to cover 4.7 months of imports, the Government's projections clearly point to emerging external sector risks and the potential for tighter banking system liquidity and slower private sector credit growth over the medium-term. RBF profits transferred to the Government stood at \$115mn in 2026–27, accounting for a significant share of non-tax revenue. These profits are projected to decline to \$60mn by 2028–29, reflecting an expected reduction in foreign reserve holdings.

Productivity stagnation: Beyond the immediate challenges of fuel prices and fiscal pressures, the budget explicitly identifies productivity as one of Fiji's biggest long-term constraints. Economic growth is increasingly being undermined by labour shortages, outward migration, skills mismatches and rising operating costs that are not being matched by improvements in output. Ageing infrastructure, traffic congestion, high water losses, and emerging social challenges such as NCDs, HIV and drug use are all cited as factors weighing on productivity and competitiveness.

Government attempts to address this by restructuring the National Training Productivity Centre Levy, directing more resources towards workforce training, providing tax incentives for employee upskilling, and accelerating digitalisation initiatives. However, will this be adequate?

Motivation: One of the major challenges will be the full implementation of capital projects and securing external policy-based financing. These investments and reforms rely heavily on strong execution capacity. As of April, the Government had secured only 8% of its budgeted policy-based loans due to its inability to meet certain policy reform commitments and obligations. It is also expected to underspend its capital budget by more than \$100mn this financial year. With the civil service now on permanent contracts and no salary increases announced in this budget, it may prove challenging for the Government to deliver on these critical aspects of the budget.

The bitter decline of Fiji's sugar industry

Globally, sugar is considered the second most politically traded commodity after oil because of its strong links to Government policy and trade agreements. In Fiji, sugar has become more than an industry; it has deep historical and social significance.

Fiji's sugar production peaked in the mid-1990s and has been declining ever since. The number of growers has halved, cane quality has dropped, and farms have become smaller. Today, most growers are small-scale, and many continue farming mainly to keep their leases for residential purposes on the land. When agricultural leases started expiring decades ago, the industry decline accelerated. Large family farms disappeared as older generations passed away, and younger ones moved to urban areas for better jobs. Extended families once provided free labour, but with the shift to nuclear families, that support has vanished. Sugar yields have also declined because farmers are hesitant to replant, as sugarcane is a ratooning crop that can regrow for up to a maximum of five to six years.

Just to put some numbers in perspective: As of 2025, Fiji has around 9,127 active growers harvesting 1.5mn tonnes of sugarcane from 27,000 hectares. In 1996, there were 20,600 growers harvesting 4.4mn tonnes of sugarcane from 74,000 hectares. Back then, sugar exports earned over \$300mn, or 10% of GDP. In 2025, exports fell to \$76mn, which is 0.6% of GDP. This is according to Fiji Bureau of Statistics' [sugar industry production and prices data](#). Ultimately, most produced sugar is exported, and only about 30,000 tonnes are consumed locally. Because sugar is duty-protected, Fijian consumers pay more.

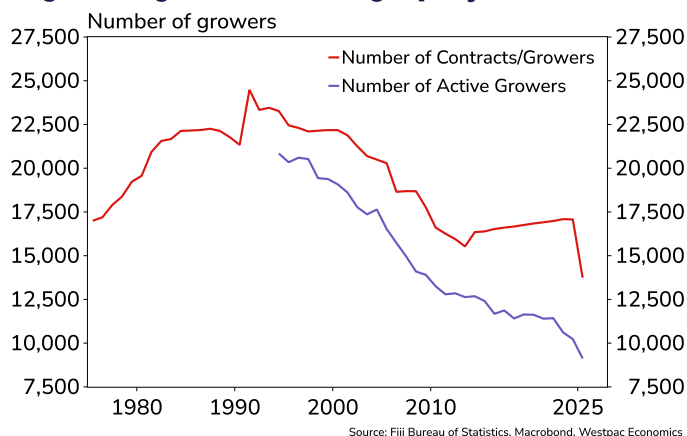
Most farmers are elderly. A 2023 estimate says over 75% are above 50 years old. Only a handful of young farmers remain engaged in the industry, typically operating larger farms or maintaining leases to reside on 30-year leased agricultural land. Existing farmers have discouraged their children from entering the industry, many of whom now work in the commercial and service sectors in urban centres, where the quality of life and pay are better.

Despite earning foreign exchange, the industry operates at a financial loss year after year. Fiji Sugar Corporation has averaged over \$30mn in annual losses for the past decade. It would cost roughly the same if Fiji imported sugar solely for domestic consumption annually. Essentially, sugar exports are heavily subsidised.

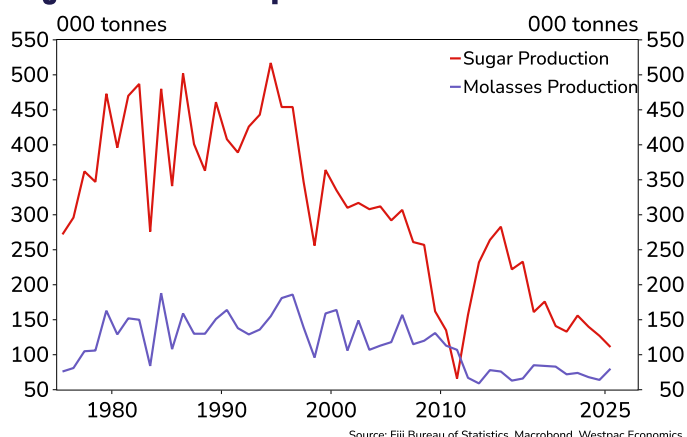
The sugar industry is kept afloat with significant financial support such as debt write-offs, grants & subsidies, and payment top-ups to mitigate global price shocks. For example, in 2024, the Fiji Government wrote off \$200.2mn in FSC debt. In 2020, \$173.8mn in loans were converted to equity. Every year, over \$60mn goes into farm development, fertiliser subsidies, road access, and more.

In the 2026-27 National Budget, the sector receives an interim

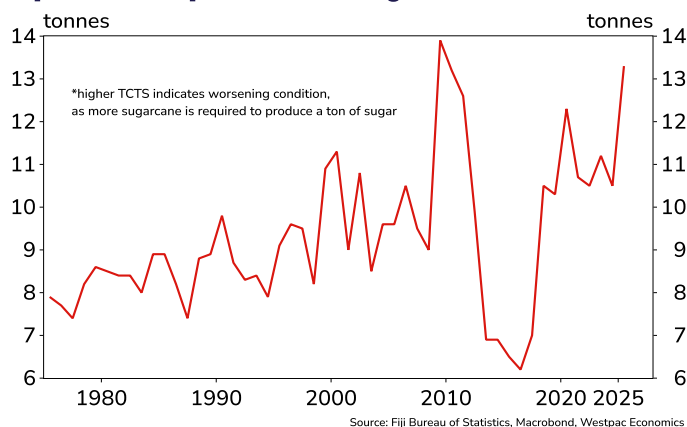
Sugarcane growers declining rapidly



Sugar and molasses production



Input of cane per tonne of sugar



The bitter decline of Fiji's sugar industry

support of \$96.3mn, with Government maintaining guaranteed price of \$85/ton and a fuel subsidy of \$5mn.

In terms of broader market projections, sugar prices are expected to fall because of global oversupply. It is currently trading just below US\$0.14/lb., one of the historic lows for the commodity. Sugar prices are expected to remain range bound through 2027, with excess supply limiting any durable recovery until 2028.

Fiji no longer benefits from the preferential prices once offered by the European Union, which at one stage paid nearly three times the prevailing world market price for sugar. The loss of that arrangement has significantly reduced the industry's export earnings and exposed local producers to the realities of competing in a highly competitive global market. Today, Fiji must compete against large-scale producers such as India and Brazil, which benefit from lower labour costs, greater economies of scale, larger state subsidies and more advanced technology, as well as Australia, where a highly capital-intensive and private sector-driven industry delivers much higher productivity. Competing under these conditions has become increasingly challenging for Fiji's sugar sector.

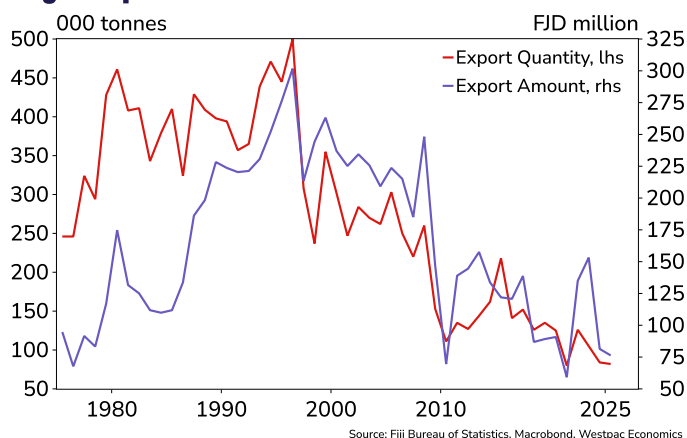
Fiji has restructured the sugar industry before independence for economic reasons. Mills have opened and closed since colonial times. For perspective, the Colonial Sugar Refinery Company established ten mills in the Rewa Valley in the 1880s, with the last one closing by 1959 as it became uneconomical to operate those mills given lower sugar content. The Penang Mill shut permanently in 2017 after cyclone damage.

The big question is whether Fiji should keep directing money into sugar or help farmers shift to other livelihoods. Mechanisation has not solved labour shortages, especially in hilly areas, and it has reduced cane quality because old mills cannot process machine-harvested cane that well. Mechanically harvested cane introduces "extraneous matter," which deteriorates yields as old mills were built to accept manually harvested sugarcane. The small farm size, distance from mills and ports together with still high dependence on labour makes the industry significantly uneconomical.

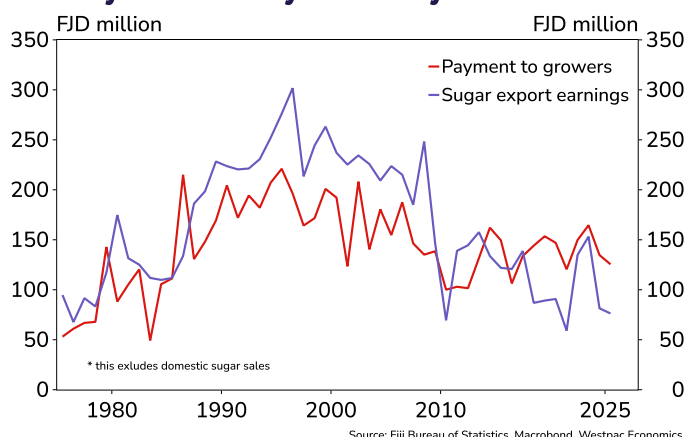
Despite the harsh realities, Fiji cannot shut the industry overnight because 10,000 growers depend on it, that is about 1% of the population, or 4% if you count family members. But reforms are needed to assist existing farmers and industry participants to gradually transition to alternative income sources. Mechanisation is essential for the industry to move toward profitability but achieving this will require substantial capital investment; something Fiji currently lacks the capacity to provide. Nonetheless, such transition will require a gradual long-term roadmap.

Sugar was once the backbone of Fiji's economy.

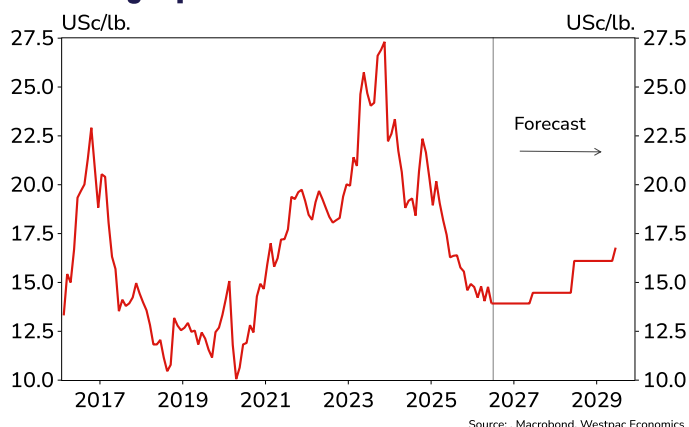
Sugar exports



Industry relies heavily on subsidy



Global sugar price



Exchange rate forecast

Majors	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
FJD/USD	0.4420	0.45	0.46	0.46	0.46	0.47	0.47	0.47	0.47	0.47
FJD/AUD	0.6385	0.63	0.62	0.63	0.63	0.63	0.63	0.64	0.64	0.64
FJD/EUR	0.3869	0.39	0.39	0.39	0.39	0.39	0.38	0.38	0.38	0.39
FJD/JPY	71.86	71	71	71	71	70	69	68	67	66
FJD/NZD	0.7782	0.76	0.76	0.74	0.72	0.72	0.71	0.71	0.71	0.71
AUD/USD	0.6912	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73
EUR/USD	1.1413	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21
USD/JPY	162.63	158	156	154	152	150	148	146	144	142
NZD/USD	0.5674	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66

Source: Bloomberg, Westpac Economics Market Outlook, Westpac Pacific Economics

Fiji's medium-term growth forecast

Sectors	2020	2021	2022	2023	2024	2025	2026	2027	2028
Primary	-3.8%	9.1%	3.0%	3.8%	4.4%	4.0%	2.4%	4.6%	3.8%
Industry	-15.3%	-8.8%	10.2%	0.3%	2.4%	1.1%	0.2%	1.6%	1.0%
Service	-20.9%	-6.9%	25.1%	13.5%	3.6%	3.3%	2.3%	3.2%	3.0%
Net taxes	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%
Real GDP	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%

Source: Westpac Pacific Economics

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025	2026	2027	2028
World	6.6	3.8	3.5	3.3	3.4	3.1	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.1	1.8	1.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.1	0.6	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Europe	6.4	3.7	0.5	0.9	1.5	0.2	1.1	1.5
Australia	5.4	4.2	2.1	1.0	2.0	1.7	1.3	2.3
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	2.7	3.4

Source: Westpac Economics Market Outlook

Fiji Government yields

Month	3 mths	6 mths	12 mths	10 yrs	15 yrs	20 yrs	25 yrs
May-26	0.20	0.45	1.17	3.90	4.15	5.75	7.25
Apr-26	0.20	0.45	1.13	3.90	4.15	5.75	7.01
Mar-26	0.20	0.45	1.12	3.90	4.15	5.75	7.20
Feb-26	0.20	0.45	1.12	3.90	4.15	5.75	7.00
Jan-26	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Dec-25	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Nov-25	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Oct-25	0.20	0.45	1.13	3.90	4.15	5.46	6.75

Source: Westpac Pacific

Interest rate forecast

Economies	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Australia										
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10
10 Year Bond	4.72	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.38	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80
New Zealand										
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00
10 Year Bond	4.36	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05

Source: Westpac Economics Market Outlook



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Week beginning 13 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hawkish near term, cuts brought forward to 2027.

The Week That Was: Testing conditions.

Focus on New Zealand: From nail-biter to head-scratcher.

For the week ahead:

Australia: Westpac-MI Consumer Sentiment, business survey, inflation expectations.

New Zealand: selected price indices, retail card spending, house prices and sales, Q2 NZIER Survey of Business Opinion, RBNZ Chief Economist speaking.

China: Q2 GDP, retail sales, industrial production, fixed asset investment, trade balance.

Euro Area: industrial production, trade balance.

United States: FOMC Chair Warsh testifies before House & Senate, CPI, PPI, industrial production, UoM consumer sentiment, retail sales, regional manufacturing surveys, Federal Reserve's Beige Book.

Canada: BoC policy decision.

Information contained in this report current as at 10 July 2026.

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RBA hawkish near term, cuts brought forward to 2027



Luci Ellis
Chief Economist, Westpac Group

- **Our conviction that the RBA will increase the cash rate in August has increased. Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.**
- We have published our [July Market Outlook](#) with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.
- We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined. Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.
- Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously. We still think the RBA will be “once bitten, twice shy” from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

“RBA remains hawkish and our conviction regarding a rate hike in August has increased.”

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we

now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

Forecast changes

- A full update to our forecasts, including the changes to our RBA cash rate profile and inflation discussed in this article, was published in the [Market Outlook](#) publication on July 10.

Cliff Notes: testing conditions

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

Amid a sparse local data calendar, a [speech](#) from RBA Assistant Governor (Economic) Sarah Hunter was scrutinised but had little market impact. The speech focused on supply-side shocks, such as the Middle East conflict, and the conundrum it presents for dual-mandated central banks like the RBA.

Assistant Governor Hunter reiterated the RBA's perspective that these shocks are harder to 'look through' if economic capacity is already tight when the shock occurs, firms can readily pass through costs and/or inflation expectations de-anchor. While the latter is more of a risk than a reality at present, the RBA's take on recent data suggests concern over capacity and pass-through is warranted, particularly in [the construction sector](#). This is why the Monetary Policy Board telegraphed in its June policy decision that rate hikes remain on the table despite their decision to pause at that meeting following three successive hikes. The future scale and pace of tightening will depend on how the risks around each of these factors evolves in coming months.

"The upcoming Q2 CPI will prove critical in understanding the best course."

In New Zealand, [the RBNZ](#) delivered a 25bp increase at their July meeting, taking the cash rate (OCR) to 2.50%. A key argument for the hike was concern that financial conditions would have eased further if the OCR was left unchanged. The MPC seems to be comfortable with an end-2026 level for the OCR circa 2.75%-3.00% – broadly in line with the May forecasts. Our New Zealand economics team expects follow-up 25bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. That means the peak OCR of 4.00% will now be reached in September 2027 instead of December.

Across in the US, the minutes of the June FOMC meeting showed participants felt a high degree of uncertainty over the outlook and wanted to consider a broad range of incoming information over successive months before determining if policy needs to be adjusted. Remaining on hold and removing previous forward guidance which favoured additional easing from the statement were consensus opinions.

On the balance of risks, the discussion amongst members points to a majority view that price risks had risen and labour market uncertainties receded since April. However, following June's decision, energy prices jolted lower and nonfarm payrolls growth moderated again. The [disconnect between payrolls and household survey employment](#) also continues

to grow, the latter in outright decline. Growth in consumer demand is also materially below trend and looks set to remain soft, limiting the ability of firms to pass through cost increases. Still, price risks remain. Midweek, President Trump stated he believed the ceasefire with Iran was "over" but did not stop negotiators from continuing to engage. This followed strikes on around 80 Iranian military targets by the US in response to 3 ships being hit by projectiles in the Strait. Another 90 sites were hit in a second day of strikes, and Iran retaliated against US military assets in the region on both occasions.

President Trump has made clear he intends to order additional strikes in scale every time Iran threatens shipping on the Omani side of the Strait, which Iran has done to force shipping through the lanes it controls. A renewed blockade of Iranian cargo was also threatened by President Trump, with a view to increasing domestic pressure and restricting Iran's ability to sell oil into global markets. However, President Trump also felt this escalation would prove short lived. Brent oil rose close to USD81 initially but has since eased back to around USD76. This compares to a low of USD71 early in the week.

Data received in the US and elsewhere in the northern hemisphere this week was secondary in significance and broadly in line with recent trends. Most notable was the ISM services index which reported a deterioration in new orders but also a pairing of input price pressures and improvement in employment, albeit for the latter only to near the 20-year average after three successive contractionary readings.

China's headline and core inflation rates meanwhile stabilised around 1.0%yr in June as producer price inflation edged up to 4.1%yr. Weak domestic demand continues to limit Chinese firms' ability to pass through higher production costs, which have primarily been driven by energy prices. Excess capacity and cautious consumers are likely to restrict consumer inflation in the absence of [targeted \(and effective\) fiscal support](#).

From nail-biter to head-scratcher



Michael Gordon
Senior Economist

The RBNZ kicked off a new tightening cycle this week, raising the OCR by 25bps to 2.50%. That went against our expectation of an 'on hold' decision, but analyst opinion was split going into the meeting and market pricing strongly favoured a hike. So the decision itself wasn't out of left field, but some of the reasoning behind it left us scratching our heads a bit. Ultimately, though, it amounted to a difference of opinion about timing rather than the direction of policy, and we've adjusted our OCR forecast track only by as much as needed.

In contrast to the 3-3 split vote at the May meeting (with Governor Breman casting the deciding vote in favour of no change), the decision this time was reached by consensus and hence no vote was required. That said, the summary record of the meeting suggests that the distribution of views with the Committee was much the same as in May: external members Gai, Gourley and Hansen remain on the hawkish side, while internal members Breman, Conway and Silk remain more dovish.

The RBNZ acknowledged that oil prices and inflation risks had receded significantly since the May meeting, although the effects of the oil price shock were expected to linger for some time. Meanwhile, the risks around the global growth outlook are now better balanced. With New Zealand inflation already above the target range, and with growth expected to gather momentum as the oil shock fades, the RBNZ concluded that it was time to start removing some of the stimulus that had been put in place last year.

As we [discussed in our OCR preview](#), we felt that the sharp pullback in oil prices since the May meeting gave the RBNZ some breathing room to pause and assess the swathe of data that will be released between now and the 2 September Monetary Policy Statement (compared to the paucity of data releases ahead of this week's meeting). Following the May meeting, Governor Breman in particular had been emphasising the need to take a data-driven approach to assessing the extent of inflation pressures. But that element of patience was missing this time around.

A case for earlier tightening ...

There is certainly a case for an earlier start to hikes compared to the RBNZ's pre-war assessment in its February MPS. One is that global growth is looking perkier than expected, which in turn has been supporting demand for New Zealand's key exports. Indeed, the market consensus has been too downbeat on world growth for some time, through tariffs, wars, and any

other perceived headwinds. Some of that reflects the ongoing surge in AI-related investment; supportively low interest rates have probably been a factor too.

Another reason is that, while many aspects of the oil price shock have reversed since May, the exchange rate is not one of them. The New Zealand dollar is lower than it was at the time of the May MPS, and even lower than it was in February. A lower dollar, if sustained, means higher prices for imports while providing an additional boost to exporters' incomes.

Finally, the March quarter CPI showed that even before the US-Iran conflict, inflation was not as well-contained as the RBNZ would have hoped. The headline inflation rate remained at 3.1%, while the various core measures were all on the higher side of the 2-3% target range. That's not a comfortable starting point if you expect that the economy will be gaining momentum in the years ahead, and it suggests that the RBNZ's February MPS projections (which implied a December start to hikes, and a very gradual path beyond that) were too benign.

... but perhaps not yet?

What surprised us the most is that the RBNZ was prepared to start tightening without waiting to see the June quarter inflation data (due on 21 July), which is the period when prices will be most affected by the oil shock. The record of meeting noted that "the recent shock in the Middle East may generate greater inflation persistence due to changes in firms' price setting behaviour". That seems somewhat speculative at this point, and it seems that some MPC members were more persuaded of this than others.

In that respect, we'll be very interested in RBNZ Chief Economist Conway's speech on Tuesday morning, titled "Finding signal in the inflation noise: oil shocks, price setting, and the path back to 2% inflation". The blurb notes that Conway will "share findings from [their] recent research on how rising costs shape business and household inflation expectations, and how these expectations influence price-setting behaviour across the economy." The speech is at the same time as the release of the NZIER's quarterly survey of business opinion, which will also shed some important light on firms' pricing behaviour.

Another reason given for this week's hike was that the economy has actually been running stronger than the RBNZ expected in its May MPS forecasts. This is a tenuous claim. As of the March quarter, the level of GDP is only 0.1% higher than the RBNZ

expected, and much of that difference reflects upward revisions that go back several years. Stats NZ has revised up its estimates of the size of the housing stock; these houses in turn provide a flow of services to renters and owner-occupiers, which is included in GDP. That means this should be treated as an upward revision to both the actual and potential level of GDP, with no impact on the RBNZ's estimate of the output gap.

What about the forward-looking view? The record of meeting notes that the RBNZ's "Kiwi-GDP" nowcasting model currently predicts 0.6% growth in the September quarter, which compares to a forecast of just 0.2% in the May MPS. But this is conflating two different forecasts. The nowcast does not represent the RBNZ's official forecast, although it can be a useful guide to the direction of change as new data arrives. In this case, the RBNZ's nowcasts for both the June and September quarters have been largely unchanged over recent weeks – the flow of data has not 'surprised' the model on balance. (In the case of the September quarter, the lack of movement is not really surprising – we don't yet have any data relating to that period, so the nowcast at this point will largely reflect a reversion to the mean growth rate.)

Finally, the RBNZ contended that since the market had already largely priced in a July hike, not delivering on that would have led to a fall in interest rates and an easing in financial conditions that would have been "unwarranted". But it also noted that this follows a material tightening in financial conditions in previous months, which was presumably "warranted". Was it though? The run-up in interest rates over March and April was predicated on a much more alarming inflation outlook than what we face today.

Where to next?

Ultimately, this week's result came down to a difference of opinion about the appropriate timing. We had previously expected the RBNZ to begin tightening at its September review – with a fuller set of data in hand – followed by a series of hikes to reach a peak of 4% by the end of 2027.

We've now brought that profile forward. We expect two more OCR hikes this year, most likely at the September and December reviews. We note that the 28 October review falls ten days before the General Election, which is not in itself a reason for inaction, but it's an easy one to skip if the RBNZ feels comfortable that it already has a couple of hikes under its belt by that point.

Thereafter, we continue to forecast a peak OCR of 4% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting.

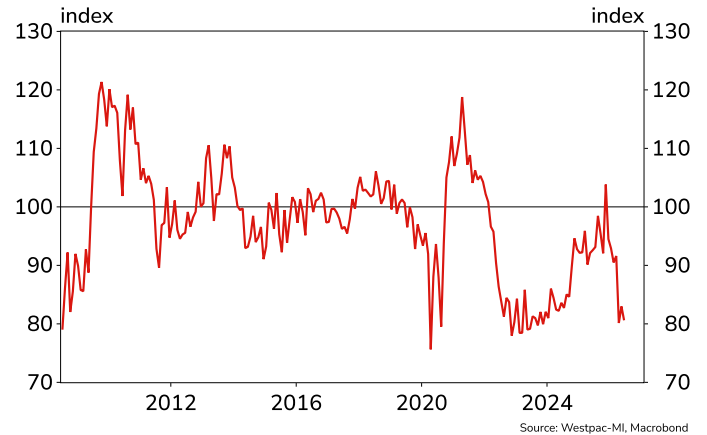
AUS: Jul Westpac-MI Consumer Sentiment (index)

Jul 14, Last: 80.6

Consumer sentiment declined 2.9% to 80.6 in June, remaining deeply pessimistic. The survey detail showed cost-of-living issues remain front and centre, the temporary halving in fuel excise tax providing only a small and brief reprieve.

The last month has seen some positive developments around the energy crisis with US and Iran agreeing to a ceasefire and a tentative reopening the Strait of Hormuz (albeit with a significant flare-up over the course of the survey week). Local pump prices have fallen to around \$1.60/litre on average compared to \$1.72/litre at the time of the June survey and well above \$2 in March-April. This is despite a partial roll back in the fuel excise tax cut. Domestic news has been somewhat mixed, May updates showing the labour force relatively steady but inflation still elevated and a more material weakening in housing markets.

Consumer Sentiment Index

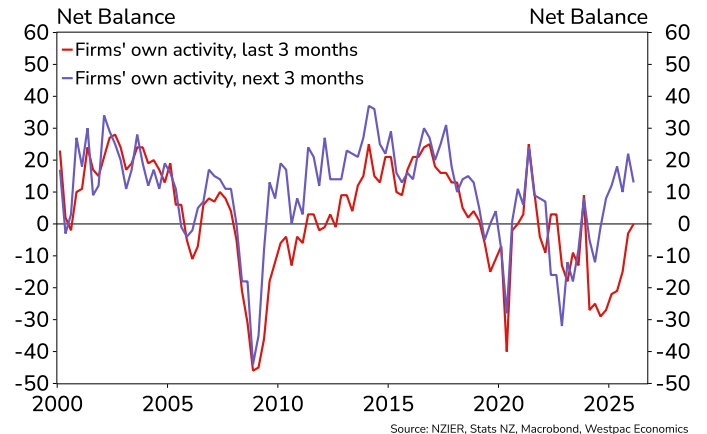


NZ: Q2 NZIER Survey of Business Opinion (index)

Jul 14, General Business Confidence, Last: 1

The Q1 survey showed a marked fall in business confidence following the US-Iran conflict. However, the long survey period – from early March to early April – meant that the average results hid a lot, with later responses much weaker than early ones as the severity of the situation became clearer. Similarly, the survey period for Q2 will have straddled the peace agreement that was reached in mid-June, which means that a breakdown of the later responses would likely be more informative than looking at the averages. Probably of most interest to the RBNZ will be whether the survey points to any persistence in firms' pricing intentions even as oil prices receded back towards pre-conflict levels.

QSB0 past vs expected activity

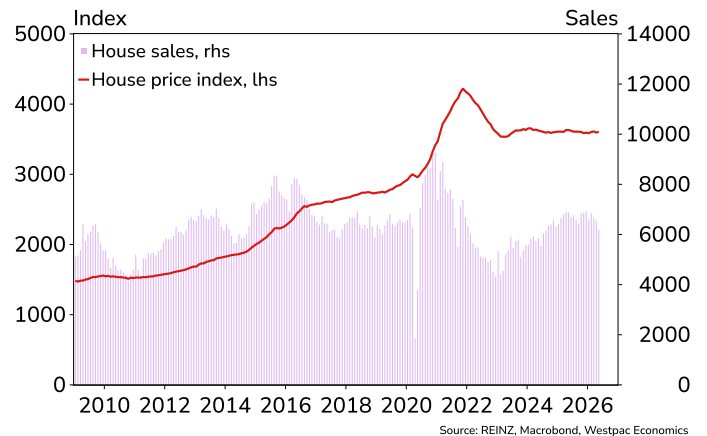


NZ: Jun REINZ House Sales & Prices (%yr)

Jul 15, Sales, Last: -12.6; Prices, Last: -0.6

The housing market remained soft in May, with sales down about 6% for the month in seasonally adjusted terms, leaving them nearly 13% lower than a year ago. Rising mortgage rates have weighed on the market over recent months, and the US-Iran conflict and the resulting pressure on household budgets will also have prompted potential buyers to hold back. Some signs of relief on the latter front may have given the market some support in June, but we expect that turnover and prices will remain subdued through the second half of the year.

REINZ house sales and prices

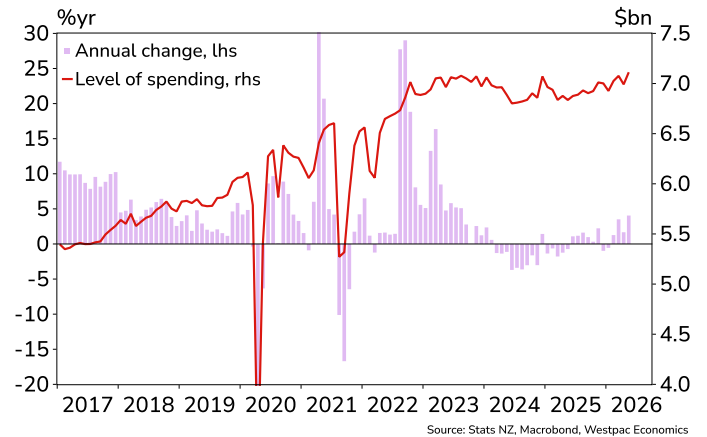


NZ: Jun Retail Card Spending (%mth)

Jul 15, Last: 1.7, Westpac f/c: 0.1

Retail spending has been choppy over the past couple of months, with large swings in fuel and discretionary spending categories in the wake of the Middle East conflict. We're forecasting a modest 0.1% rise in spending over June. Fuel spending has fallen sharply as prices have dropped. However, the related boost to households' disposable incomes is likely to lift spending in other categories. The broader 'total' spending category, which includes online purchases of items like airfares, is likely to show an even larger rebound after households delayed spending in these categories earlier in the year.

NZ retail card spending

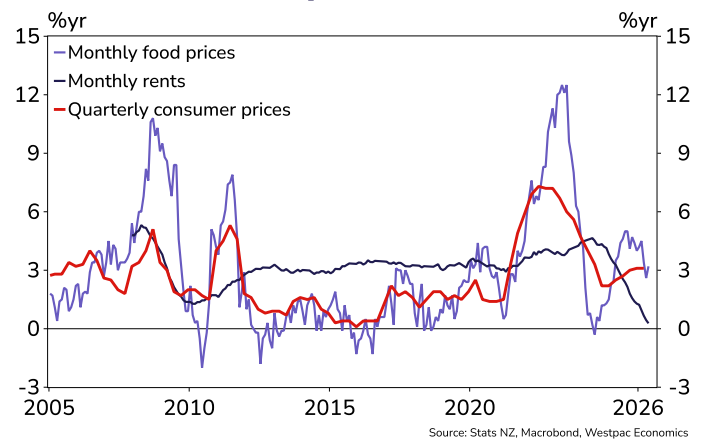


NZ: Jun Selected Consumer Prices (%mth)

Jul 17

This will be the final monthly update before the full quarterly CPI on 21 July. Fuel costs have fallen sharply through the quarter, and as a result we recently revised our forecast for inflation in the year to June down to 4.0% (from 4.5% previously). We'll also be watching to see if there is broader softness in other travel related categories after both airfares and holiday accommodation costs were softer than expected last month. In the other big categories, we expect a 0.6% lift in food prices (boosted by the seasonal rise in vegetable prices), along with flat housing rents.

NZ selected consumer prices



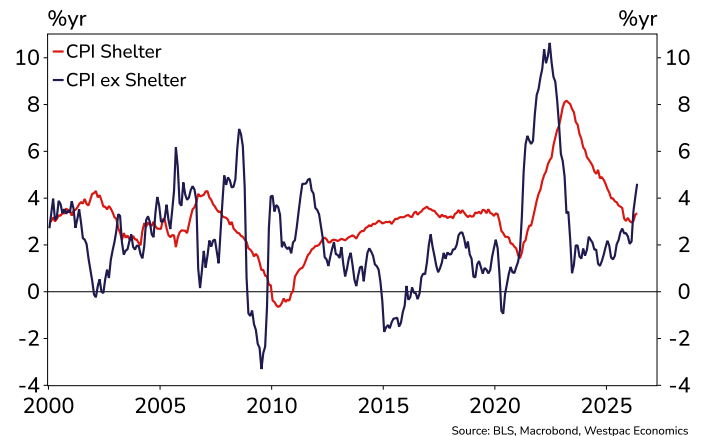
US: Jun CPI (%mth)

Jul 14, Last: 0.5, Market f/c: -0.1, Westpac f/c: flat

Energy price pressures saw an outsized increase in headline inflation in May, 0.5%. Core inflation remained moderate at 0.2%, however, with little-to-no evidence of secondary price effects in the data. Instead, core inflation was supported by housing and medical services.

In June, the sharp reversal in oil prices following the US/Iran memorandum of understanding will suppress headline inflation. Market participants will remain on the look out for pass-through to other components of inflation. Given the state of the US consumer, we expect this to be limited, with core inflation instead determined by domestic capacity constraints, most notably in housing. If the truce holds, annual inflation is likely to return near target over the coming 12 months.

Energy spike set to reverse



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13							
NZ	Jun	Performance Services Index	index	47.5	–	–	Services sectors have underperformed so far this year.
US		Fedspeak	–	–	–	–	Bowman, Waller.
Tue 14							
Aus	Jul	Westpac–MI Consumer Sentiment	index	80.6	–	–	Cost-of-living issues remain front and centre.
	Jun	NAB Business Conditions	index	3	–	–	Eyes on confidence as Middle East (tentatively) eases.
NZ		RBNZ Chief Econ Conway speech	–	–	–	–	"Oil shocks, price setting, and the path back to 2% inflation"
	Q2	NZIER Survey of Business Opinion	index	1	–	–	Indicators of pricing pressures will be especially important.
	May	Net Migration	no.	3090	–	–	Balance turning more positive as outflows of NZers slow.
Chn	Jun	Trade Balance	US\$bn	105.43	120.35	–	Export performance is likely to remain resilient.
US	Jun	NFIB Small Business Optimism	index	95.3	95.5	–	Firms contend with higher borrowing costs and policy shifts.
	Jun	CPI	%mth	0.5	–0.1	0.0	Sharp reversal in oil prices will suppress headline inflation.
		FOMC Chair Warsh	–	–	–	–	Testifies before House Financial Services Committee.
		Fedspeak	–	–	–	–	Barr, Goolsbee, Cook, Bowman.
Wed 15							
NZ	Jun	REINZ House Prices	%yr	–0.6	–	–	Higher mortgage rates and soaring fuel prices ...
	Jun	REINZ House Sales	%yr	–12.6	–	–	... have dampened buyer enthusiasm in recent months.
	Jun	Retail Card Spending	%mth	1.7	–	0.1	Lower fuel prices supporting spending in other areas.
Jpn	May	Core Machinery Orders	%mth	8.7	–4.6	–	An important gauge of investment intentions and confidence.
Chn	Q2	GDP	%ann	5.0	4.5	–	Growth is expected to remain constrained by weak ...
	Jun	Retail Sales	ytd %yr	1.4	–	–	... domestic demand and ongoing challenges in the property ...
	Jun	Industrial Production	ytd %yr	5.4	–	–	... sector. Data will indicate need for further stimulus to ...
	Jun	Fixed Asset Investment	ytd %yr	–4.1	–5.0	–	... rebuild consumer confidence.
Eur	May	Industrial Production	%mth	0.1	0.3	–	Activity remains subdued as challenges persist.
US	Jul	Fed Empire State Manufacturing	index	5.7	8.6	–	Mixed manufacturing conditions across the US.
	Jun	PPI	%mth	1.1	–0.1	–	Watched closely for signals on upstream inflation pressures.
		FOMC Chair Warsh	–	–	–	–	Testifies before Senate Banking Committee.
		Fedspeak	–	–	–	–	Williams, Cook.
	Jul	Federal Reserve's Beige Book	–	–	–	–	A qualitative update on conditions across the regions.
Can		BoC Policy Decision	%	2.25	2.25	–	A cautious approach is warranted as excess capacity endures.
Thu 16							
Aus	Jul	MI Inflation Expectations	%ann	5.5	–	–	RBA watching closely for signs of persistence.
Kor		Bank Of Korea Policy Decision	%	2.50	–	–	Hike on the cards as domestic inflation ticks up.
Eur	May	Trade Balance	€bn	1.3	–	–	Lower energy prices and better external balances to come.
UK	May	Monthly GDP	%mth	–0.1	0.1	–	Activity has softened amid pressure from restrictive policy.
US	Jul	Phily Fed Manufacturing	index	10.3	15.0	–	Mixed demand and uncertainty regarding the outlook.
	Jun	Retail Sales	%mth	0.9	0.3	–	Consumption at risk of slipping below trend.
		Initial Jobless Claims	000s	215	–	–	Remain low by historical standards.
		Fedspeak	–	–	–	–	Musalem, Logan, Schmid, Jefferson.
Fri 17							
NZ	Jun	Selected Price Indices – Food	%mth	1.0	–	0.6	Seasonal lift in vegetable prices.
	Jun	Selected Price Indices – Rents	%mth	–0.1	–	0.0	Remains subdued with large numbers of homes available.
US	Jun	Import Price Index	%mth	1.9	–0.6	–	Useful indication of external cost pressures.
	Jun	Industrial Production	%mth	0.1	0.2	–	Activity remains uneven across sectors.
	Jul	Uni. Of Michigan Sentiment	index	49.5	51.3	–	Sensitive to inflation developments.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.43	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.47	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.89	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	33	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.83	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.52	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.59	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	3	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	162.36	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.4
USD/CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2053	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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Week beginning 6 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: China's greatest opportunity and biggest threat.

The Week That Was: On the minds of policy makers.

Focus on New Zealand: Keep calm and focus on the data.

For the week ahead:

Australia: RBA Assistant Governor Hunter speaking.

New Zealand: RBNZ policy decision, Matariki public holiday.

Japan: Household spending, current account balance.

China: CPI, PPI, new lending data.

Euro Area: Retail sales, PPI, Sentix investor confidence.

United States: FOMC minutes, ISM services PMI, existing home sales, initial jobless claims.

Information contained in this report current as at 3 July 2026.

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China's greatest opportunity and biggest threat



Elliot Clarke
Head of International Economics,
Westpac Group

- The first half of 2026 has highlighted China's industrial strength. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.
- If authorities take the initiative and reset the consumer story, GDP growth at or above 4.5% can be sustained, even as the impetus from trade fades.
- Successfully holding Chinese GDP growth around 4.5% through 2028 should allow the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30.
- The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand its sourcing network across Asia, Africa and Latin America. Australia is therefore unlikely to receive a material, sustained dividend from increased commodity volumes.
- However, if we lean into Asia's development, our productivity and income prospects will grow, and our dollar strengthen.

The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline.

With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

"the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry."

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

Cliff Notes: on the minds of policy makers

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

This week's [RBA minutes](#) provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, "increasing the cash rate target" will be considered if required.

Last week's speech from [Deputy Governor Hauser](#) shed more light on the RBA's thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA's successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. [Cotality's](#) latest home value index fell 0.4% in June, Sydney and Melbourne's correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing [credit growth](#), evidence that the RBA's rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and [tight supply](#) will limit their scale.

Before moving offshore, a final note on trade. The [goods trade balance](#) surprised materially to the downside in May, flipping from a surplus of \$1.4bn to a deficit of \$3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June's result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in

June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from 2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the [ECB's Sintra Forum on Central Banking](#), highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

Keep calm and focus on the data

Westpac New Zealand
Economics team

We expect the Reserve Bank of New Zealand (RBNZ) will leave the Official Cash Rate (OCR) unchanged at 2.25% at its 8 July policy meeting, while maintaining a data-dependent tightening bias. The Monetary Policy Committee (MPC) is likely to emphasise that future policy adjustments will depend on evidence of second-round inflation pressures, sustained wage growth, and rising medium- to long-term inflation expectations. In addition, signs that the economic recovery is gaining traction and that the output gap is narrowing will also be important considerations in determining when policy tightening becomes appropriate.

The RBNZ's communications are expected to retain language indicating that OCR increases are likely at upcoming meetings. However, this guidance will increasingly be framed as conditional, rather than indicative of a predetermined path. This shift is important, as it reflects the MPC's intention to re-anchor expectations around the flow of data, particularly after markets became overly focused on the prospect of a July rate hike following the May Monetary Policy Statement (MPS).

While it is notable that three MPC members voted in favour of a rate hike in May, developments over the past six weeks have significantly altered the economic backdrop. In particular, the easing of tensions in the Middle East and the associated sharp decline in oil prices have materially reduced inflation risks. As a result, it is entirely plausible that a formal vote on raising the OCR may not be required at the July meeting.

If a vote does take place, we expect only a small minority to support an immediate increase. It is unlikely that members who favoured holding rates in May will shift towards tightening at this stage. In addition, those who previously supported a hike may instead prefer to wait for the upcoming flow of key economic data before revisiting the case for higher interest rates at the September meeting.

A key objective for the RBNZ's communications at this meeting will be to redirect market attention towards upcoming data releases as the key determinants of future OCR decisions. The MPC is likely to use this opportunity to correct the perception that a July hike was effectively "pre-committed." Instead, the Bank will reaffirm that its forward guidance is conditional and responsive to evolving economic conditions.

Looking further ahead, we expect the RBNZ to continue signalling a path towards eventual policy normalisation, but with a recalibrated timeline. Prior to the war in the Middle East, the MPC's baseline view, as articulated in their February

Statement, was for a single OCR increase no earlier than the end of 2026. Given that inflation remains above previous forecasts, the Bank may now indicate that the first increase could occur as early as September. However, this will likely be presented as a possibility rather than a certainty, with a clear emphasis on the need for supporting evidence.

The trajectory of tightening beyond the initial move is also expected to be gradual, particularly if second-round inflation pressures remain contained. And on that front, this week's business confidence survey showed that the number of businesses who are planning on raising prices has been dropping back again as oil prices have eased. This week's consumer confidence survey similarly showed that inflation expectations have dropped back to pre-Iran war levels. Evidence on persistent second round pricing pressures from oil prices now looks very thin indeed.

While consecutive rate increases from September cannot be ruled out, this scenario is unlikely to be presented as the central case. A slower pace of tightening would be more consistent with the gradual recovery in activity and less-worrying inflation outlook. Indeed, if incoming data point to weaker growth or if the detail of the June quarter inflation report (out on 21 July) is softer than expected, the start of the tightening cycle could be pushed back to December.

In terms of financial markets pricing, we anticipate some moderation in expectations for policy tightening over the remainder of 2026. Pricing is likely to converge towards one to two 25 basis point increases by year-end, with further adjustments contingent on the evolving data flow.

Arguments in favour of a July hike

Arguments in favour of an immediate rate hike have centred largely on interpretations of the May MPS as signalling a July move. However, we think that is a misinterpretation of what the RBNZ's projections intended to signal. While the RBNZ's May Statement did indicate that the OCR was expected to rise over the coming months, that was not a precommitment. The projected path for the OCR is always dependent on the evolution of economic conditions. Indeed, the Governor's remarks at the time deliberately emphasised uncertainty, noting that rate increases would depend on factors such as oil prices, the strength of growth, and evidence of persistent inflation pressures. Similarly, comments from Assistant Governor Silk have reinforced the message that all policy options remain on the table heading into the July review.

Other arguments for tightening include the recent depreciation of the New Zealand dollar, driven in part by widening interest rate differentials with other economies. While a weaker currency does add to inflation pressures, its persistence remains uncertain. Moreover, currency depreciation also supports the tradable sector and contributes to a rebalancing of the economy. As such, exchange rate movements alone are unlikely to justify an immediate policy response.

On the growth side, the easing of tensions in the Middle East is expected to provide some support to activity in the second half of 2026. Lower energy prices have improved the terms of trade and have already underpinned modest gains in business and consumer confidence. However, these improvements are unlikely to fully restore the more optimistic growth outlook presented in the February MPS. Survey evidence continues to point to weak momentum, with backward-looking indicators suggesting that the recovery remains in its early stages.

Arguments in favour of no change

In contrast, [the case for holding the OCR steady](#) is supported by several factors. Most notably, the sharp decline in oil prices (down around \$40 /barrel since May) has significantly altered the inflation outlook. Oil prices are now well below the levels assumed in the RBNZ's May projections, and forecasts for inflation have been revised lower. We now expect CPI inflation will peak at 4% in the June quarter before slowing to 3.5% by the end of this year. That would be well below the 4.1% rate the RBNZ assumed for year-end inflation in its May MPS projections.

Furthermore, with lower oil prices and near-term inflation, the risk of higher fuel costs passing through to a broader uplift in inflation pressures is also lower. That risk was a key concern highlighted by MPC members who voted for a hike in May. Measures of shorter-term inflation expectations have eased as energy prices have declined. Similarly, the labour market remains relatively soft, limiting the risk of wage-driven inflation.

Crucially, a substantial amount of new data will become available between the July and September meetings. This includes the June quarter CPI, business surveys, labour market indicators, and key measures of inflation expectations. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action, we suspect even more hawkish MPC members will now be content to see what this data reveals.

Economic activity also appears to have been subdued in the June quarter, with most indicators pointing to little or no growth. This suggests that the output gap may have widened, reinforcing the case for patience.

Globally, expectations for further interest rate increases have also moderated, with many central banks adopting a more cautious stance. This international backdrop supports a more measured approach by the RBNZ.

Scenarios

The most likely outcome remains a balanced approach that retains a tightening bias while underscoring data dependence. However, more hawkish and dovish possibilities exist including:

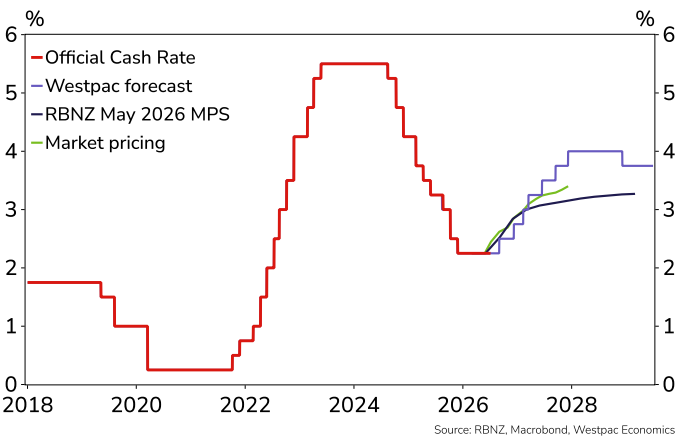
- A hawkish scenario where the OCR is increased and language suggesting the RBNZ's views haven't shifted much. In such circumstances, markets would assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. The press statement could note that evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and that such evidence is lacking at this stage. This is more plausible and we attach a 30% probability to this scenario.

NZ: RBNZ Monetary Policy Review

July 8, Last: 2.25%, Westpac: 2.25%, Market: 2.50%

We expect the RBNZ to leave the OCR at 2.25% at its 8 July Review. Much has changed over the past six weeks, most notably oil prices have fallen much more rapidly than expected. The related moderation in inflation pressure gives the RBNZ more time to wait-and-watch how the economy is tracking, especially with a large amount of important economic data to be released after the July review. Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the May Statement. While three MPC members had voted for a rate hike in May, we think the “on hold” decision may well be reached by consensus.

RBNZ Official Cash Rate



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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
Aus	Jun	MI Inflation Gauge	%ann	4.4	–	–	Provides a general gauge of inflation pressures.
	Jun	ANZ-Indeed Job Ads	%mth	1.8	–	–	Indicative of broadly stable labour demand.
NZ	Jun	ANZ Commodity Prices	%mth	0.7	–	–	Favourable supply and demand conditions supporting prices.
Eur	Jul	Sentix Investor Confidence	index	–13.4	–	–	Better news on US-Iran should support a recovery.
	May	PPI	%ann	4.9	–	–	Upstream price pressures mounting across Europe ...
	May	Retail Sales	%mth	–0.4	0.3	–	... and consumers are starting to feel the pinch.
US	Jun	S&P Global Services PMI	index	51.3	51.3	–	Final estimate.
	Jun	ISM Services PMI	index	54.5	54.1	–	Activity burgeoning, employment rising, prices surging.
Tue 07							
Jpn	May	Household Spending	%ann	–0.5	–2.3	–	Still in decline despite solid real wage gains.
US	May	Trade Balance	US\$bn	–55.9	–78.7	–	US upped oil exports materially in recent months.
Wed 08							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter speaking at 11:00am AEST.
NZ		RBNZ Policy Decision	%	2.25	2.50	2.25	RBNZ to hold the OCR but signal data-dependent rate rises.
Jpn	May	Current Account Balance	¥bn	3908	4120	–	Surplus strengthening underneath usual seasonal noise.
US	May	Wholesale Inventories	%mth	0.3	0.3	–	Final estimate.
	Jun	FOMC Minutes	–	–	–	–	Will provide more colour on the Committee's deliberations.
	May	Consumer Credit	\$bn	20.7	17.5	–	Credit flowing against a backdrop of income pressures.
Thu 09							
NZ	Jun	Manufacturing PMI	index	49.9	–	–	Business conditions starting to firm as oil prices have dropped.
Chn	Jun	CPI	%ann	1.2	1.1	–	Consumer inflation benign despite pressure from Middle East ...
	Jun	PPI	%ann	3.9	4.1	–	... aiding much-needed discretionary spending capacity.
	Jun	New YTD Loans	CNYbn	9110	11110	–	Credit growth softer than last year as domestic demand ...
	Jun	M2 Money Supply	%ann	8.6	8.4	–	... struggles to gain momentum note data due 9–15 July.
US		Initial Jobless Claims	000s	215	218	–	Still at low levels versus history.
	Jun	Existing Home Sales	%mth	3.2	0.9	–	Elevated mortgage rates keep sales volumes range-bound.
Fri 10							
NZ		Matariki Public Holiday	–	–	–	–	Public holiday, markets closed.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (3 July)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.39	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.41	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.80	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	32	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.48	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.73	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.39	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.45	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	-4	-10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (3 July)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6940	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5697	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.19	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1444	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3365	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7813	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2147	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	-	-	-	-
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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2 JUL 2026

WESTPAC-DATAX CARD TRACKER

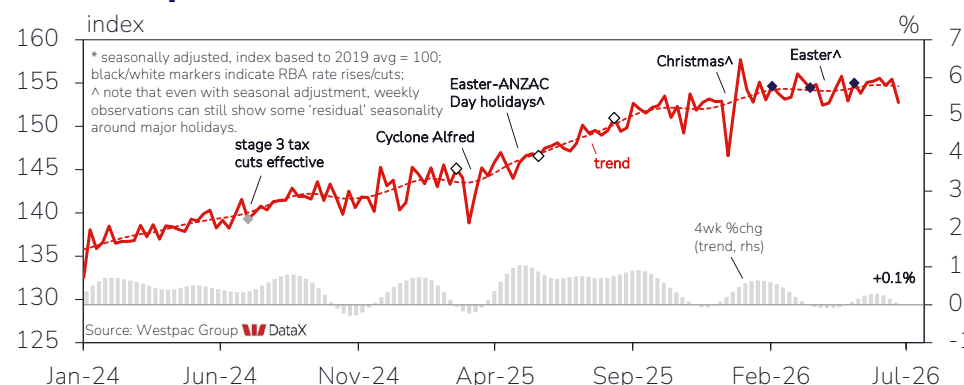
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Card activity still looking very subdued

- The **Westpac-DataX Card Tracker Index*** moved sideways through late May and most of June, declining sharply in the latest week. At 152.8, the Index read for the week ending June 27 is 2.3pts lower than month ago and on a par with Easter lows.
- The softening reflects a mixture of lower fuel prices and continued weakness in non-fuel spending.
- Quarterly growth momentum has seen a further slowing to around 0.2% in the most recent week, down from the 0.5% pace a month ago. This compares to a 1.3% pace seen in Q1 and the 2% average over the second half of 2025.
- Despite the pull back in the latest week, the monthly and weekly data suggest there has been a slight improvement in momentum since the start of June. This likely reflects some easing in budget pressures as fuel prices have declined.
- At a broad category level, the slight improvement in recent weeks has centred on discretionary segments, services in particular. Growth across essentials has dipped into slight negative, partly due to lower fuel prices rather than weaker volumes. Some of the pick-up in discretionary may also be price-related.
- By state, both the slowing in momentum compared to a month ago and the slight lift in recent weeks have been fairly broad based. Activity has been weaker in NSW where consumer-related card transactions are contracting at a 0.4% quarterly pace with a much more muted lift over the last month. Notably, Victoria is now seeing gains more in line with the pace nationally, having underperformed materially over Q4 and Q1.
- While there are still a few days of transactions and potential revisions to come, the latest figures suggest Q2 is headed for a subdued 0.2%qtr gain in nominal consumer-related card activity. That in turn points to a likely decline in real, inflation-adjusted terms. The broader consumption measure in the national accounts will get some additional positives. In particular, vehicle sales, which are undercovered in the card data, look to have posted a robust 5%qtr gain in Q2. But at this stage the risks to our forecast of a flat result for real spending look tilted slightly to the downside.

“... Q2 is headed for a subdued 0.2%qtr gain ...”

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.
Matthew Hassan, Head of Australian Macro-Forecasting
 Email: economics@westpac.com.au
 This issue was finalised on 3 July 2026.

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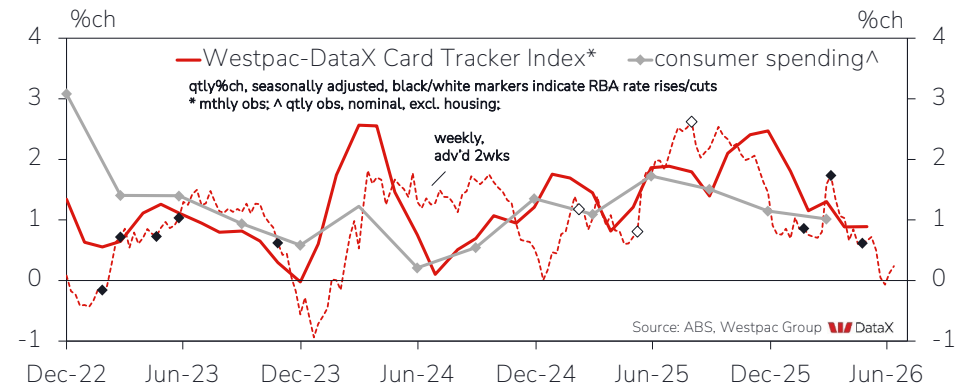
Quarterly momentum stalls but partly due to lower fuel prices

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a further moderation since early June, dropping to just 0.2% in the latest week, down from 1.3% in Q1. This is the slowest pace since the start of 2025, and prior to that, since the start of 2024.
- The same growth rate excluding fuel is 0.3%qtr, a slightly firmer pace with the slowdown on this measure coming through more in May than June.
- The implication is that some of the more recent softening in quarterly growth is due to a price-driven slowing in fuel spend. The latest weekly updates point to monthly growth holding about flat. Fuel price effects are likely to turn positive again as the temporary fuel excise tax cut is reduced from July 1.
- The ABS household spending indicator recorded a 1.3%^{mth} rise in May, fully reversing April's -1.1%^{mth} fall but broadly in line with the signal from our card tracker (see [here](#)).
- The June update, including estimates of real spending for Q2 will be released on August 4.

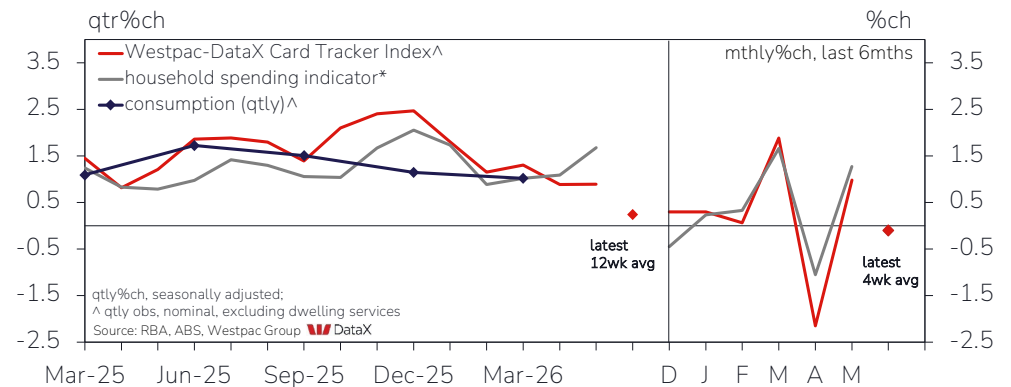
qtly%ch	Q3	Q4	Q1	latest [^]
Westpac-DataX Card Tracker	1.4	2.5	1.3	0.2
ABS monthly household spending indicator*				
Nominal	1.1	2.1	1.0	1.7
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.5	1.1	1.0	n.a.
Real	0.5	0.4	0.5	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



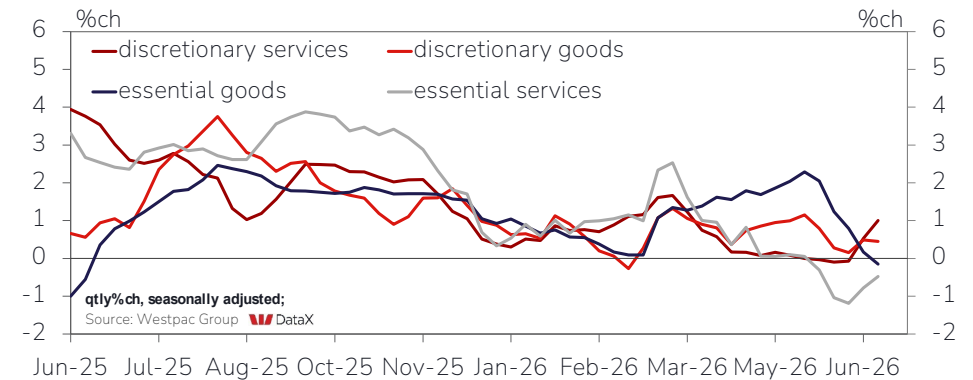
Essentials contract, discretionary perks up a little

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown since Q1 has been fairly broad-based but slightly more pronounced for essentials which have seen quarterly growth dip into negative (noting that for essential goods that this is partly due to the unwinding fuel price spike).
- Discretionary categories have also seen growth moderate. However, momentum has perked up a little in recent weeks, particularly for the discretionary services segments. The sub-category detail here points to slightly firmer tone to travel and hospitality spend. Note that this may also be partly a price story.
- Chart 5 shows card activity across the major states. Again the picture is of a broad-based slowing since Q1. NSW has posted a slightly more pronounced moderation with quarterly growth now weak at -0.4%qtr. This compares to flat growth in Queensland and South Australia and slight positives in Victoria (+0.3%qtr) and Western Australia (+0.4%qtr).
- Card activity is notably firmer in Victoria compared to the lows in late 2025/early 2026 when the state was a marked underperformer. South Australia has also improved in a relative sense although growth is a touch weaker in absolute terms.

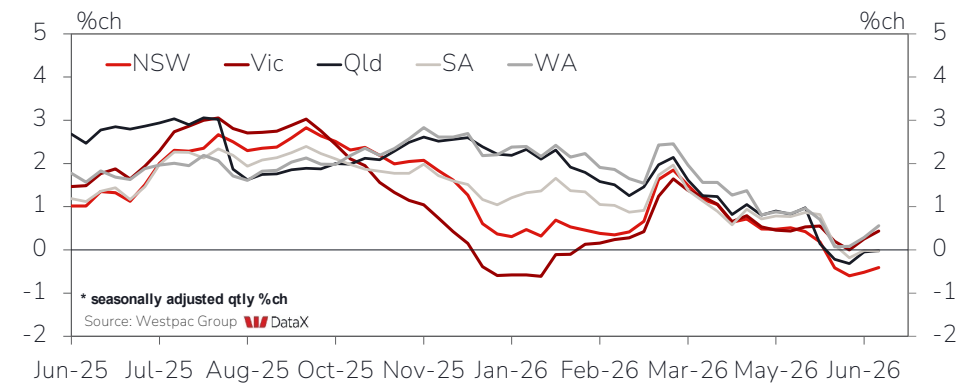
	Mar	Apr	May	27/6
Westpac-DataX Card Tracker	157.4	154.0	155.5	152.8
By category				
– discretionary*	156.4	153.8	157.1	155.6
– essential*	155.9	151.5	151.2	147.3
By state				
– NSW	149.1	148.8	149.0	147.4
– Vic	147.7	144.3	146.2	145.7
– Qld	169.4	168.9	169.1	168.4
– WA	172.1	169.9	172.1	171.1
– SA	165.5	162.1	163.6	159.8

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.
 * indexes revised due to re-classification.
 Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

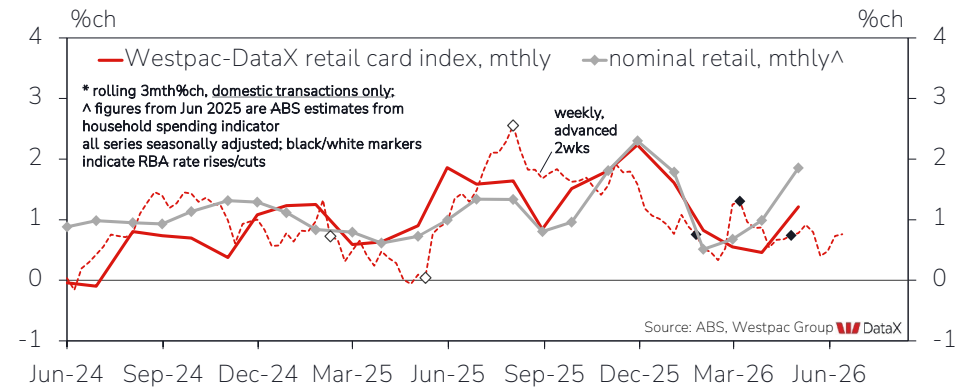


Retail segments faring slightly better than others in May

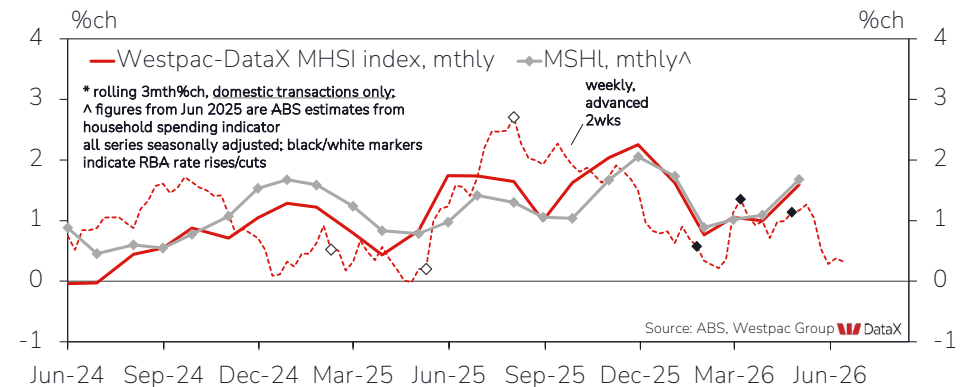
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures show quarterly momentum slowing with retail outperforming wider measures of spending slightly. Note that fuel spend is in-scope for the MHSI measures but out of scope for the retail card index.
- As noted, the latest ABS MHSI showed a 1.3% rise in May, quarterly growth lifting to 1.7%qtr.
- Our MHSI index had the quarterly pace running at 1.7% in May, the latest weekly read point to an abrupt slowing to 0.3%qtr in June. That points to a significant pull-back in the June month. While much of that reflects lower fuel prices, our retail index suggests retail components have also moderated in the month.
- Note that compared to our wider WCTI index, these measures exclude electricity, education, insurance and other services as well as international transactions. The ABS MHSI also includes separate data on new vehicle sales.

	Mar	Apr	May	27/6
MHSI card index	154.6	152.1	153.4	150.7
– qtly%ch	1.0	1.0	1.6	0.3
– qtly, ann%ch	6.2	6.1	6.2	4.9
ABS MHSI				
– %ch	1.7	-1.1	1.3	n.a.
– qtly%ch	1.0	1.1	1.7	n.a.
– qtly ann%ch	5.4	5.6	5.4	n.a.
Retail card index	152.3	151.8	154.4	151.8
– qtly%ch	0.6	0.5	1.2	0.8
– qtly, ann%ch	5.6	5.3	5.6	5.1
ABS retail sales				
– %ch	1.2	-0.6	-0.4	n.a.
– qtly%ch	0.7	1.0	1.9	n.a.
– qtly ann%ch	4.8	5.0	4.8	n.a.

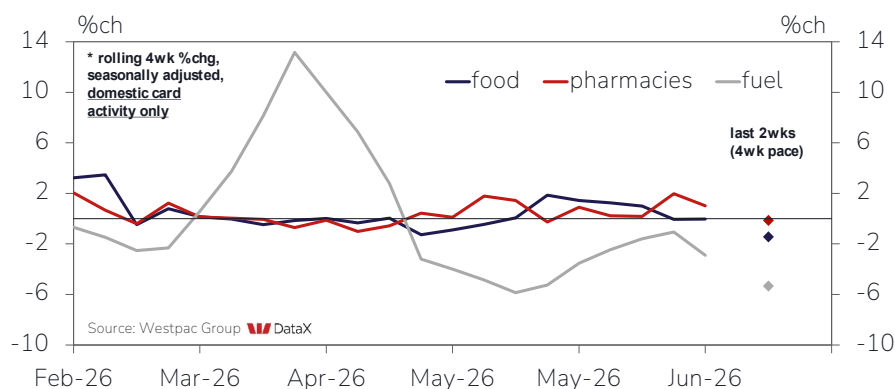
6. Card activity: retail



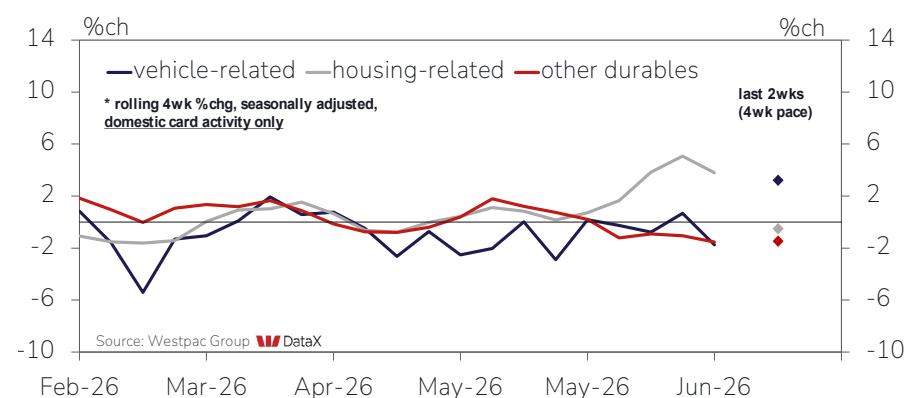
7. Card activity: MHSI measures



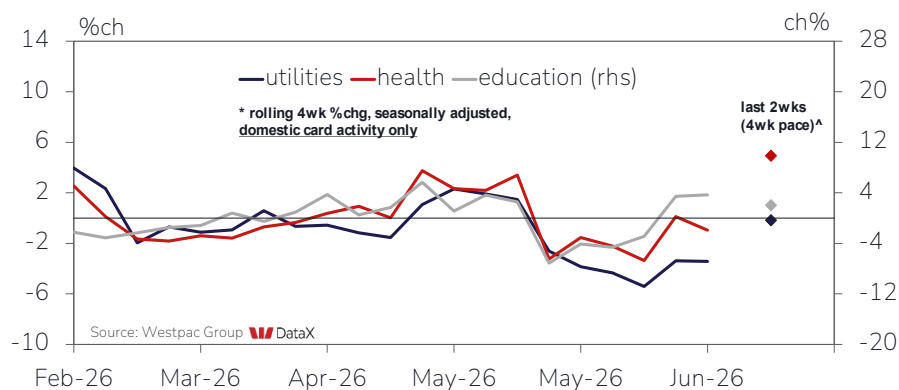
12. Card activity: essential goods



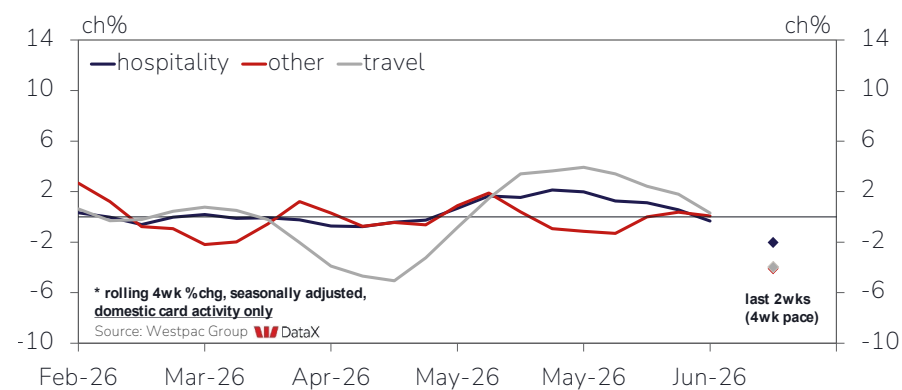
13. Card activity: discretionary goods



14. Card activity: essential services

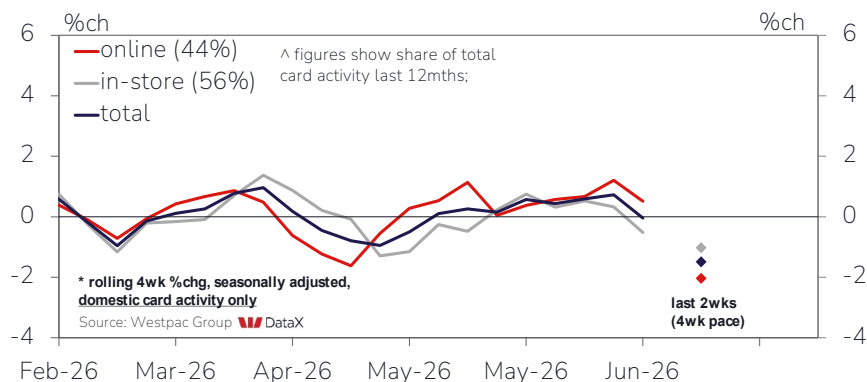


15. Card activity: discretionary services

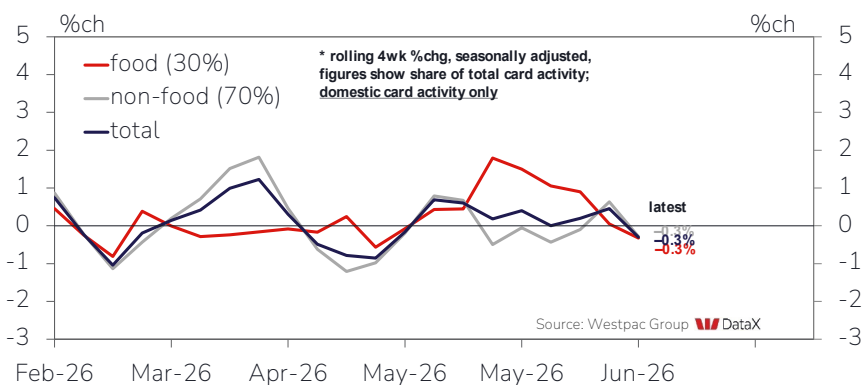


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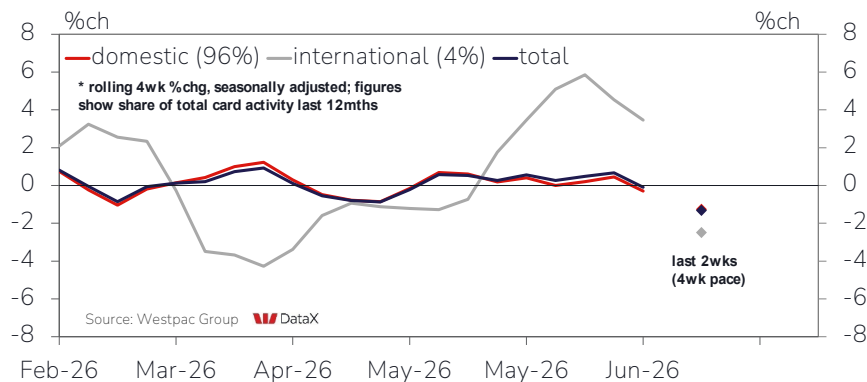
16. Card activity: online and in-store



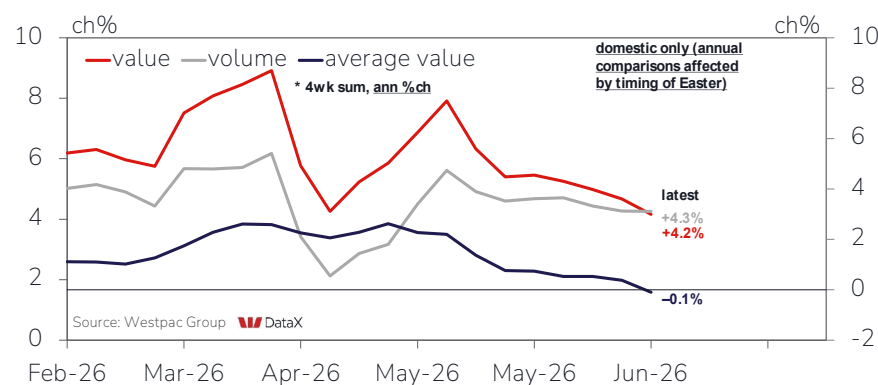
18. Card activity: food and non-food



17. Card activity: domestic and international



19. Card activity: value and volume



	2024			2025			2026			week ending:					
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Mar	Apr	May	6/6	13/6	20/6	27/6
Westpac–DataX Card Tracker Index	140.2	141.2	142.9	145.0	147.7	149.7	153.4	155.4	157.4	154.0	155.5	155.6	154.7	155.5	152.8
qtly%ch	0.7	0.7	1.2	1.4	1.9	1.4	2.5	1.3	1.3	0.9	0.9	0.0	-0.1	0.1	0.2
qtly, ann%ch	4.2	4.0	5.3	4.1	5.3	6.1	7.4	7.2	7.2	6.8	6.4	5.7	5.5	5.4	5.3
By category															
– discretionary	141.6	143.1	145.5	146.2	149.3	151.2	155.4	156.0	156.4	153.8	157.1	158.1	157.1	159.0	155.6
– essential	137.8	138.0	138.4	141.6	143.6	145.9	148.4	151.7	155.9	151.5	151.2	150.7	149.8	149.6	147.3
services	145.5	147.6	150.4	153.2	156.4	159.9	164.3	166.2	166.2	161.8	164.7	167.0	165.4	166.6	164.1
– discretionary services	148.0	151.0	154.5	155.1	158.7	161.2	166.3	166.9	166.5	162.3	166.5	170.2	167.9	170.1	167.1
– essential services	141.8	142.8	144.7	150.5	153.1	157.9	161.3	165.3	165.7	161.2	162.2	162.5	161.8	161.6	159.7
goods	135.1	134.9	135.2	136.4	138.4	139.3	141.9	143.8	147.8	145.2	145.6	144.1	143.7	144.4	141.4
– discretionary goods	134.8	134.7	136.0	136.7	139.3	140.5	143.7	144.5	145.5	144.7	147.2	145.2	145.6	147.2	143.4
– essential goods	135.4	135.1	134.6	136.1	137.7	138.4	140.3	143.2	149.8	145.6	144.2	143.2	142.2	142.0	139.7
MHSI card index*	140.0	140.8	142.3	143.4	145.9	147.3	150.7	152.2	154.6	152.1	153.4	152.9	152.3	154.0	150.7
qtly%ch	0.3	0.5	1.0	0.8	1.7	1.0	2.3	1.0	1.0	1.0	1.6	0.5	0.3	0.4	0.3
qtly, ann%ch	3.3	3.2	4.6	2.7	4.2	4.7	5.9	6.2	6.2	6.1	6.2	5.6	5.3	5.0	4.9
retail card index*	140.0	141.1	142.6	143.4	146.1	147.3	150.6	151.5	152.3	151.8	154.4	153.6	153.5	153.9	151.8
qtly%ch	-0.3	0.7	1.1	0.6	1.9	0.8	2.2	0.6	0.6	0.5	1.2	0.4	0.5	0.7	0.8
qtly, ann%ch	2.6	2.9	4.1	2.1	4.3	4.4	5.6	5.6	5.6	5.3	5.6	5.4	5.3	5.1	5.1
By state															
– NSW	135.7	136.4	138.5	139.6	142.4	144.2	148.2	148.6	149.1	148.8	149.0	149.9	148.4	149.7	147.4
– Vic	134.6	135.8	136.9	138.2	139.8	142.8	144.8	146.1	147.7	144.3	146.2	148.6	148.2	148.9	145.7
– Qld	148.9	151.0	153.2	154.8	159.4	162.3	167.8	168.7	169.4	168.9	169.1	171.2	170.2	170.8	168.4
– WA	148.7	151.1	153.4	156.5	159.7	162.8	167.8	170.4	172.1	169.9	172.1	175.5	176.1	174.3	171.1
– SA	146.9	147.8	149.9	152.2	154.4	157.3	160.3	162.0	165.5	162.1	163.6	163.9	161.8	164.2	159.8

All indexes based on the value of spending-related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



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July 2026



MON	TUE	WED	THU	FRI
		1	2	3
		AUSTRALIA Cotality Home Value Index Jun exp -0.5% prev -0.1% (11:30am) Dwelling Approvals May exp -1.0% prev -3.4% (11:30am) CHINA RatingDog Manufacturing PMI Jun exp 52.0 prev 51.8 (11:45am) EURO ZONE CPI Jun y/y (P) exp 3.0% prev 3.2% (7:00pm) JAPAN Tankan Large Manufacturers Index Q2 exp 16 prev 17 (9:50am) UNITED KINGDOM Nationwide House Prices Jun prev -0.6% (4:00pm) UNITED STATES ADP Employment Change Jun exp 120k prev 122k (10:15pm) ISM Manufacturing Jun exp 53.8 prev 54.0 (12:00am) Construction Spending May exp 0.2% prev 0.4% (12:00am) GLOBAL S&P Global Manufacturing PMI Jun (F) ECB Forum Panel – Warsh, Lagarde, Bailey, Macklem (11:00pm)	AUSTRALIA Goods Trade Balance May exp \$2.5bn prev \$1.8bn (11:30am) EURO ZONE Unemployment Rate May exp 6.3% prev 6.3% (7:00pm) NEW ZEALAND Building Permits May prev 10.9% (8:45am) UNITED STATES Employment Report Jun (10:30pm) Nonfarm Payrolls Chg exp 110k prev 172k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.3% Factory Orders May exp -2.0% prev 4.8% (12:00am) Durable Goods Orders May (F) exp -4.5% prev -4.5% (12:00am)	CHINA RatingDog Services PMI Jun exp 53.0 prev 54.4 (11:45am) NEW ZEALAND ANZ Consumer Confidence Jun prev 86.5 (8:00am) UNITED STATES Independence Day – Markets Closed GLOBAL S&P Global Services PMI Jun (F)
6	7	8	9	10
AUSTRALIA MI Inflation Gauge Jun y/y prev 4.4% (11:00am) ANZ-Indeed Job Ads Jun prev 1.8% (11:30am) EURO ZONE Ger. Factory Orders May prev -3.8% (4:00pm) Sentix Investor Confidence Jul prev -13.4 (6:30pm) PPI May y/y prev 4.9% (7:00pm) Retail Sales May prev -0.4% (7:00pm) UNITED STATES S&P Global Services PMI Jun (F) prev 51.3 (11:45pm) ISM Services Jun prev 54.5 (12:00am)	CHINA Foreign Reserves Jun prev US\$3442bn EURO ZONE Ger. Industrial Production May prev 0.4% (4:00pm) JAPAN Household Spending May y/y prev -0.5% (9:30am) UNITED STATES Trade Balance May prev -US\$55.9bn (10:30pm)	AUSTRALIA RBA's Hunter – Speech (11:00am) JAPAN Current Account May prev ¥3907.8bn (9:50am) NEW ZEALAND RBNZ Policy Decision prev 2.25% (12:00pm) UNITED STATES FOMC Minutes (4:00am) Consumer Credit May prev US\$20.733bn (5:00am)	CHINA CPI Jun y/y prev 1.2% (11:30am) PPI Jun y/y prev 3.9% (11:30am) NEW ZEALAND BusinessNZ Mfg PMI Jun prev 49.9 (8:30am) UNITED STATES Existing Home Sales Jun prev 3.2% (12:00am)	NEW ZEALAND Matariki – Markets Closed

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Economic Calendar

July 2026



MON	TUE	WED	THU	FRI
13 NEW ZEALAND Performance Services Index Jun prev 47.5 (8:30am)	14 AUSTRALIA Westpac-MI Consumer Sentiment Jul prev 80.6 (10:30am) NAB Business Survey Jun (11:30am) Conditions prev 3 Confidence prev -14 CHINA Exports Jun y/y prev 19.4% Imports Jun y/y prev 27.4% Trade Balance Jun prev US\$105.43bn JAPAN Industrial Production May (F) prev 0.5% (2:30pm) NEW ZEALAND Net Migration May prev 3090 (8:45am) UNITED STATES NFIB Small Business Optimism Jun prev 95.3 (8:00pm) CPI Jun prev 0.5% (10:30pm) Fedspeak - Goolsbee (3:00am)	15 CHINA GDP Q2 y/y prev 5.0% (12:00pm) Activity Indicators Jun ytd y/y (12:00pm) Retail Sales prev 1.4% Industrial Production prev 5.4% Fixed Asset Investment prev -4.1% EURO ZONE Industrial Production May prev 0.1% (7:00pm) JAPAN Core Machinery Orders May prev 8.7% (9:50am) NEW ZEALAND Retail Card Spending Jun prev 1.7% (8:45am) UNITED STATES NY Fed Empire Manufacturing Jul prev 5.7 (10:30pm) PPI Jun y/y prev 6.5% (10:30pm)	16 AUSTRALIA MI Inflation Expectations Jul y/y prev 5.5% (11:00am) EURO ZONE Trade Balance May prev €1.3bn (7:00pm) UNITED KINGDOM Monthly GDP May prev -0.1% (4:00pm) UNITED STATES Phily Fed Manufacturing Index Jul prev 10.3 (10:30pm) Retail Sales Jun prev 0.9% (10:30pm) NAHB Housing Market Index Jul prev 35 (12:00am) Business Inventories May prev 0.5% (12:00am) Pending Home Sales Jun prev 3.8% (12:00am)	17 EURO ZONE CPI Jun (F) (7:00pm) NEW ZEALAND Selected Price Indices Jun (8:45am) UNITED STATES Import Price Index Jun prev 1.9% (10:30pm) Housing Starts Jun prev -15.4% (10:30pm) Building Permits Jun (P) prev -0.9% (10:30pm) Industrial Production Jun prev 0.1% (11:15pm) UoM Consumer Sentiment Jul (P) prev 49.5 (12:00am)
20 NEW ZEALAND Trade Balance Jun prev NZ\$800mn (8:45am) UNITED KINGDOM Rightmove House Prices Jul prev -0.6% (9:01am) UNITED STATES Leading Index Jun prev 0.1% (12:00am)	21 EURO ZONE EU ZEW Expectations Jul prev 9.5 (7:00pm) NEW ZEALAND CPI Q2 (8:45am) q/q prev 0.9% y/y prev 3.1% UNITED KINGDOM Public Sector Borrowing Jun prev £23.3bn (4:00pm) ILO Unemployment Rate May prev 4.9% (4:00pm)	22 AUSTRALIA Westpac-MI Leading Index Jun ann'd prev -0.17% (10:30am) UNITED KINGDOM CPI Jun y/y prev 2.8% (4:00pm)	23 AUSTRALIA Labour Force Survey Jun (11:30am) Employment Change exp 15k prev 40.3k Unemployment Rate exp 4.4% prev 4.4% Participation Rate exp 66.7% prev 66.7% EURO ZONE ECB Policy Decision (Deposit Rate) prev 2.25% (10:15pm) EC Consumer Confidence Jul (P) prev -17.7 (12:00am) UNITED STATES Chicago Fed Nat Act Index Jun prev -0.1% (10:30pm) Kansas City Fed Manufacturing Index Jul prev 11 (1:00am)	24 JAPAN CPI Jun y/y prev 1.5% (9:30am) UNITED KINGDOM GfK Consumer Sentiment Jul prev -23 (9:01am) Retail Sales Jun prev 1.2% (4:00pm) UNITED STATES New Home Sales Jun prev -7.3% (12:00am) GLOBAL S&P Global PMIs Jul (P) Manufacturing Services

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Economic Calendar

July 2026



MON	TUE	WED	THU	FRI
27 CHINA Industrial Profits Jun y/y prev 21.1% (11:30am) EURO ZONE IFO Business Climate Survey Jul prev 85.6 (6:00pm) M3 Money Supply Jun y/y prev 3.2% (6:00pm) UNITED STATES Durable Goods Orders Jun (P) (10:30pm) Dallas Fed Manufacturing Index Jul prev 0.0 (12:30am)	28 AUSTRALIA RBA's Bullock – Speech (1:05pm) UNITED STATES FHFA House Prices May (11:00pm) S&P CoreLogic CS House Prices May (11:00pm) Richmond Fed Manufacturing Index Jul prev 4 (12:00am) Consumer Confidence Index Jul (12:00am)	29 AUSTRALIA CPI Q2 (11:30am) Headline q/q exp 1.0% prev 1.4% Headline y/y exp 4.4% prev 4.1% Trimmed Mean q/q exp 1.0% prev 0.8% Trimmed Mean y/y exp 3.8% prev 3.5% NEW ZEALAND Filled Jobs Jun prev 0.3% (8:45am) UNITED STATES FOMC Policy Decision prev 3.625% (4:00am)	30 AUSTRALIA RBA's Hunter – Fireside Chat (8:40am) Dwelling Approvals Jun (11:30am) Trade Price Indices Q2 (11:30am) Export Prices prev 0.5% Import Prices prev 0.1% EURO ZONE EC Economic Confidence Jul (7:00pm) EC Consumer Confidence Jul (F) (7:00pm) GDP Q2 (P) prev –0.2% (7:00pm) Unemployment Rate Jun (7:00pm) NEW ZEALAND ANZ Business Confidence Jul prev 36.6 (11:00am) UNITED KINGDOM BoE Policy Decision prev 3.75% (9:00pm) UNITED STATES Personal Income Jun prev 0.7% (10:30pm) Personal Spending Jun prev 0.7% (10:30pm) PCE Deflator Jun prev 0.4% (10:30pm) GDP Q2 (P) ann'd prev 2.1% (10:30pm)	31 AUSTRALIA PPI Q2 prev 0.4% (11:30am) Private Sector Credit Jun (11:30am) CHINA NBS PMIs Jul (11:30am) Manufacturing prev 50.3 Non-Manufacturing prev 50.2 EURO ZONE CPI Jul y/y (P) (7:00pm) JAPAN Tokyo CPI Jul y/y prev 1.7% (9:30am) Jobless Rate Jun prev 2.5% (9:30am) Industrial Production Jun (P) (9:50am) BoJ Policy Decision prev 1.00% NEW ZEALAND ANZ Consumer Confidence Jul (8:00am) UNITED STATES Employment Cost Index Q2 prev 0.9% (10:30pm) Chicago PMI Jul (11:45pm) UoM Consumer Sentiment Jul (F) (12:00am)

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July 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

WESTPAC MARKET OUTLOOK

July 2026

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Fragile calm fractures

Australian economy:

Rate hikes impacting interest-sensitive sectors

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The MoU sees commodity prices tumble

Global FX:

Conviction is a challenge

New Zealand:

The inflation outlook has improved

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China's greatest opportunity

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US payrolls offers

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This issue was finalised on 10 July 2026.

NB: Quarterly forecasts for commodities on page 26 are now reported on a quarter-average basis. Forecasts on an end-of-quarter basis will be made available the week after Market Outlook is published.

Vibe check



Shortly after our last *Market Outlook* went to print, the US and Iran signed a memorandum of understanding that set the terms for a formal ceasefire, gave the green light for shipping traffic to resume through the Strait of Hormuz and, among other concessions, established a framework for further negotiations on pricklier issues, including Iran's nuclear capability. Markets embraced the shift, taking crude oil futures all the way back to pre-conflict levels, bond market rallying and 'risk' assets picking up steam. It was unlikely to all be smooth sailing, however.

As we go to press, the situation is looking much more combustible – Iran attacking ships navigating the Strait of Hormuz along the Omani coast and the US responding with multiple rounds of strikes against Iranian military assets and revoking the sanction waiver that had allowed Iran to sell oil legally on the open market. Whether this marks yet another short-lived 'tit-for-tat' or the early stages of a complete unravelling remains to be seen. For now, these developments have served as a bit of a 'vibe check' for markets which have given back part of their early optimism but stopped short of pricing in the risk of a sustained re-escalation.

The Middle East remains the through-line for the global outlook, but underneath that layer of uncertainty are numerous local subplots that policymakers are having to grapple with. In China, the benefits from robust industry and trade are still showing a limited flow through to households, meaning more pro-active stimulus is likely later this year. In the US, the market's conviction over Fed rate hikes remains questionable given labour market weakness that is being masked by a volatile path for monthly payrolls. Meanwhile, the UK is set to usher in Andy Burnham as its seventh Prime Minister in ten years who will inherit the perennial task of trying to revive productivity growth and restore the uptrend in real incomes.

Closer to home, the RBNZ kicked off its tightening cycle with a 25bp rate hike in July, with more to come over this year and next as policymakers look to lean against inflation pressures. Recent communications from the RBA have increased our conviction for an August rate hike, though the need for a follow-up in September will depend crucially on how the inflation data and Middle East situation evolves over the coming weeks and months.

Australia: The full effects of the global energy shock will become more evident with the release of official June quarter data in coming weeks. Policymakers can usually 'look through' the price effects from small, short-lived supply shocks but with Australia coming into the shock with inflation already above the 2–3% target band, the RBA is much more alert to upside inflation risks. We expect the June quarter data to be troubling enough for the RBA deliver two additional rate hikes through 2026, with policy easing unlikely to begin until the second half of 2027, once it is clear that inflation is back on a sustainable path back towards target.

Commodities: Commodity prices fell sharply in June as markets responded to the US–Iran memorandum of understanding and the reopening of the Strait of Hormuz. Our broadest commodities index declined 3.2%¹ month, with oil leading the sell-off and coal the notable exception. Reflecting recent dynamics, we have revised our September quarter average Brent forecast lower to US\$83/bbl.

Global FX Markets: The past month, participants have shown less concern over global oil supply while holding on to the belief that US economic risks are asymmetrically skewed towards inflation, warranting action from the FOMC.

New Zealand: An unexpectedly rapid decline in oil prices has improved both the near-term growth and inflation outlook in New Zealand. Weighing up these competing influences on the medium-term inflation outlook, the RBNZ decided to begin moving the OCR back to neutral levels this month. Further rate hikes seem likely over coming meetings, but the exact timing will be data and event dependent.

United States: With the three-month average of payrolls growth above estimates of current labour supply, participants are still wary of further policy tightening. But a holistic take of the labour market suggests this is unlikely.

China: The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Asia: Despite a softer growth outlook, we expect the BoJ to raise rates to 1.5% by mid-2027. Inflation expectations have become more entrenched, nominal wage growth remains strong and productive capacity is improving. However, uncertainty around neutral should see policy normalisation proceed gradually.

Europe & UK: UK remains politically divided and its economic stagnation is fuelling political instability. Without stronger growth, higher living standards and improved public finances, the next government risks repeating the same cycle of public frustration and leadership turnover. ▶

Fragile calm fractures ...

Luci Ellis

Chief Economist, Westpac Group

Consistent with a general tendency to fade geopolitical risk, markets leant into the positive signal of the US–Iran agreement struck in mid June. As negotiations proceeded and evidence of a recovery in traffic through the Strait of Hormuz emerged, oil prices returned to around pre-war levels. Market pricing also implies that this lowered near-term inflation expectations as well as those further out. This flowed through to bond yields, with 10-year benchmarks declining over the second half of June.

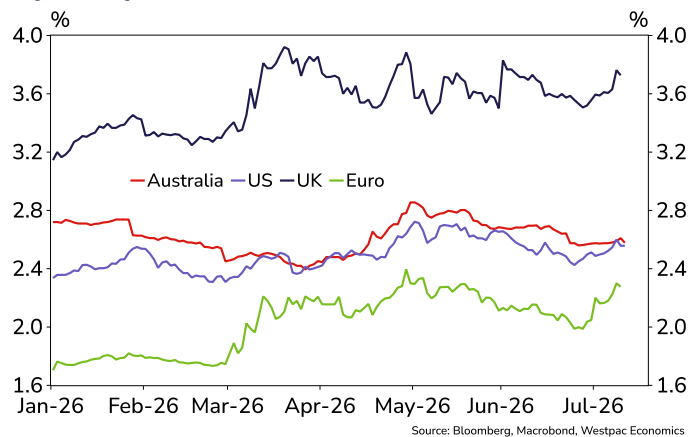
We have flagged for some time that even with a ceasefire agreement in place, the Middle East conflict could flare up periodically. This risk has crystallised in recent days, with both sides unleashing missile attacks and shipping being targeted. Oil prices have bounced back, up 6% over the past week as we go to press. Inflation expectations implied by financial market pricing have increased along the curve with nominal bond yields moving accordingly, up 20–30bps since end-June in the major markets. An interesting exception that probably relates more to the illiquidity of the market than an explicit view is that the near-term (1 year) inflation expectations implied by swaps for Australia has not risen, even though the equivalent measures for major markets have done, as have implied inflation for Australia further out (1-year, 1-year forwards and beyond).

The expected policy reaction to the latest flare-up has been somewhat muted by comparison. Market pricing for end-2026 policy rates is up only a little since end-June, around 5bps for major markets, compared with around double that for swaps-based measures of inflation expectations. It should be emphasised that the policy outlook reflects a broader context than inflation shocks emanating from energy prices alone.

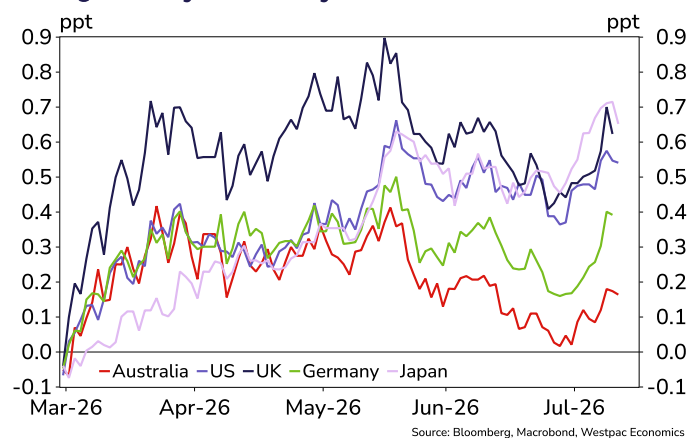
In particular, the outlook for Fed policy had been re-rated already in mid-June following the FOMC meeting and publication of members' forecasts (other than new chair Kevin Warsh). We have long been of the view that the previously expected cuts to the Federal funds rate were overdone given the structural and policy-driven constraints on supply capacity in that economy, especially labour supply. Core inflation remains materially above target in the US and looks to remain so for some time yet. A slim majority of members now expect one rate increase this year; we expect the current uncertainty to stay the FOMC's hand for a bit longer. We also now expect the Bank of England to remain on hold for the remainder of the year, while the ECB is likely to deliver one more hike still.

Currency markets have also responded to the recent flare-up in hostilities in the usual way, with the USD picking up a little and risk currencies such as AUD ticking down. Shifts in rates differentials have also played a role in these movements.

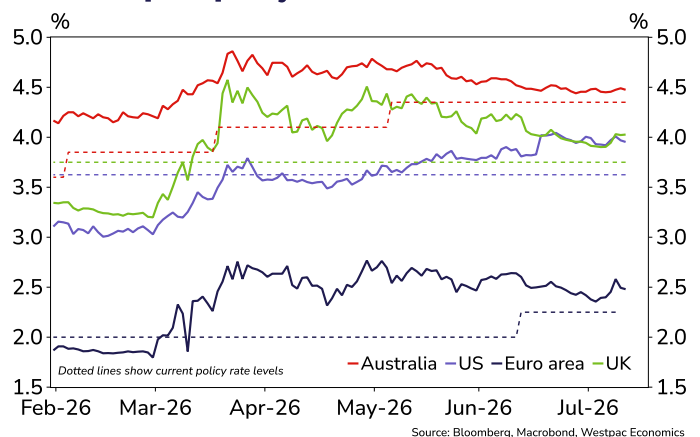
1-year-1-year fwd Inflation Expectations (Swaps)



Change in 10-year bond yields since war started



Market-implied policy rates for December 2026



... while RBA finds reasons to be hawkish

The RBA kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication noted that policy tightening was affecting the economy broadly as expected.

The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged [some months ago](#) – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend.

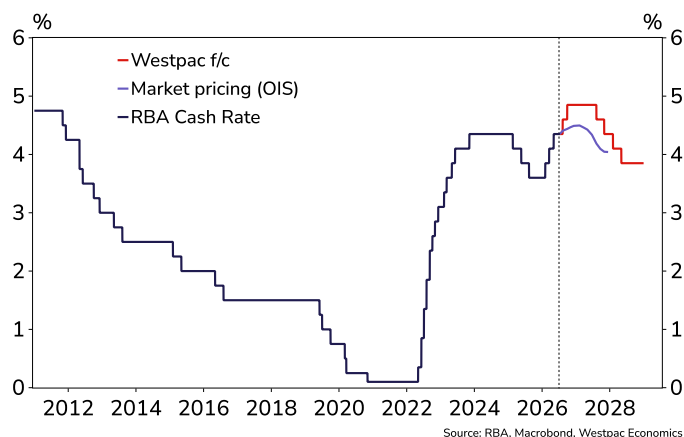
The near-term path for the RBA nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen. The post-meeting communication added language stating that the Monetary Policy Board (MPB) stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted [back in May](#), it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess that further (mostly policy-driven) shocks are possible in the period ahead.

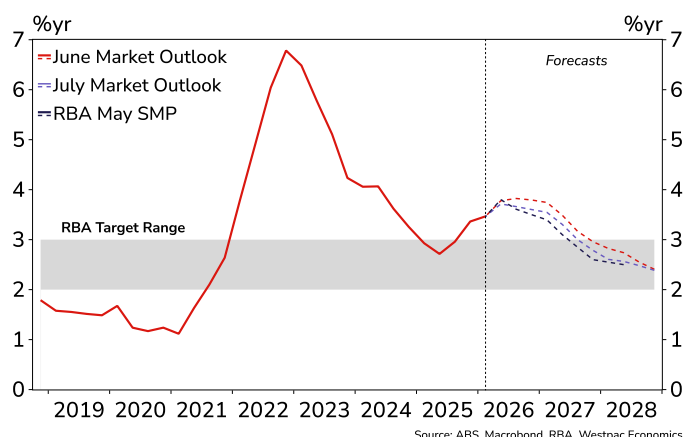
By contrast, our conviction around the follow-up hike in September has declined. We are seeing some pull-back in inflation momentum, which suggest that underlying inflation will not exceed the RBA's May forecasts in H2 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all.

Further out, the outlook is less hawkish than before. Despite the recent flare-up in hostilities in the Middle East, the inflation outlook in 2027 looks a bit more benign than a couple of months ago. We have therefore brought forward the expected future cuts to start in August 2027, rather than 2028 as previously.

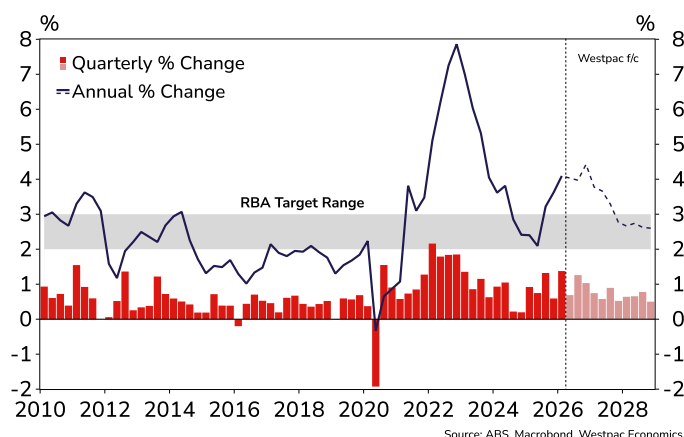
RBA Cash Rate



Trimmed mean forecast revisions



Headline CPI Inflation



Rate hikes impacting interest-sensitive sectors ...

Matthew Hassan, Head of Australian Macro-Forecasting
Pat Bustamante, Senior Economist

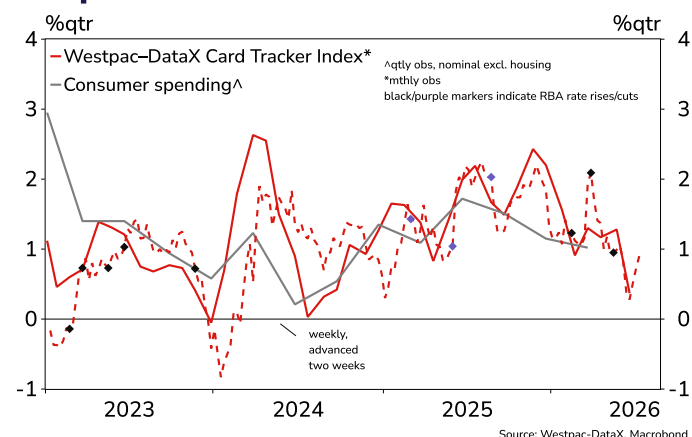
The full effects of the global energy shock will become more evident with the release of official June quarter data in coming weeks. As a supply shock, it has reduced productive capacity, weighing on activity and pushing up costs. The size, duration and growth vs inflation mix of the shock all remain uncertain. Policymakers can usually 'look through' the price effects from small, short-lived supply shocks but with Australia coming into the shock with inflation already above the 2–3% target band, the RBA is much more alert to upside inflation risks. It will be particularly sensitive to any signs that energy price increases are flowing through more fully and rapidly to a broader range of prices. We expect the June quarter data to be troubling enough for the RBA deliver two additional rate hikes through 2026, with policy easing unlikely to begin until the second half of 2027, once it is clear that inflation is back on a sustainable path towards target.

This in turn points to a challenging near-term outlook for the economy. The significant cumulative tightening in financial conditions will weigh on demand and activity across interest-sensitive sectors. Growth is expected to be flat in Q2 (+1.6%yr) dropping to an annual pace of just 0.7%yr by year-end, before gradually lifting back to 1.5%yr over 2027. Underlying inflation is expected to rise to 0.9%qtr and 3.7%yr in Q2, remain elevated at 3.6%yr through 2026, and gradually ease to 2.8%yr by the second half of 2027.

Rate rises contributing to softer consumer

The tightening in financial conditions is already contributing to a slowdown in consumer spending. The shifting interest rate situation saw consumer sentiment fall sharply through the turn of the year. In line with this, the March quarter national accounts pointed to a moderation in consumption growth,

Westpac-DataX Card Tracker



particularly when electricity rebate effects are excluded. The June quarter looks weaker still, with sentiment dropping to historical lows and our **Westpac Card Tracker Index** suggesting consumption stalled flat in real terms. While much of that reflects the spike in fuel prices, the February, March and May rate rises have had a hand in the weakness as well.

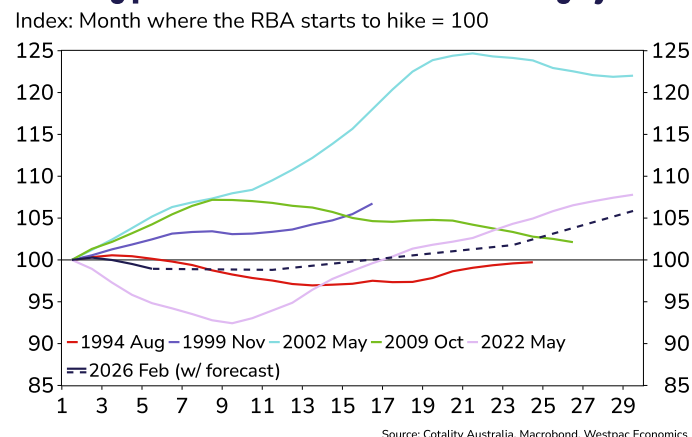
Housing slowdown also in play

As one of the most interest rate sensitive sectors of the economy, housing often sits at the centre of the monetary policy transmission mechanism. Purchases are typically debt financed through variable-rate loans, meaning demand is heavily impacted by interest rate changes. All else equal, higher interest rates reduce demand for housing, impacting turnover, dwelling prices and new construction.

Note that all else is often not equal. Housing turnover, price and construction cycles are affected by a range of other factors that can sometimes override even quite powerful interest rate effects. The most compelling recent example of this was in 2023, when housing markets posted a surprisingly solid rebound despite an aggressive tightening that saw a cumulative 4.25ppt rise in interest rates between mid-2022 and late 2023. The apparent driver at the time was a post-COVID surge in population growth.

The main 'other factor' currently impacting housing is the investor housing tax policy overhaul announced in the Federal budget. As set out in our [assessment](#), these changes are set to accentuate rate rise impacts with an investor-led pull-back expected to see total turnover decline by around 20% and a moderate price correction – a 2ppt decline nationally leaving annual price growth flat by year-end.

Dwelling prices across different RBA hiking cycles



... consumer, not housing, the main game for growth

Housing only a small drag for economic growth

What is the bottom line here for economic growth? While there are risks and uncertainties, at this stage the combined effect looks set to be quite marginal with the drop in turnover likely to be the most meaningful change.

The housing construction channel is particularly important because of its extensive linkages to the rest of the economy, including manufacturing, transport and professional services. Dollar for dollar, the wider economic impact from residential investment is about 1.5 times that of consumer spending.

However, several factors are expected to limit any slowdown. Firstly, the pipeline of work has been expanding, the number of dwellings under construction rising 10% over the year to March and likely to push higher near term even if new approvals pull back. Just over 40% of these builds are in high-rise projects that typically take over a year to complete.

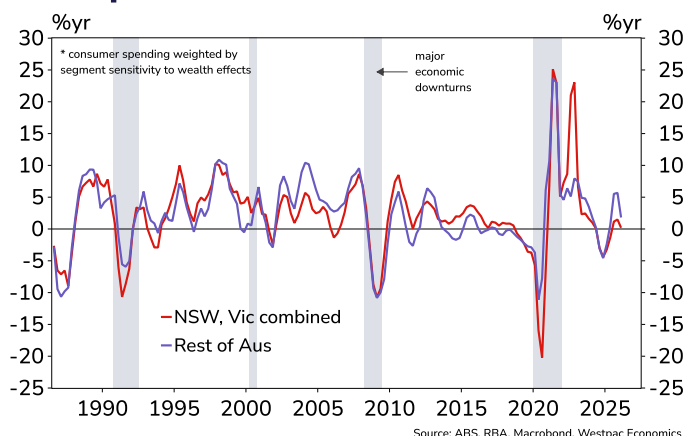
Secondly, governments – both Federal and state – have been actively trying to boost new housing construction for some time now using a variety of policy levers including zoning changes and fast-tracking suitable high-density developments. The Commonwealth's \$2bn Housing Support Program, the \$10bn Housing Australia Future Fund, and the NSW Government's \$6.6bn housing package are all part of this effort. And lastly, new dwelling construction should also get some medium-term support from the Federal tax changes as investment in newly built dwellings will now see preferential negative gearing and capital gains tax treatments.

Overall, we forecast total dwelling investment (including renovations and alterations) to slow from 5.1%yr in 2025 to 4.0%yr in 2026 and 3.2%yr in 2027. While this represents a meaningful moderation, it is less severe than some official forecasts. The RBA, for example, is forecasting dwelling investment growth of just 2.0% in 2026 and a decline of 0.3% in 2027. Our firmer outlook reflects the substantial increase in housing-related spending being pursued by state and federal governments.

Housing can also affect activity indirectly through wealth effects. The wealth gains or losses associated with house price moves can have a significant bearing on discretionary spending – with those benefiting from gains tending to spend more and those impacted by losses tending to spend less. RBA [research](#) estimates that on average a 1ppt change in house prices leads to a 0.16ppt change in the long-run level of consumption with about half of that effect coming in the first six months.

Currently, that would amount to a positive tailwind worth 0.5–0.7ppts on annual spending growth, given the recent history of price rises. While this is hard to discern nationally, the detail does suggest some support, with somewhat

Consumption: 'wealth effect' indicator



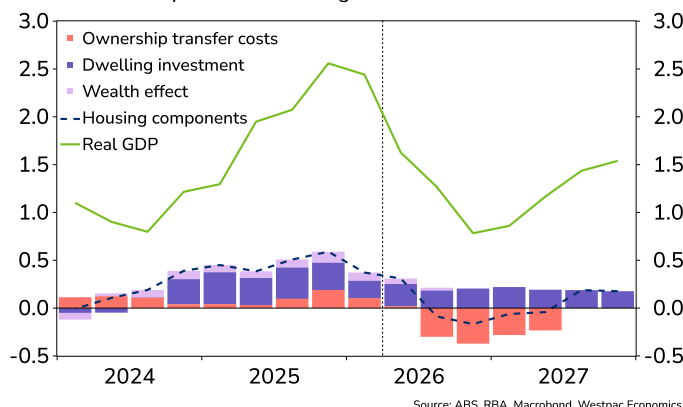
stronger spending in categories that are more sensitive to wealth effects in the states that have seen the largest house price gains in recent years (see chart above). That said, the aggregate effect looks to be more muted than the 0.5–0.7ppt guidance and was already subsiding in early 2026.

Our post-Budget revised price forecasts suggest the wealth effect could become a slight drag by early 2027, reflecting a combination of moderating gains in states that had been seeing strong price growth (Queensland, South Australia and Western Australia) and a drag in states seeing more material price declines (New South Wales and Victoria). Overall, we expect this effect to be worth 0.1–0.15ppts on annual GDP growth, with this likely to show through in late 2026 and early 2027.

There is a more direct impact on activity through swings in housing market turnover as well. The drop in sales volumes will be a significant dampener for real estate agents and a range of associated service providers including legal, accounting, financial services and removalists. Reduced 'churn' may also have some spillover effects on spending on furniture, household goods and small renovations, although these

Housing-related drivers of GDP

Contributions to year-ended GDP growth



are difficult to estimate (partly because they are difficult to separate from similar spillovers coming via construction-related activity and wealth effects). However, the direct impact alone, which is captured by the 'ownership transfer cost' expenditure component of the national accounts, is a large -0.4ppt drag on headline GDP over the second half of 2026.

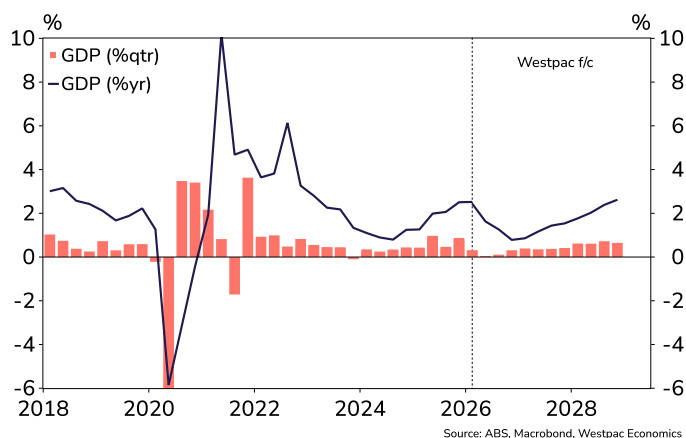
Bottom line

The key takeaway here is that while housing is facing into a material downturn with many of the effects still uncertain, the growth impacts do not look likely to be large. Where drags are set to come through, around turnover and wealth effects, these look to be in the order of around 0.5ppt of GDP on a combined basis. And there are good reasons to expect dwelling investment to be resilient with gains still adding around 0.2pts to GDP growth in 2026.

And of course, there are other drivers impacting. Two themes that we have been highlighting for some time are the slowing in public demand and a strong lift in investment in data centres and electricity. The last month has seen some important updates on state government budgets (covered in our latest [Coast-to-Coast](#)) and the data centre investment boom (see [here](#)).

However, the housing, public demand and data centre investment stories are mostly peripheral with the dominant driver of the challenging growth environment in 2026 still the squeeze on household incomes coming from high inflation, higher interest rates and rising tax payments. How this squeeze evolves remains the key question for the growth profile in the back end of 2026 and 2027.

GDP forecasts



The MoU sees commodity prices tumble ...

Luka Belobrajdic
Economist

Most commodities fell in June following the signing of the US and Iran memorandum of understanding on 17 June, which established a 60 day ceasefire and critically, reopened the Strait of Hormuz. Our broadest commodities index fell –3.2%*mt* over the month. Oil led the falls, with Brent down –16.3%*mt*, while Japanese LNG was down –2.5%*mt*. Iron ore too fell sharply, down –7.2%*mt* as transient sources of price support faded, while gold slid –7.4%*mt* and aluminium –5.1%*mt*. Copper was broadly unchanged. Coal was the exception with the Shanxi mining disaster lifting both coking (2.6%*mt*), and thermal coal (10.4%*mt*). Reflecting recent developments we have revised our crude oil forecast lower, with a September quarter average Brent price of US\$83/bbl, US\$4 below our previous update.

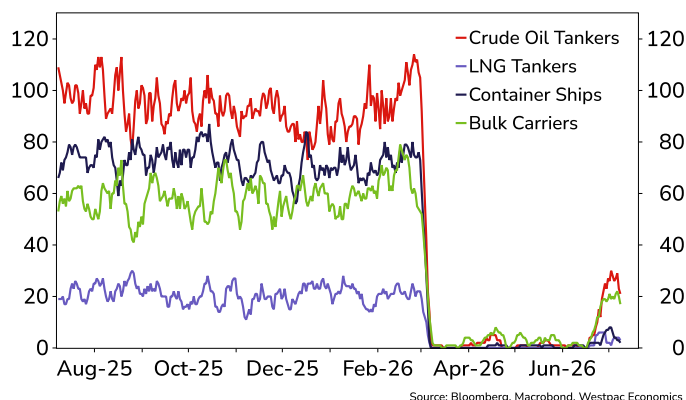
Oil prices slide but volatility likely ahead

Brent prices have fallen over the past month to just above US\$70/bbl in early July, fully unwinding the war premium. The initial slide was in line with our view as vessels trapped inside the Strait have exited and empty tankers waiting outside have moved in. That said, supply has come back a touch faster than we expected. UAE and Saudi exports have normalised rapidly, helped by the absence of well shut-ins, ample storage and continued pipeline flows through the conflict. However, as we have previously highlighted, the MoU would always be an uneasy truce. This was evident with flare-ups over the last week pushing prices back up to around US\$80/bbl. While hostilities should be short-lived and optimism will re-emerge between flare-ups, we expect demand and supply fundamentals to reassert as the primary driver of prices over the coming months.

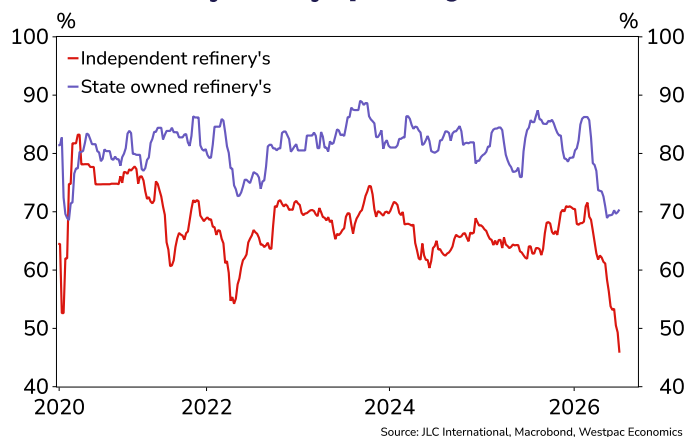
Notably, inventories remain very low. OECD government stocks fell 163mb in May to their lowest since December 1990, and a rebuild in government reserves will support demand. Adding to this, Chinese imports have been a key buffer against the global supply shock and is one that will fade as demand returns. In June, China accounted for just 13% of seaborne crude imports, down from 20% a year earlier, and independent refinery operating rates have fallen to a nine-year low of 46%. We look for some return in demand ahead, particularly in Q4 as refiners restock ahead of Chinese New Year. Meanwhile, although supply will continue to recover, inbound vessel traffic through the Strait remains well below pre-conflict levels, with recent Iranian strikes on transiting vessels holding back the recovery. Overall, we expect Brent to average US\$83/bbl in Q3, \$4 below our June forecast, and US\$85/bbl in Q4. Volatility will remain a feature, with much depending on the ceasefire holding and the pace of normalisation in shipping through the Strait, as captured in the [two scenarios](#) we published in June.

Strait of Hormuz, Inbound Vessels

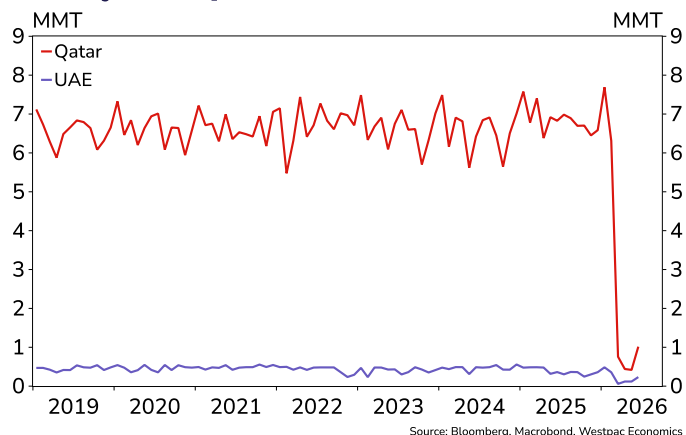
7-Day Rolling Total, East to West



Chinese refinery weekly operating rates



Monthly LNG Exports



... but physical markets are yet to fully recover

LNG markets remain tight

LNG markets, unlike oil, remain relatively tight. Damage to the world's largest LNG export complex at Ras Laffan in Qatar, limited LNG vessel availability and constrained spare liquefaction capacity continues to weigh on supply. As a result, Japanese LNG prices have not fallen as much since the signing of the MOU. At around US\$16-17/mmbtu in early July, prices remain at circa 50% above pre conflict levels.

While we have revised lower our expected peak in Japanese LNG prices to average US\$18.6/mmbtu in the September quarter, we expect the recovery in supply to the region to remain constrained, with prices unlikely to return to pre conflict levels until 2028. Domestically, however, the Australian gas market remains relatively insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the equivalent of 20% of gas exports to the Australian market.

Aluminium market tighter than prices imply

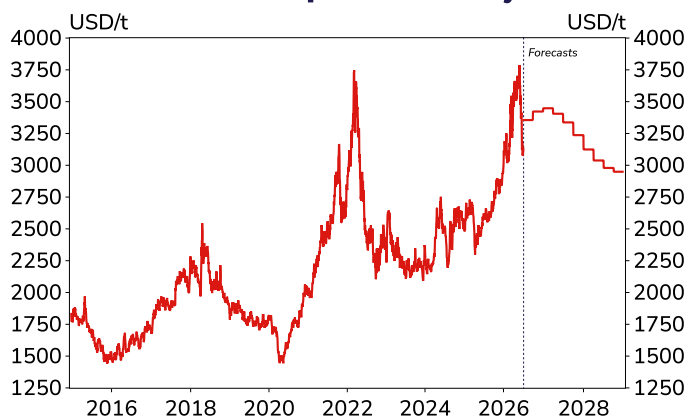
Aluminium prices have retraced sharply from their conflict highs, falling to below US\$3,100/t by early July. Markets appear to have largely priced in a rapid return of Gulf supply with the region accounting for circa 9% of global smelting capacity, and a considerably larger share of global trade. The price decline has occurred despite the IAI reporting that GCC aluminium production remained 38% below pre conflict levels in April.

Given the time and capital intensive nature of restarting Gulf smelting capacity, combined with the ongoing loss of African supply from Mozal, current prices appear inconsistent with underlying market tightness. Further price support is likely to come from China which has only marginally increased output, while Guinean bauxite export controls present an additional source of risk. Although a full return of the conflict premium appears unlikely, we expect aluminium prices to strengthen through the remainder of the September quarter, averaging US\$3,360/t, around 10% below our previous update. Tight market conditions are expected to persist into the March quarter of 2027 before easing as supply stabilises and new Indonesian capacity comes online. Longer term support is expected to come from EV, grid infrastructure and data centre investment, while growing competition with datacentres for power may constrain future smelting capacity expansion.

Iron ore breaks below US\$100/t

Iron ore prices fell below US\$100/t at end June amid the broader commodities sell off. While prices have since oscillated either side of the psychological threshold, downward pressure is building as several sources of temporary support begin to fade. Higher freight costs linked to the energy shock have started to unwind. Global ore supply is also ample, supported by improved weather conditions in Australia and Brazil that has lifted

Aluminium set to see a partial recovery

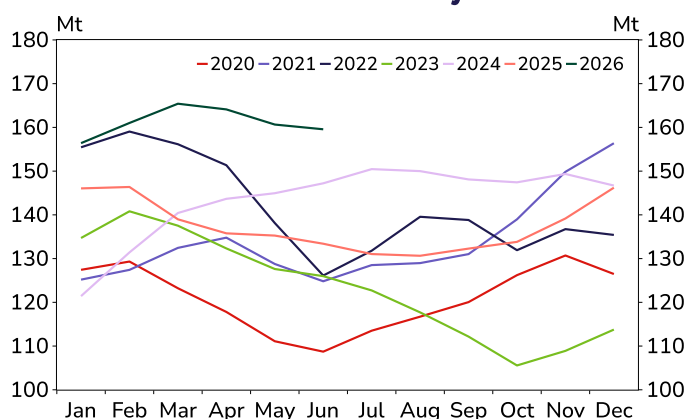


Source: LME, Macrobond, Westpac Economics

shipments, and The Shanxi mining disaster has driven coking coal prices higher, further compressing steelmaker margins. While recent CMRG restrictions on some Fortescue inventories may provide modest support, the impact is likely to be limited given abundant existing stockpiles. We continue to expect the 62% Fe index to average US\$97/t in the December quarter.

The medium term outlook is becoming increasingly challenging, with surplus conditions expected to emerge. Supply side pressures are building as new low cost output from Simandou enters the market. Persistently high inventories in China and softer global steel demand, as major economies contend with the effects of recently elevated energy costs, are expected to add further downside pressure. The ongoing structural decline in Chinese steel production is also eroding underlying demand, with growth in India and South East Asia providing only a partial offset. We therefore expect iron ore prices to soften further, averaging around US\$83/t in the December quarter of 2027.

China Iron Ore Total Ports Inventory



Source: Steelhome, Macrobond, Westpac Economics

Conviction is a challenge ...

Elliot Clarke

Head of International Economics

The past month, participants have shown less concern over global oil supply while holding on to the belief that US economic risks are asymmetrically skewed towards inflation, warranting action from the FOMC. The consequence has been a tight 2pt range for the DXY index.

The trend decline in the price of Brent crude from USD87 to USD76 currently, via a low of USD70, despite several US/Iran confrontations in the Strait of Hormuz is providing greater confidence in the US and global growth outlook. Nonfarm payrolls growth in recent months consistent with excess demand has also been beneficial for the dollar, so too the promise of AI to US industry and wealth.

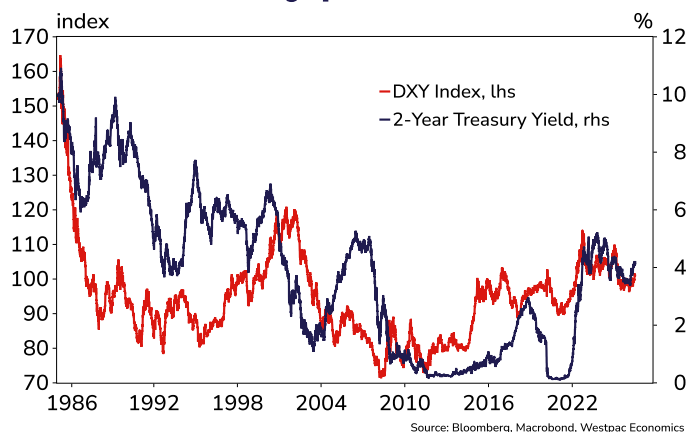
Market participants have therefore largely held to the view that the FOMC will need to tighten over the coming year, with two hikes by March 2027 currently regarded more than an 80% chance. This is despite expectations for higher rates in other developed economies having wavered.

As detailed on [page 17](#), we believe the chances of a US hike(s) are exaggerated, a holistic view of the labour market and demand instead arguing for a steady hand from the FOMC. Still, participants are unlikely to give up entirely on their bias while annual core inflation remains above target. Yield differentials are also likely to remain in the US' favour.

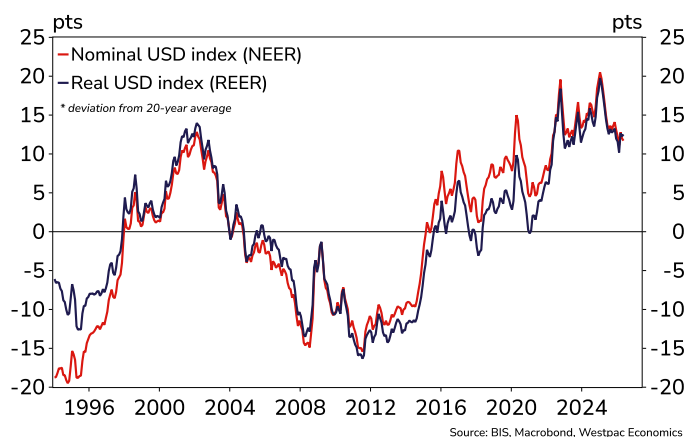
As such, we continue to expect only a modest depreciation in the US dollar index over the forecast period, from 100.9 today to 98.9 at year end, then 95.5 and 94.7 in late-2027 and 2028. That end point for DXY is still above the index's 20-year average, highlighting that the forecast decline is a consequence of burgeoning growth opportunities outside the US slowly attracting capital away, not a marked deterioration in the US economy or financial markets. However, it is worth remaining aware of the potential downside risks evident in household survey employment, consumer sentiment at multi-decade lows and persistent weakness in business investment outside of tech – all risks that could jolt the currency lower.

The high weight of the euro will see it contribute the most to this downtrend through end-2028. Over the period, euro is forecast to gain around 7%, EUR/USD rising from USD1.14 today to USD1.17 at end-2026, then USD1.22 by early-2028. The justification for euro appreciation from Europe's perspective rests on improving growth opportunities, not higher rates. Of the major developed economies, the euro area has arguably been most successful at containing inflation in the recent past, allowing policy to remain broadly neutral and the labour market strong.

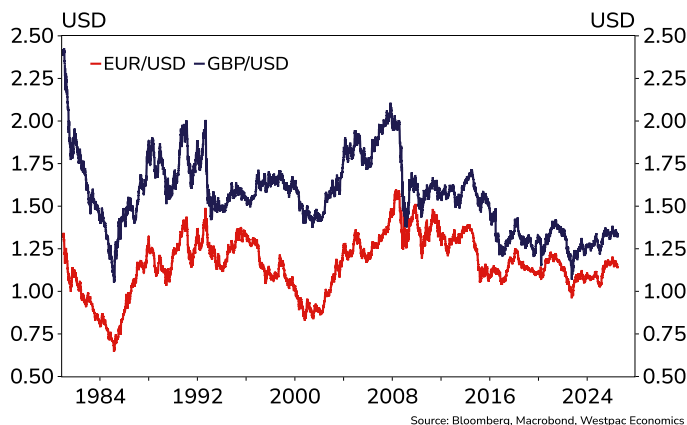
USD demand is holding up ...



... at elevated levels



Euro and UK risks to recede



... amid a myriad of risks

Sterling is also expected to appreciate sustainably, roughly in line with euro's trend, GBP/USD forecast to reach USD1.41 in mid-2028 from USD1.34 today. However, as discussed on [page 21](#), this out-turn is arguably more susceptible to disappointment, with both political and economic risks against the UK economy, and highly likely to remain that way.

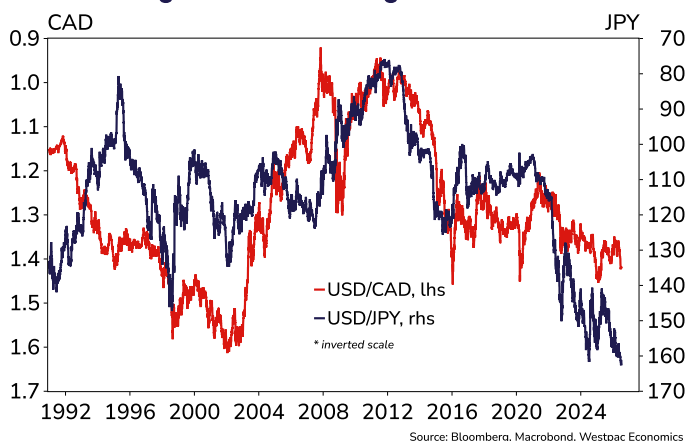
Over the past month, the Canadian dollar has been hit by the declining oil price and weakness in the domestic economy. But, if we are right in anticipating an improving global growth backdrop and the need to refill energy inventories, Canada's dollar should recover well, particularly if the domestic economy begins to benefit from a return to neutral policy. By the end of the forecast horizon, we forecast USD/CAD to fall to CAD1.32 from CAD1.42 today. Though, like the UK, we have less conviction in this call versus the euro given known risks, particularly over the coming year.

Turning to Asia, market participants are intent on continuing to test the Bank of Japan's resolve on defending JPY160 against the US dollar. Indeed, the past fortnight has seen USD/JPY hold above this mark and, at times, threaten JPY162.50–163.00. Being a significant importer of energy, the decline in the oil price should have been a favourable development. Instead, participants are basing their valuation judgements on yield differentials, including using the yen as a funding source, and the comparatively weak growth of Japan versus the US and other (similarly) developed economies in Asia.

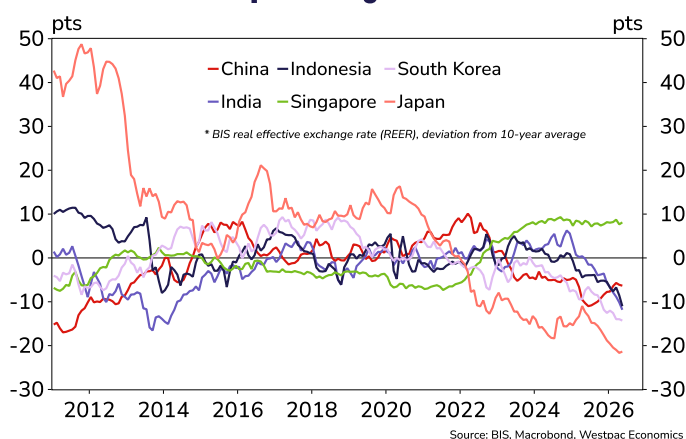
A moderation in US policy expectations, paired with further gradual moves towards normalisation in Japan, is expected to bring USD/JPY back below JPY160 in early-2027. Thereafter, we look for improving growth and a historic differential to the long-run average to justify a slow, partial reversal of the historic weakness the yen has suffered since the start of the pandemic. Note though, circa JPY150 is our target for end-2028, a rate still 40% above the average of 2019. Capital and investment outflows also threaten to make this a stretch target.

In stark contrast to the yen, China's Renminbi is forecast to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar, circa USD6.30. Indeed, a break of that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis then, the anticipated currency gains will be limited, and likely offset by continued productivity wins, providing scope for an extended uptrend over many years.

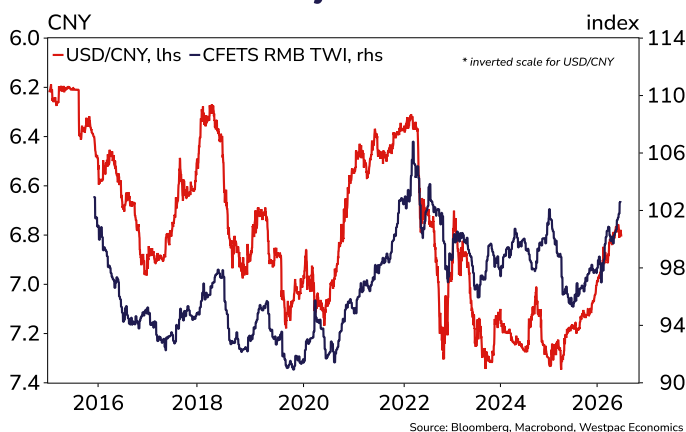
JPY challenged short and long-term



Asia's outlook still promising



Renminbi to sustain rally



The inflation outlook has improved ...

Darren Gibbs
Senior Economist

A great deal has changed since the last Market Outlook, leading to a significant revision to our forecasts for the New Zealand economy. The key driver has been the much faster-than-expected easing in Middle East tensions and the resulting sharp decline in prices for energy and related commodities. The implications for New Zealand are significant. Lower fuel and transport costs have reduced inflationary pressures directly while also easing cost pressures on businesses and households. The improved outlook has also lessened concerns about the impact of high energy costs on global growth and domestic activity. While it remains too early to conclude that geopolitical risks have disappeared entirely, recognising these developments, we have recently incorporated a less severe energy shock into our economic forecasts.

We now forecast GDP to have declined by just 0.1% in the June quarter, compared with our earlier expectation of a 0.3% contraction. Growth is forecast to resume at around a 0.6% pace in the current quarter and strengthen to 0.7% in the December quarter. As a result, we now expect economic growth of 2.0% in 2026, up from our previous forecast of around 1.5%. The economy is forecast to grow 2.9% in 2027. In essence, we now expect that it will regain its pre-conflict momentum sooner than seemed likely a month ago – henceforth following a path closer to that expected at the beginning of the year – as lower fuel prices contribute to a rebound in household spending, business confidence and economic activity.

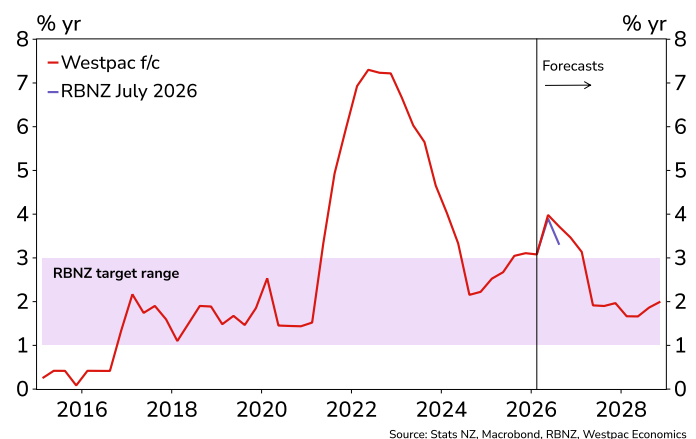
The labour market outlook has also improved modestly. Employment growth is likely to remain subdued in the near-term as ongoing uncertainty continues to weigh on hiring for a period, but the stronger activity outlook has reduced the risk of a significant deterioration in labour market conditions. We now expect the unemployment rate to rise only slightly from its current 5.3% to peak at 5.4% in the June quarter. This compares with our previous expectation that a more prolonged period of sluggish employment growth would see it peak at 5.6% during the second half of the year. Thereafter, unemployment is expected to trend gradually lower, falling below 5% by late 2027.

While housing market conditions remain relatively soft, they have been more resilient than expected. We now expect house prices to rise modestly by around 0.3% in 2026, rather than falling slightly as previously forecast, with an annual gain of around 2% expected in 2027.

The largest revisions have been to the outlook for inflation. Reflecting the unexpectedly rapid decline in fuel prices, annual CPI inflation is now expected to peak at around 4.0% in the June

quarter, down from our previous forecast of 4.5%. Thereafter, inflation is expected to ease further to around 3.5% by the end of the year. Lower petrol and diesel prices are directly reducing inflation and are also limiting the broader pass-through of transport and energy costs into other goods and services. The shortened duration of the energy price shock also makes it less likely that it will generate second-round inflation pressures

CPI inflation forecasts



across a broader range of goods and services.

Turning to the outlook for monetary policy, the RBNZ lifted the Official Cash Rate (OCR) by 25bps at its July meeting to 2.50% (in contrast to our expectations for a hold). The decision was reached by consensus, meaning a formal vote was not required. While the RBNZ acknowledged that inflation and global risks have eased since its May Monetary Policy Statement, it nevertheless concluded that policy tightening was warranted.

A key feature of the decision was the RBNZ's updated assessment of inflation. Falling oil prices and a reduction in some inflation risks have led the Bank to revise down its near-term inflation forecasts. Annual inflation is now projected to reach 3.9% in the June quarter and 3.3% in the September quarter. Although lower than the forecasts published in May – and lower than our own forecasts – these inflation outcomes are still considered sufficiently elevated to justify additional OCR increases.

The RBNZ also sees a more balanced global outlook than it did in May. At that time, elevated energy prices and geopolitical concerns posed material upside risks to inflation. Since then, lower oil prices and improving global conditions have reduced those risks, although uncertainty remains substantial. The RBNZ's policy rhetoric has also evolved slightly. In May, policymakers emphasised second-round inflation

...but not enough for the RBNZ's taste

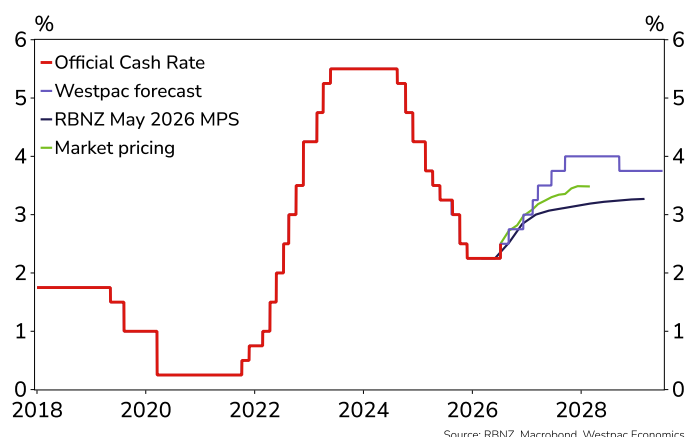
pressures, inflation expectations and wage growth as key indicators for future OCR decisions. These remain important, but the Bank is now placing greater emphasis on signs of strengthening domestic and global economic growth, as well as developments in financial conditions and the exchange rate.

Despite the improved inflation outlook, which has contributed to an easing of financial conditions, the RBNZ was concerned that leaving the OCR unchanged could have resulted in a further unintended easing of financial conditions. Policymakers noted that a hold decision may have encouraged expectations of a lower OCR path and contributed to a weaker New Zealand dollar. Such developments could have stimulated demand and added to inflationary pressures. The Bank therefore appears comfortable with market expectations for an OCR peak in the vicinity of 2.75-3.00% by the end of 2026.

Looking ahead, we continue to expect 25bp increases in the OCR at the September and December meetings, although these will now leave the OCR 25bps higher at year end (at 3.0%) than we had previously forecast. Thereafter, we continue to forecast a peak OCR of 4.0% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting.

In the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data, including the upcoming June quarter inflation report (out on 21 July). Therefore, as the RBNZ noted, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the September 2026 meeting should not be regarded as a "done deal".

RBNZ Official Cash Rate



	2025						2026					
Monthly data	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May
REINZ house sales %mth	-2.7	1.0	-2.8	-1.9	6.3	0.3	0.7	-5.3	4.2	-2.4	-1.7	-5.8
Residential building consents %mth	-5.3	5.4	6.4	7.6	-0.7	3.1	-4.2	2.5	2.8	-0.8	11.1	-4.0
Electronic card transactions %mth	0.6	0.2	0.6	-0.4	0.3	1.2	-0.1	-1.1	1.4	0.7	-1.2	1.7
Private sector credit %yr	3.2	3.5	3.8	4.2	4.6	4.4	4.6	4.6	4.7	4.9	4.7	4.8
Commodity prices %mth	-2.4	-1.8	0.7	-1.1	-0.3	-1.6	-2.1	2.0	4.2	4.2	-0.8	0.7
Trade balance \$mn	-535	-376	-105	266	-245	-332	-159	-296	-828	-328	158	-1111
Quarterly data	Q4:23	Q1:24	Q2:24	Q3:24	Q4:24	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26		
Westpac McDermott Miller Consumer Confidence	88.9	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7		
Quarterly Survey of Business Opinion	9	-27	-25	-29	-27	-22	-21	-15	-3	0		
Unemployment rate %	4.0	4.4	4.7	4.9	5.1	5.1	5.2	5.3	5.4	5.3		
CPI %yr	4.7	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1		
Real GDP %yr	2.2	1.8	1.1	0.5	-0.3	-0.9	-1.1	-0.6	0.3	0.8		
Current account balance % of GDP	-6.3	-5.7	-5.5	-5.2	-4.7	-4.2	-3.7	-3.5	-3.6	-3.6		

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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China's greatest opportunity ...

Elliot Clarke

Head of International Economics

The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

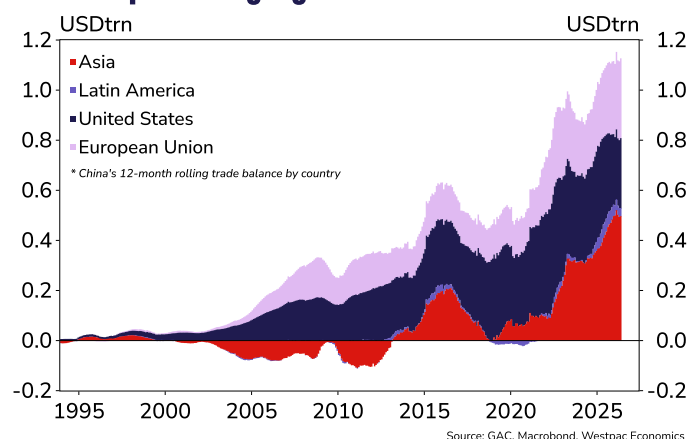
Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are probable on a recurring basis. It isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline. With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having large youthful and driven populations and Governments open to large-scale foreign investment.

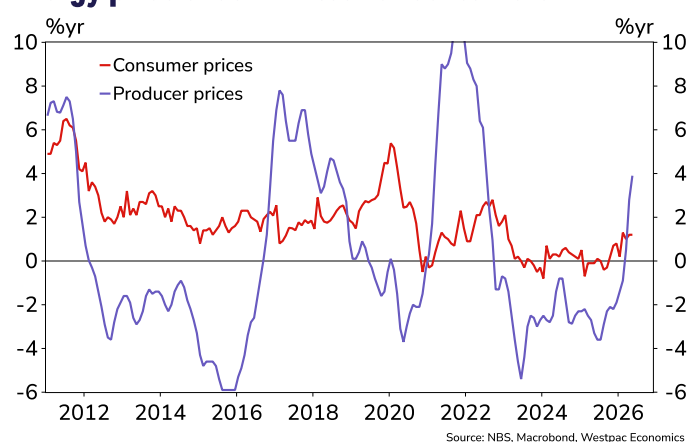
The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and industry's growth.

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary

Trade surplus riding high

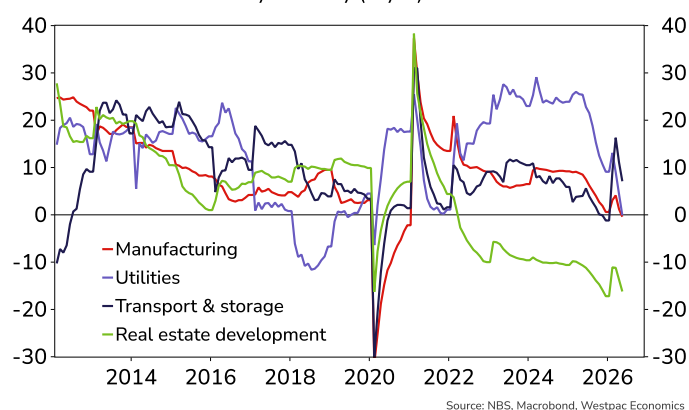


Energy price shock limited for consumers



Property remains in a terrible state

Fixed Asset Investment by Industry (%ytd)



... and biggest threat

consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI.

To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development, but we suspect this is unlikely near term.

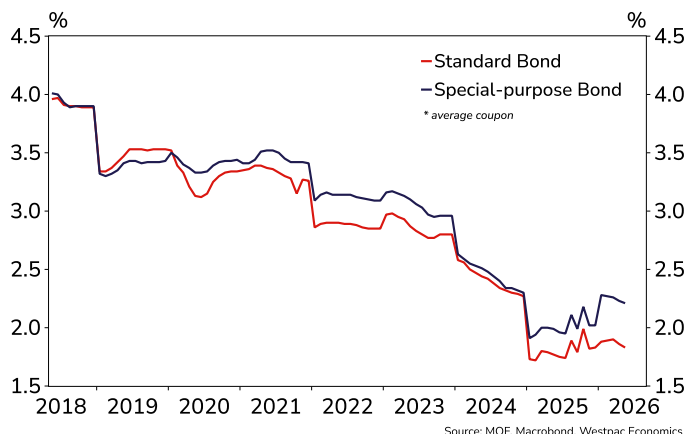
If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around CNY6.30.

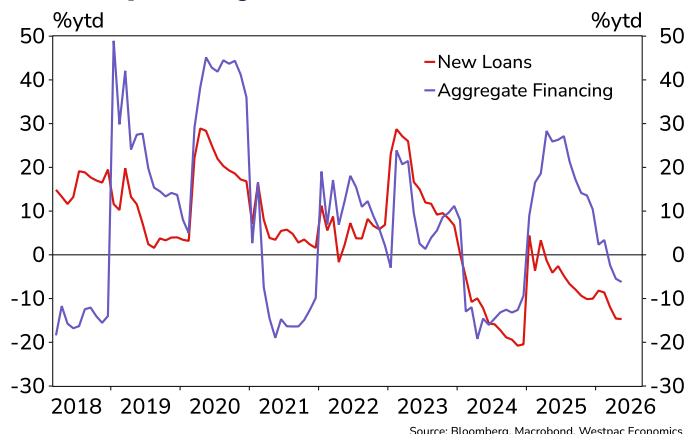
Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted.

For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

Cost of funds attractive



Credit impulse negative



	2025						2026					
Monthly data %yr	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Headline CPI %yr	0.0	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2	1.0
M2 money supply %yr	8.8	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5	8.6	8.6	-
Manufacturing PMI (official)	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3
Fixed asset investment ytd %yr	1.6	0.5	-0.5	-1.7	-2.6	-3.8	-3.8	1.8	1.7	-1.6	-4.1	-
Industrial production %yr	5.7	5.2	6.5	4.9	4.8	5.2	5.2	6.3	5.7	4.1	4.5	-
Exports %yr	7.0	4.2	8.2	-1.3	5.8	6.5	10.0	39.6	2.5	14.0	19.4	-
Imports %yr	4.2	1.6	8.0	1.7	2.5	6.3	26.3	14.1	28.3	25.2	27.4	-
Trade balance USDbn	97.4	101.1	88.8	88.1	110.0	112.4	121.2	90.2	50.2	84.7	105.4	-
Quarterly data	Dec-24		Mar-25		Jun-25		Sep-25		Dec-25		Mar-26	
Real GDP %yr	5.4		5.4		5.2		4.8		4.5		5.0	
Nominal GDP %yr	4.6		4.6		3.9		3.7		3.9		4.9	

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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US payrolls offers ...

Elliot Clarke

Head of International Economics

May's employment report jolted markets in early June, the monthly gain of 172k twice the consensus estimate and the prior two months revised up 93k. A month on, the situation reversed, with June's 57k gain half the market's estimate and the prior two months revised down by -74k. With the three-month average still above estimates of current supply, participants remain wary of further policy tightening. But a holistic take of the labour market suggests this is unlikely.

While largely ignored by the market month-to-month, the household survey paints a very different picture of current momentum and labour market slack. Whereas nonfarm payrolls have averaged 111k over the three months to June, the household survey reports an average loss of 195k jobs per month. Annual revisions and population adjustments included each January make it difficult to look further back and compare conditions over the turn of the year. But, if we assess the year to January 2026 to compensate, the household survey implies the labour market has been outright weak for an extended period, the month-average for the year to January coming in at -61k against nonfarm payrolls' +27k.

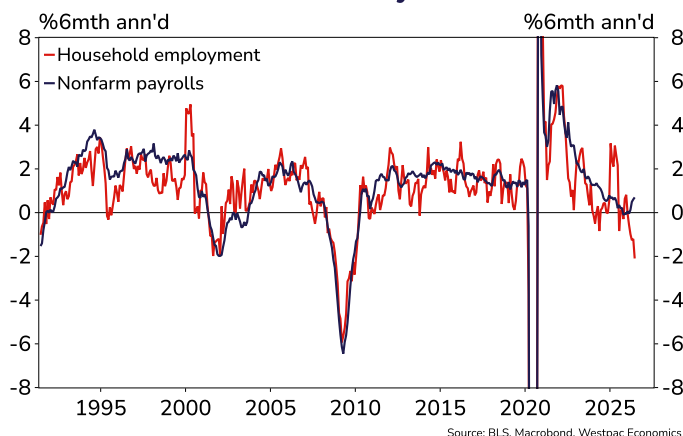
The retort to this analysis is the observation that, compared to January 2025, the unemployment rate is unchanged at 4.2%. However, the participation rate has declined 1ppt over the period. On a constant participation basis then, today the unemployment rate would be in excess of 5.0%, having mirrored the 0.9ppt decline in the employment-to-population ratio. While the trend is slow moving and skills mismatches are still present, the moderation in wage and total compensation growth which began in early-2022 is continuing, consistent with burgeoning spare capacity.

This broad view of the labour market and recognition of the cumulative effect of years of above-target inflation on discretionary incomes, points to an extended period of sub-par US household consumption growth, which the BEA and Atlanta Fed Nowcast data corroborate.

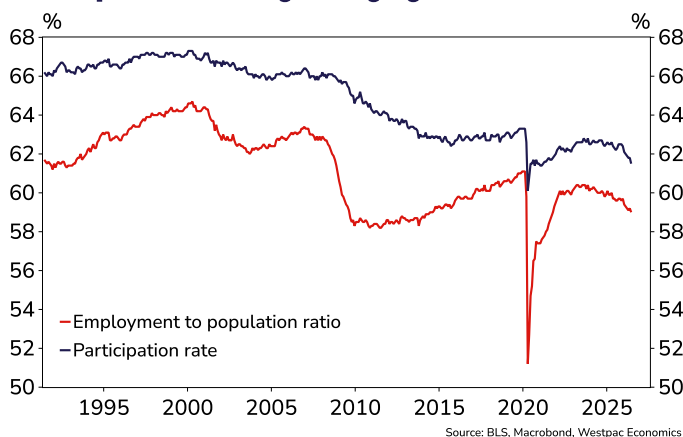
Since Q1 2025, annual growth in household consumption has slowed from an above-trend 3.4%yr to 2.3%yr. And in Q1 2026, the annualised pace was less than half the decade average at 1.4%. With data available to May, the Atlanta Fed GDPNow nowcast is pointing to a similar result in Q2. The risks skew to the downside too given University of Michigan consumer sentiment is at record lows, and with house prices flat to down across the nation.

We regard these trends as significant not because we fear an abrupt deterioration in current momentum, but because they are consistent with consumer inflation trending towards the FOMC's 2.0%yr target, removing the need to tighten further. ►

Jobs measures differ markedly

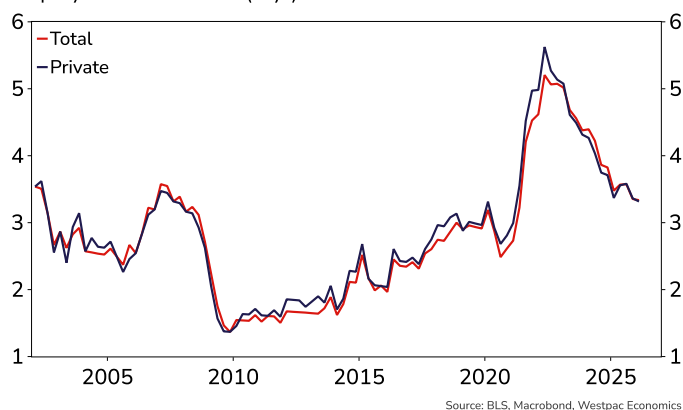


Participation masking emerging slack



Wages disinflation broadbased

Employment Cost Index (%yr)



... more noise than signal

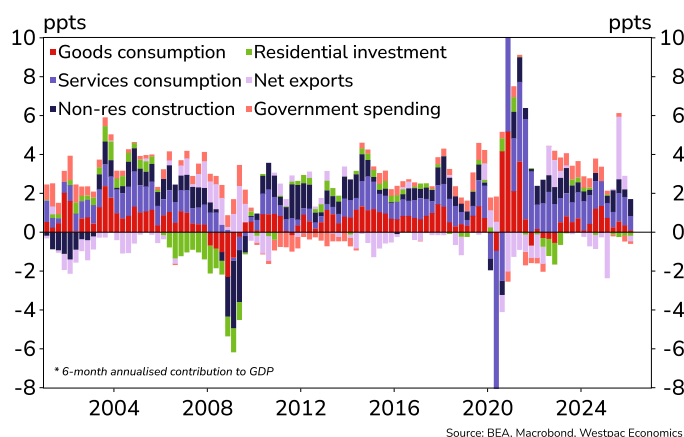
Available consumer and producer price detail is also constructive, with little-to-no evidence of secondary effects of 2026's oil price spike. Indeed, core consumer goods prices were flat March through May, as were transportation services. The impetus for core inflation over the period instead came from shelter (i.e. rents) and medical care services, both largely unrelated to contemporaneous energy price dynamics.

It is not surprising then that, at the ECB's Sintra Forum on Central Banking, FOMC Chair Warsh stated that inflation expectations and risks "have come down" in the weeks since June's FOMC meeting. At that time, by a one-vote margin, the median fed funds rate expectation of the Committee for end-2026 was a single hike. Current circumstances arguably now point to the FOMC remaining on hold through year-end and thereafter. This is a stark contrast to current market pricing, however, which points to a near 80% chance of two hikes over the coming year.

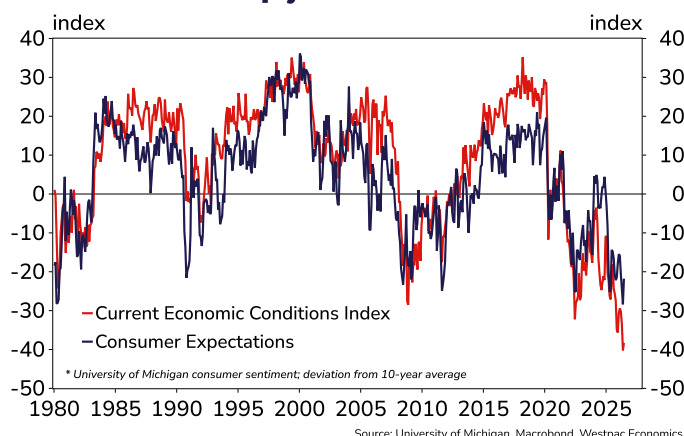
As energy pass-through remains limited and business pricing power constrained more broadly, market participants hawkish take is likely to wane. Still, participants are unlikely to fully give up on price risks being dominant, particularly if GDP growth holds around trend as we expect.

This is likely to manifest in only a slow descent for the US dollar, as discussed on [page 11](#), and an elevated level of term interest rates. On yields, we continue to see risks to the upside given the uncertainty over US fiscal and trade policy, and with clear evidence of global investors diversifying out of US debt while the US dollar remains above average. This dynamic creates two additional economic risks that are worthy of close monitoring hence: the dwindling capacity of the US Government to stabilise the economy if it is hit by a negative shock; and the long-term capacity of the US housing market, which has implications for both activity growth and long-term inflation.

Consumer demand brittle



Households are deeply concerned



	2025						2026					
Monthly data	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
PCE deflator %yr	2.6	2.7	2.8	2.7	2.8	2.9	2.9	2.9	3.5	3.8	4.1	–
Unemployment rate %	4.3	4.3	4.4	4.4	4.5	4.4	4.3	4.4	4.3	4.3	4.3	4.2
Nonfarm payrolls chg '000	64	–70	76	–140	41	–17	160	–156	214	148	129	57
House prices* %yr	1.8	1.6	1.4	1.4	1.5	1.5	1.3	0.9	0.9	1.1	–	–
Durables orders core 3mth %saar	8.4	4.0	10.9	9.8	9.8	8.9	5.5	8.5	22.0	20.6	19.9	–
ISM manufacturing composite	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3
ISM non-manufacturing composite	50.5	51.9	50.4	52.0	52.4	53.8	53.8	56.1	54.0	53.6	54.5	54.0
Personal spending 3mth %saar	5.1	7.3	6.6	5.5	4.5	4.7	3.6	4.9	7.1	8.2	8.6	–
UoM Consumer Sentiment	61.7	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5
Trade balance USDbn	–75.1	–59.6	–59.4	–37.4	–63.9	–76.1	–54.2	–55.0	–56.6	–54.6	–77.6	–
Quarterly data	Mar–25		Jun–25		Sep–25		Dec–25		Mar–26		Jun–26(f)	
Real GDP % saar	–0.6		3.8		4.4		0.5		2.1		1.7	
Current account USDbn	–438.2		–254.9		–262.9		–221.1		–226.8		–	

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20-city measure.

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Slow and steady wins ...

Illiana Jain
Economist

The debate around Japanese monetary policy has increasingly shifted from how far the Bank of Japan can raise rates to whether it can raise them at all. Weak domestic demand, softer business sentiment and a slowing global backdrop have all reinforced market expectations that the hiking cycle is nearly complete. We disagree. While growth is likely to remain subdued, persistence in inflation and signs of a gradual improvement in the economy's productive capacity should allow the BoJ to continue normalising policy. We expect the policy rate to reach 1.50% by mid-2027.

On the surface, the case for further tightening appears limited. The Q2 Tankan survey showed that the outlook for profitability, which ties into wage outcomes, has deteriorated materially and that investment expectations have followed suit.

Real household consumption also remains weak, held back by declining real wages. Export growth has meanwhile been held up by tariff front-running and surging tech demand; however, these are likely temporary, or at least diminishing, contributors to aggregate growth.

Taken together, these results suggest risks for Japanese activity growth and domestically-driven inflationary pressures are to the downside. Though, this state of affairs does not mean the Bank of Japan cannot progress normalisation further, only that they should do so at a measured pace with caution.

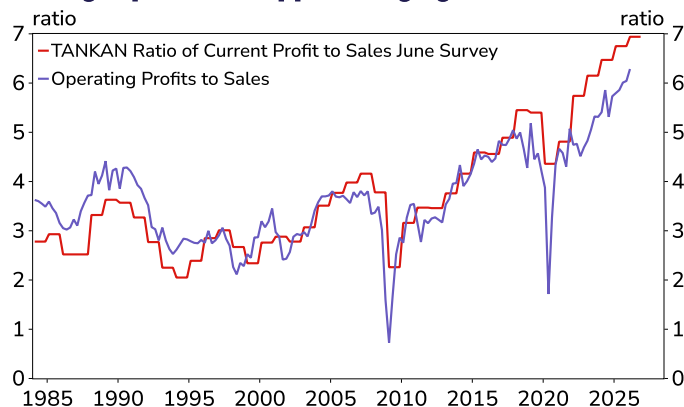
In our view, the Japanese economy remains much more capable of sustaining higher interest rates than prior to the pandemic. Rising participation, a higher level of business investment and improvements in capital allocation are all helping to lift the economy's productive capacity.

Digging deeper, while Japan cannot rely on consistent positive population growth to drive aggregate activity, the participation rate has recently lifted to 64.3%, a high back to 1992.

Structural demand for work from seniors and women have been behind this uplift, and the Bank of Japan believe the gains will prove lasting.

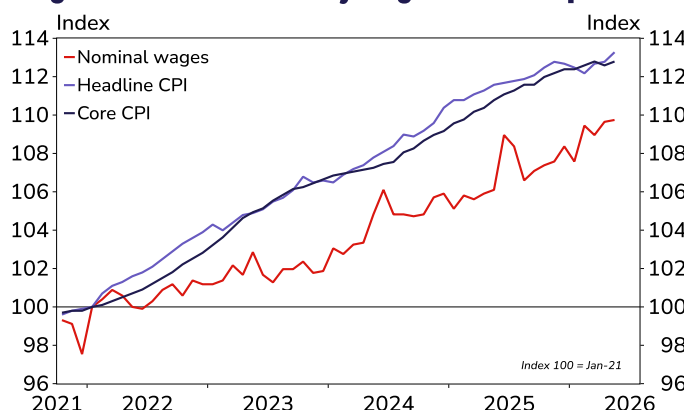
Ahead, continued investment by corporates should also aid productivity. Japan's firms are investing for two reasons: large companies are recognising the global opportunities before them; and smaller companies increasingly have little choice than to invest in new capital, with rising participation unable to fully satiate labour demand. Investment in capacity by the business community also has flow-on benefits for R&D, which is clearly in an uptrend.

Stronger profit to support wage growth



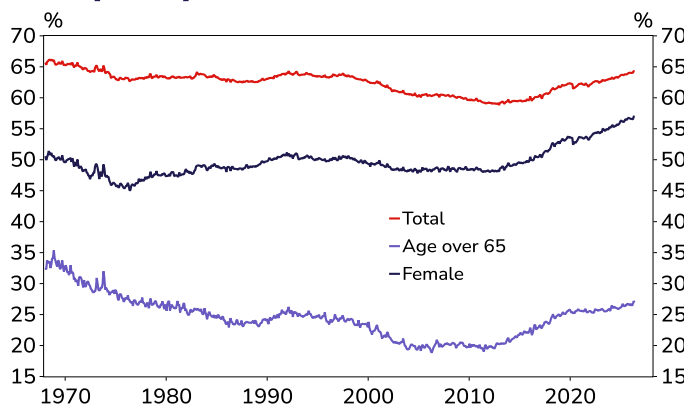
Source: BOJ, MOF, Macrobond, Westpac Economics

Wages still have some way to go to catch up



Source: MHLW, SBI, Macrobond, Westpac Economics

Lift in participation rate to sustain



Source: SBI, Macrobond, Westpac Economics

... the Japanese rate race

If investment is well timed and achieves productivity and capacity, it need not be inflationary. But it should lift nominal revenue and, in time, employee compensation, allowing the economy to withstand a higher level of interest rates, all else equal. With tight capacity, there is also a need to manage inflation risks and expectations pre-emptively as price growth is likely to respond more quickly to an economy's strengthening.

Inflation momentum currently appears considerably more entrenched than before the pandemic. The Q2 Tankan shows inflation expectations are holding above 2%. 2026 is also the fourth consecutive year in which firms expect prices to grow near the inflation target after three decades of an entrenched disinflationary/deflationary mindset. Arguably, firms will increasingly become comfortable regularly increasing prices, and consumers accustomed to the process.

The persistence of inflation is clearly evident in underlying inflation. Services inflation, arguably the clearest measure of domestically-generated inflation, has remained above 1.0% for almost four years, a marked departure from the 0.3% average recorded between 2011 and 2021.

Nominal wage growth also remains strong by Japanese standards. Combined with a structurally tight labour market, if repeated, this sequence should recursively entrench wage growth and support for near-target consumer inflation.

Even at 1.50%, our forecast peak for the benchmark rate, policy would sit near the lower end of the BoJ's estimated neutral range which stretches from 1.00% to 2.50%. This modelling should give the BoJ comfort in taking the next few steps, particularly while the global policy discourse speaks primarily to inflation risks amid robust growth outcomes.

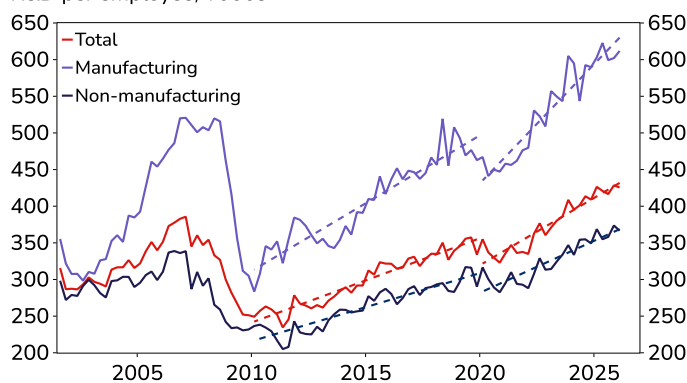
Time between each policy adjustment will allow scope to re-assess the robustness of growth and the labour market as well as inflation's persistence, limiting the chances of an adverse response to policy's recalibration.

In our view, the key question for the BoJ is no longer whether inflation can reach 2.0%yr, but how much accommodation is still required in an economy that continues to steadily move away from the conditions that characterised the lost decades.

While policymakers will remain cautious, near-target inflation expectations, sustained wage growth and improving productive capacity imply rates can move higher without becoming restrictive. Taking those steps now will also offer greater protection should conditions sour in coming years and monetary policy support become warranted.

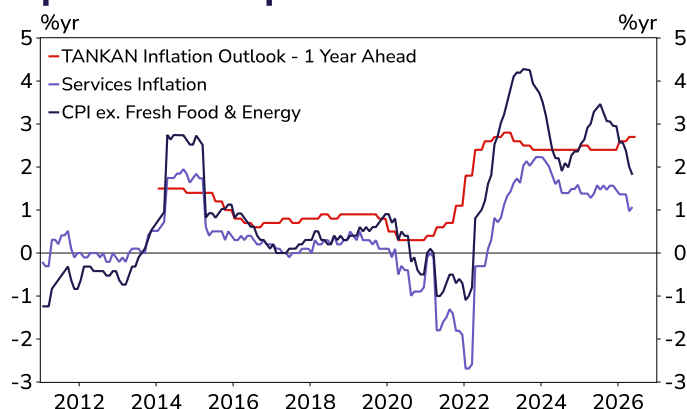
Labour saving investment is accelerating

R&D per employee, ¥000s



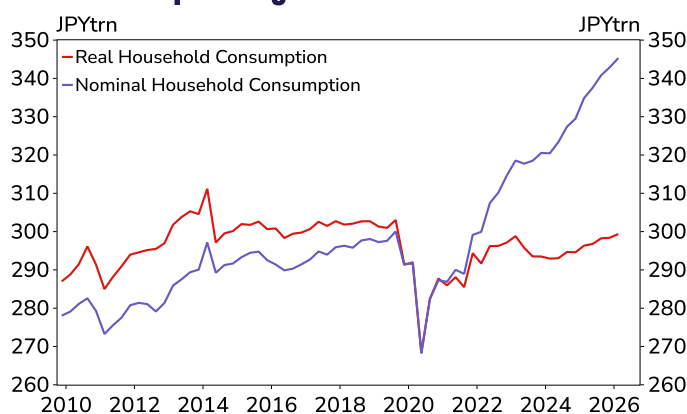
Source: MOF, Macrobond, Westpac Economics

Japan's inflation expectations anchored



Source: SBI, BOJ, Macrobond, Westpac Economics

Real consumption lags behind nominal



Source: CAO, Macrobond, Westpac Economics

UK's economic stagnation ...

Mantas Vanagas
Senior Economist

Two years after leading the Labour Party to a landslide victory in the general election, UK Prime Minister Keir Starmer resigned. The UK have now had six governments in the past ten years, the high turnover raising questions if its political institutions are still fit for purpose in addressing the country's challenges and providing effective leadership.

The Brexit referendum ten years ago exposed sharp political divisions and added a new dimension to the UK's two-party political system. Legally, Brexit was done and dusted some time ago; politically, however, the question is far from closed. Recent polls suggest that well over half of the electorate, including almost a quarter of those who voted to leave, now think the UK was wrong to leave the EU. While estimates of Brexit's economic impact vary, all reliable studies confirm that the economic costs far outweigh its benefits. Nevertheless, the country remains deeply divided, with little common ground between leavers and remainers on what is best for the country.

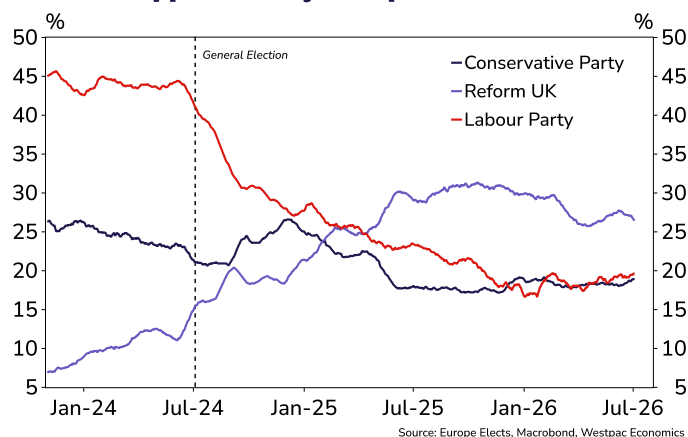
Against that backdrop, Reform UK, the right-wing populist party, has been flourishing, moving sharply into the lead in opinion polls. May's local elections were also disastrous for both Labour and the Conservatives, with Reform UK winning by a comfortable margin.

The central issue pushed by Reform UK is immigration, which is now competing with the economy as one of the electorate's major concerns. Interestingly, public perceptions on this issue do not fully align with what the immigration statistics are telling us. After the Brexit referendum, net immigration from the EU fell significantly, turning negative. Non-EU immigration surged after the pandemic, but has since plummeted as the government sharply reduced the number of work visas issued and also significantly tightened rules around immigrants bringing family members with them.

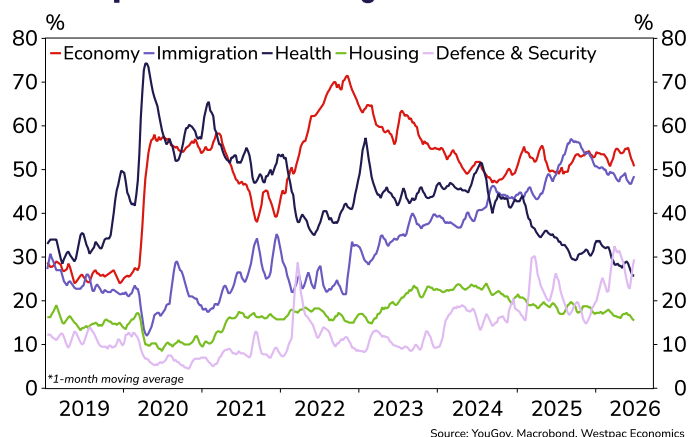
Starmer has struggled to find answers to rising political pressure and, in turn, growing disagreement within his own ranks. While political analysts point to his own missteps, the sense that the UK continues to struggle economically, with little progress in alleviating the key pressure points, was also arguably an important reason for his loss of support. The economy continues to rank among the top concerns for the British public.

This view finds support in the economic data. Real UK disposable income per capita – a measure of how much purchasing power an average person has – is no higher than it was before the pandemic and has increased by only 3% over the past ten years. Productivity growth – the major force that makes economies richer over time – has been abysmal, ▶

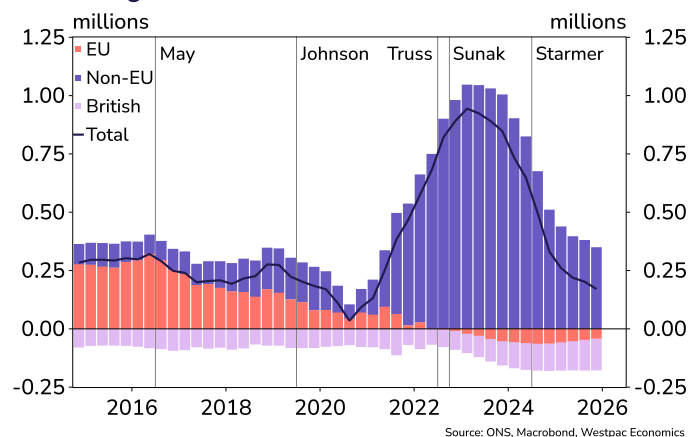
Political support of major UK parties



Most important issue facing the UK*



Net immigration



... is feeding its political divisions

explaining why the UK has failed to raise living standards. Indeed, the UK's productivity growth shifted significantly lower after the GFC in 2007, and the trend has weakened further since the start of the pandemic.

Long-term economic stagnation has also stretched the UK's public finances. When the economic pie is not growing, it becomes harder to direct resources to one area without taking them from somewhere else. While this appears to be feeding political divisions, the alternatives look even worse.

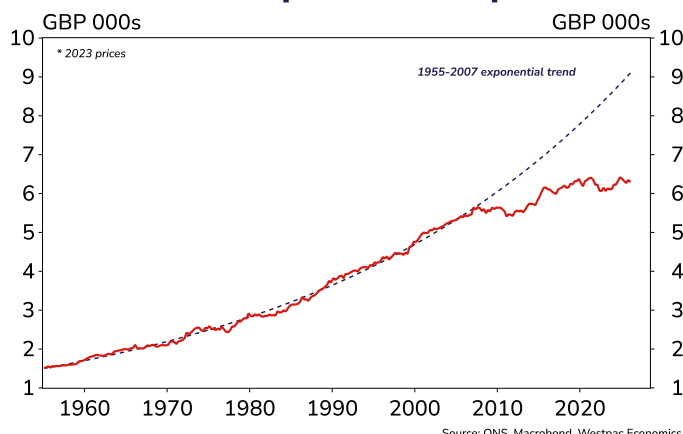
The tax burden is already on track to be the highest on record. Relying on higher borrowing to finance an increase in spending is also no longer a viable policy option for any UK government, especially since disastrous tenure of Liz Truss. Long-term gilt yields continue to underperform peers, suggesting that markets stand ready to punish any policy missteps.

With nobody from the Labour Party ranks willing to go head-to-head against Andy Burnham, currently the most popular politician in the country, he appears to be the Prime Minister in waiting. His political plans so far rely heavily on his experience as Mayor of Manchester. Full details of his economic vision for the country will probably be confirmed once he become the Prime Minister. From what he has announced so far, greater devolution of powers and the establishment of "Number 10 North" appear to be flagship policies, alongside more social housing, new priorities to rebalance the education system towards technical courses, and greater public control of essential services. Although important politically, they hardly suggest that a Burnham government will pursue as a priority the robust and broad-based economic growth the country so desperately needs.

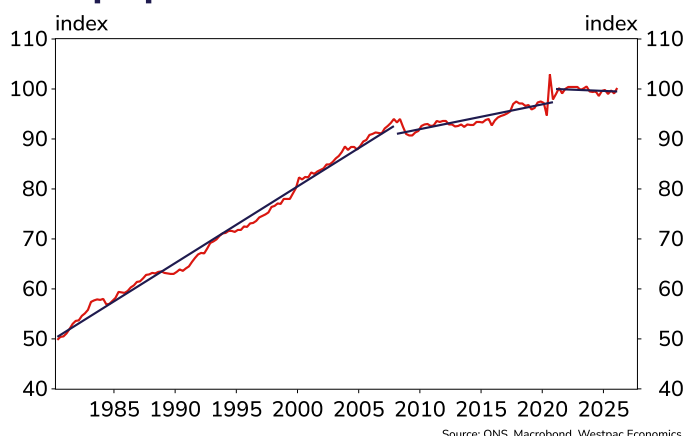
Making poorer regions in the north richer would be a sensible strategy for lifting average living standards, and, politically, it is likely to be the main focus of Burnham's left-wing government. But it will need to be weighed against the economic reality that the UK's economic power lies in financial and professional services, high-end manufacturing, creative industries, life sciences and pharmaceuticals – all of which are located in, or at least closely linked to, London and the South East of England. The UK economy is unlikely to find its fortunes without a thriving capital and surrounding regions.

Ultimately, economic growth cannot guarantee the UK's political stability, but its likely required if the next government is to have durability. A convincing lift in productivity, real incomes and fiscal capacity is desperately needed to help to heal political divisions, but this is only possible in time with political and financial stability. Without it, the next prime minister is likely to experience a similar fate as his recent predecessors.

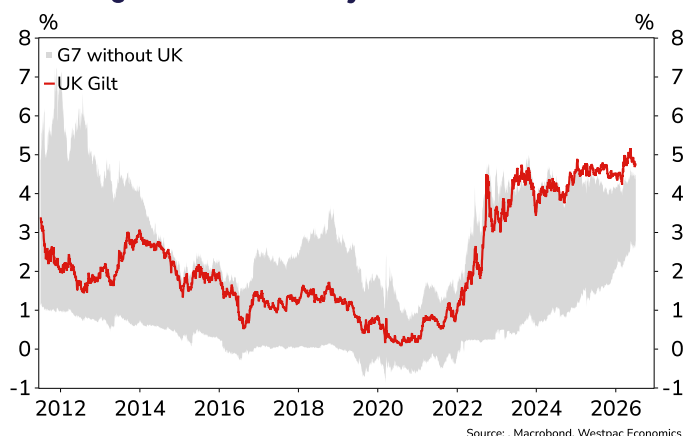
UK real household disposable income per head



UK output per hour



10-Year government bond yields



Australia

Interest rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.43	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.47	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.89	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	33	40	40	35	30	25	20	15	10	5	0

Currency forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD vs											
USD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
JPY	112.72	115	115	114	115	114	112	110	109	107	106
EUR	0.6072	0.61	0.61	0.61	0.61	0.61	0.60	0.60	0.60	0.60	0.60
NZD	1.2053	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10
CAD	0.9836	0.99	0.99	0.99	0.99	0.99	0.98	0.97	0.96	0.96	0.96
GBP	0.5176	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52
CHF	0.5600	0.57	0.57	0.56	0.56	0.55	0.55	0.54	0.54	0.54	0.54
DKK	4.5390	4.58	4.58	4.56	4.59	4.55	4.51	4.47	4.46	4.47	4.48
SEK	6.7083	6.81	6.84	6.85	6.91	6.89	6.86	6.81	6.79	6.81	6.84
NOK	6.7478	6.85	6.88	6.89	6.95	6.93	6.90	6.84	6.83	6.85	6.88
ZAR	11.33	11.5	11.5	11.5	11.6	11.6	11.6	11.6	11.7	11.7	11.7
SGD	0.8972	0.91	0.91	0.91	0.92	0.92	0.92	0.91	0.91	0.91	0.91
HKD	5.4402	5.56	5.60	5.62	5.69	5.69	5.68	5.64	5.62	5.61	5.61
PHP	42.75	43.0	43.0	42.5	42.3	41.6	40.9	39.9	39.1	39.1	39.1
THB	23.17	22.9	22.6	22.5	22.6	22.4	22.2	21.9	21.7	21.7	21.7
MYR	2.8286	2.84	2.83	2.81	2.85	2.81	2.81	2.80	2.75	2.75	2.75
CNY	4.7159	4.79	4.80	4.75	4.75	4.71	4.67	4.61	4.60	4.56	4.56
IDR	12585	12425	12172	12096	12118	11972	11899	11761	11656	11636	11636
TWD	22.35	22.2	22.0	21.7	21.7	21.3	21.0	20.6	20.4	20.4	20.4
KRW	1047	1044	1045	1037	1037	1022	1007	987	970	967	967
INR	66.18	67.5	67.7	67.7	67.9	67.2	66.4	65.3	64.4	63.7	63.0

Australia

Activity forecasts

	2026				2027				Calendar years			
%qtr / %yr end	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Household consumption	0.5	0.0	0.2	0.4	0.4	0.5	0.5	0.6	2.5	1.1	2.0	3.3
Dwelling investment	0.7	1.3	1.0	0.9	0.8	0.8	0.9	0.7	5.1	4.0	3.2	5.5
Business investment *	5.7	0.3	3.8	1.5	3.7	1.1	1.3	1.1	4.5	11.7	7.3	4.5
Private demand *	1.3	0.1	0.6	0.6	1.1	0.6	0.7	0.7	3.2	2.7	3.1	3.7
Public demand *	0.1	0.8	0.6	0.6	0.6	0.6	0.6	0.6	2.1	2.1	2.4	2.6
Domestic demand	1.0	0.3	0.6	0.6	0.9	0.6	0.7	0.6	2.9	2.5	2.9	3.4
Stock contribution	0.0	-0.1	-0.1	0.0	0.0	-0.1	0.0	0.0	0.1	-0.2	-0.1	0.1
GNE	0.9	0.2	0.5	0.6	0.9	0.6	0.6	0.7	3.0	2.3	2.8	3.4
Exports	-1.1	0.7	0.4	0.4	0.6	0.7	0.6	0.6	5.2	0.4	2.5	2.4
Imports	2.1	1.2	2.2	1.9	2.6	1.7	1.6	1.5	6.7	7.6	7.6	5.5
Net exports contribution	-0.8	-0.1	-0.4	-0.4	-0.5	-0.3	-0.3	-0.2	-0.3	-1.7	-1.3	-0.9
Real GDP %qtr / %yr avg	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	2.0	1.5	1.3	2.2
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Nominal GDP %qtr / %yr avg	0.6	0.2	1.3	0.6	0.5	0.7	1.0	0.8	4.7	4.2	2.8	4.5
%yr end	5.3	4.7	4.1	2.7	2.6	3.0	2.8	3.0	6.1	2.7	3.0	5.1
Real household disp. income	-0.2	-0.2	1.3	-2.0	0.3	0.9	1.6	-0.4	3.8	-1.1	2.5	3.3

Other macroeconomic variables

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Employment %qtr **	0.6	0.1	0.5	0.3	0.4	0.5	0.5	0.4	-	-	-	-
%yr end **	1.5	1.0	1.3	1.4	1.2	1.6	1.7	1.8	1.1	1.4	1.8	2.3
Unemployment rate % **	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	-	-	-	-
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4
Current account \$bn, qtr	-27.1	-30.9	-29.2	-35.2	-40.0	-42.8	-44.7	-44.7	-	-	-	-
% of GDP	-3.7	-4.2	-3.9	-4.7	-5.3	-5.6	-5.8	-5.8	-3.1	-4.7	-5.8	-5.4
Terms of trade %yr avg	-1.2	-0.6	-0.5	-0.6	-2.1	-3.2	-5.0	-5.7	-2.5	-0.6	-5.7	-1.2
Population %yr end	1.5	1.5	1.5	1.5	1.4	1.4	1.4	1.4	1.5	1.5	1.4	1.4

Calendar year changes are annual through-the-year percentage changes unless otherwise specified.

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

Macroeconomic variables – recent history

	2025					2026						
Monthly data	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
CPI %yr	3.0	3.2	3.6	3.8	3.4	3.8	3.8	3.7	4.6	4.2	4.0	-
Employment '000 chg	32.3	-13.2	9.8	33.8	-38.7	57.2	34.7	22.9	19.4	-40.7	40.3	-
Unemployment rate %	4.3	4.3	4.5	4.3	4.3	4.1	4.1	4.3	4.3	4.5	4.4	-
Westpac-MI Consumer Sentiment	93.1	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.2	83.0	80.6
Household spending %mth	0.4	-0.1	0.3	1.4	0.9	-0.5	0.2	0.3	1.7	-1.1	1.3	-
Dwelling approvals %mth	-5.2	-4.3	19.3	-11.0	16.3	-15.5	-14.1	44.4	-13.0	-0.2	-1.1	-
Private sector credit %mth	0.7	0.6	0.6	0.7	0.7	0.8	0.5	0.6	0.7	0.7	0.7	-
Trade in goods balance AUDbn	6.2	0.8	3.4	4.4	2.2	3.4	2.4	5.0	-1.7	1.4	-3.0	-

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

New Zealand

Interest rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.83	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.52	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.59	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US	3	5	15	25	45	45	40	35	30	25	20
10 Year Spread to Aust	-30	-35	-25	-10	15	20	20	20	20	20	20

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
NZD vs											
USD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
JPY	93.52	96	96	99	101	101	102	100	99	98	96
EUR	0.5038	0.51	0.51	0.53	0.54	0.54	0.55	0.54	0.54	0.54	0.55
AUD	0.8297	0.83	0.84	0.86	0.88	0.89	0.90	0.91	0.91	0.91	0.91
CAD	0.8161	0.83	0.83	0.85	0.87	0.88	0.88	0.88	0.87	0.87	0.87
GBP	0.4294	0.44	0.44	0.46	0.47	0.47	0.47	0.47	0.47	0.47	0.47
CNY	3.9090	3.98	4.02	4.09	4.16	4.19	4.22	4.19	4.19	4.16	4.16

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Private consumption	0.5	0.0	0.6	0.8	0.9	1.0	1.0	1.0	1.4	1.0	3.3	4.0
Government consumption	1.5	0.2	0.3	0.3	0.3	0.3	0.6	0.5	2.5	4.3	1.4	2.2
Residential investment	-3.1	3.0	3.0	1.0	1.3	1.8	2.3	2.5	-5.4	1.5	7.5	9.2
Business investment	3.7	1.0	0.8	1.5	1.6	1.4	1.1	0.9	0.5	4.5	5.3	4.0
Stocks (ppt contribution)	0.0	0.0	0.0	-0.1	0.2	0.0	0.1	-0.1	-0.1	0.5	0.1	-0.1
GNE	0.9	0.3	0.7	0.7	1.1	0.9	1.0	0.9	0.9	2.9	3.6	3.8
Exports	3.1	-0.5	-0.4	0.5	1.0	1.1	0.9	0.8	2.8	4.0	2.5	3.1
Imports	4.2	-0.4	0.2	0.7	1.3	2.3	2.1	1.4	3.3	5.2	4.8	4.9
GDP (production)	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	0.3	1.9	2.6	3.2
Employment annual %	0.4	0.7	1.1	1.2	1.7	2.2	2.5	2.5	0.2	1.2	2.5	2.4
Unemployment rate % s.a.	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
LCI, all sect incl o/t, ann %	2.0	1.9	2.2	2.4	2.4	2.4	2.4	2.4	2.0	2.4	2.4	2.3
CPI annual %	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0
Current account % of GDP	-3.6	-3.7	-3.9	-3.9	-3.8	-3.9	-3.9	-3.9	-3.6	-3.9	-3.9	-3.6
Terms of trade annual %	2.0	-0.5	1.1	0.6	3.3	2.4	2.6	3.9	3.4	0.6	3.9	2.5

Sources: Statistics NZ, Westpac Economics.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Commodity prices

Quarter average	Latest (3 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Australian commodities index#	375	401	390	377	365	359	354	351	348	347	347
Bulk commodities index#	391	400	377	352	337	337	338	340	343	345	347
iron ore finesTSI @ 62% US\$/t	100	102	97	89	84	83	83	84	85	85	86
Premium low vol met coal (US\$/t)	242	241	221	206	202	204	205	207	208	209	211
Newcastle spot thermal coal (US\$/t)	129	136	129	124	123	123	123	123	124	124	125
crude oil (US\$/bbl) Brent	73	83	85	84	77	74	69	65	62	60	59
LNG in Japan US\$mmbtu	16.1	18.6	17.9	17.7	16.5	15.0	13.0	12.4	11.6	10.8	10.5
gold (US\$/oz)	4,071	4,560	4,640	4,590	4,550	4,580	4,610	4,640	4,670	4,700	4,730
Base metals index#	256	262	259	255	251	248	245	240	237	234	233
copper (US\$/t)	13,309	13,290	12,950	12,630	12,380	12,250	12,190	12,120	12,070	12,030	12,010
aluminium (US\$/t)	3,083	3,360	3,420	3,450	3,410	3,340	3,240	3,120	3,040	2,980	2,950
nickel (US\$/t)	16,150	17,980	17,850	17,760	17,670	17,630	17,710	17,800	17,890	17,980	18,070
zinc (US\$/t)	3,529	3,470	3,400	3,350	3,280	3,200	3,110	2,930	2,810	2,720	2,680
lead (US\$/t)	1,847	1,960	1,950	1,950	1,950	1,960	1,970	1,930	1,890	1,870	1,860
Rural commodities index#	138	144	147	146	141	136	130	124	119	115	114
NZ commodities index ##	406	403	405	406	407	409	412	414	415	416	417
dairy price index ##	333	316	320	326	331	337	344	347	349	351	353
whole milk powder USD/t	3,425	3,440	3,480	3,530	3,580	3,640	3,720	3,770	3,810	3,850	3,890
skim milk powder USD/t	3,135	3,130	3,110	3,110	3,140	3,180	3,230	3,270	3,300	3,330	3,370
lamb price index ##	667	671	664	637	625	622	620	618	614	606	599
beef price index ##	394	422	417	406	398	398	397	396	395	394	393
forestry price index ##	163	163	164	164	164	165	165	166	166	167	168

	levels				% change			
Annual averages	2025	2026(f)	2027(f)	2028(f)	2025	2026(f)	2027(f)	2028(f)
Australian commodities index#	324	397	364	348	4.2	22.8	-8.4	-4.3
Bulk commodities index#	378	396	341	344	-12.6	4.7	-13.9	0.8
iron ore finesTSI @ 62% US\$/t	102	103	85	85	-6.6	0.9	-17.4	0.0
Premium low vol met coal (US\$/t)	189	233	204	209	-22.2	23.5	-12.4	2.3
Newcastle spot thermal coal (US\$/t)	106	131	123	124	-21.5	22.8	-6.0	0.8
crude oil (US\$/bbl) Brent	68	85	76	62	-14.6	24.5	-10.7	-19.1
LNG in Japan US\$mmbtu	12.3	16.9	15.5	11.3	3.2	37.5	-7.9	-27.2
gold (US\$/oz)	3,440	4,650	4,580	4,690	43.9	35.2	-1.5	2.4
Base metals index#	208	260	250	236	3.1	24.9	-3.9	-5.6
copper (US\$/t)	9,960	13,110	12,360	12,060	8.7	31.6	-5.7	-2.4
aluminium (US\$/t)	2,630	3,390	3,360	3,020	8.2	28.9	-0.9	-10.1
nickel (US\$/t)	15,220	17,850	17,690	17,940	-9.7	17.3	-0.9	1.4
zinc (US\$/t)	2,860	3,400	3,240	2,780	2.9	18.9	-4.7	-14.2
lead (US\$/t)	1,970	1,950	1,960	1,890	-5.3	-1.0	0.5	-3.6
Rural commodities index#	120	142	138	118	-4.8	18.7	-3.0	-14.6
NZ commodities index ##	390	403	408	415	9.2	3.2	1.5	1.7
dairy price index ##	348	326	335	350	9.7	-6.5	2.7	4.6
whole milk powder USD/t	3902	3561	3617	3829	13.5	-8.7	1.6	5.9
skim milk powder USD/t	2702	3160	3165	3319	0.7	16.9	0.2	4.8
lamb price index ##	587	660	626	609	27.0	12.5	-5.2	-2.7
beef price index ##	337	406	400	394	19.1	20.4	-1.5	-1.4
forestry price index ##	152	160	164	167	-4.9	5.8	2.5	1.4

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Weekly averages except for the Bulks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

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United States

Interest rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Fed Funds*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
USD vs											
DXI index	100.90	99.8	98.9	98.1	97.3	96.4	95.5	94.9	94.7	94.6	94.7
JPY	162.36	162	160	159	158	156	154	152	150	148	146
EUR	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
AUD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
CAD	1.4168	1.40	1.38	1.37	1.36	1.35	1.34	1.33	1.32	1.32	1.32
GBP	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
CHF	0.8066	0.80	0.79	0.78	0.77	0.76	0.75	0.75	0.75	0.75	0.75
ZAR	16.32	16.1	16.1	16.0	15.9	15.9	15.9	16.0	16.1	16.1	16.1
SGD	1.2923	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8364	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75	7.75
PHP	61.61	60.5	60.0	59.0	58.0	57.0	56.0	55.0	54.0	54.0	54.0
THB	33.38	32.2	31.6	31.3	31.0	30.7	30.4	30.2	30.0	30.0	30.0
MYR	4.0766	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80	3.80
CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	18128	17500	17000	16800	16600	16400	16300	16200	16100	16072	16072
TWD	32.19	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2	28.2
KRW	1507	1470	1460	1440	1420	1400	1380	1360	1340	1336	1336
INR	95.38	95.0	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Activity forecasts

	2026				2027				Calendar years			
% annualised, s/adj	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Private consumption	0.5	1.2	1.2	1.3	1.9	2.0	2.1	2.1	2.6	1.5	1.7	2.1
Dwelling investment	-7.8	-2.0	0.0	0.8	0.8	1.2	1.6	2.0	-2.2	-3.9	0.8	2.0
Business investment	10.6	8.1	6.5	5.6	5.3	4.8	4.7	4.7	4.1	6.6	5.5	4.7
Public demand	4.4	1.2	0.4	0.4	0.4	0.4	0.4	0.4	1.1	0.6	0.5	0.4
Domestic final demand	2.3	2.1	1.8	1.8	2.2	2.2	2.2	2.2	2.4	2.0	2.1	2.2
Inventories contribution ppt	-0.8	0.0	0.1	0.1	0.1	0.1	0.0	0.0	-0.1	0.1	0.0	0.1
Net exports contribution ppt	1.6	0.1	-0.5	-0.5	-0.5	-0.5	-0.4	-0.4	0.4	-0.5	-0.5	-0.5
GDP	2.1	1.7	1.6	1.5	1.9	1.9	1.8	1.8	2.1	2.0	1.8	1.9
%yr annual chg	2.6	2.3	1.6	1.8	1.9	1.6	1.8	1.8	-	-	-	-

Other macroeconomic variables

Non-farm payrolls mth avg	43	115	100	100	105	105	110	110	26	98	108	120
Unemployment rate %	4.3	4.3	4.4	4.4	4.5	4.5	4.5	4.5	4.3	4.4	4.5	4.5
CPI headline %yr	2.7	4.0	3.5	3.2	2.9	2.3	2.3	2.2	2.7	3.4	2.4	2.2
PCE deflator, core %yr	3.1	3.3	3.1	3.0	2.7	2.4	2.3	2.2	2.8	3.1	2.4	2.2

Sources: Official agencies, Factset, Westpac Economics.

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Europe & the United Kingdom

Interest rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Euro Area											
ECB Deposit Rate	2.25	2.50	2.50	2.50	2.50	2.25	2.00	2.00	2.00	2.00	2.00
10 Year Bund	3.08	3.00	3.00	3.00	2.95	2.95	2.95	2.95	2.95	2.95	2.95
10 Year Spread to US	-147	-150	-150	-155	-160	-165	-170	-175	-180	-185	-190
United Kingdom											
BoE Bank Rate	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50	3.50
10 Year Gilt	4.90	4.85	4.85	4.85	4.80	4.80	4.80	4.80	4.80	4.80	4.80
10 Year Spread to US	35	35	35	30	25	20	15	10	5	0	-5

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
euro vs											
USD	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
JPY	185.64	188	187	188	188	187	186	185	182	179	177
GBP	0.8524	0.86	0.87	0.87	0.87	0.87	0.87	0.87	0.86	0.86	0.86
CHF	0.9222	0.92	0.92	0.92	0.92	0.91	0.91	0.91	0.91	0.91	0.91
DKK	7.4752	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48
SEK	11.05	11.1	11.2	11.2	11.3	11.3	11.4	11.4	11.4	11.4	11.4
NOK	11.11	11.2	11.2	11.3	11.3	11.4	11.4	11.5	11.5	11.5	11.5
sterling vs											
USD	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
JPY	217.78	218	216	216	216	215	214	213	211	208	204
CHF	1.0819	1.07	1.07	1.06	1.05	1.05	1.04	1.04	1.05	1.05	1.05
AUD	0.5176	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Euro area GDP	3.7	0.6	0.9	1.5	0.3	1.1	1.5
<i>private consumption</i>	5.3	0.6	1.3	1.5	0.9	1.0	1.4
<i>fixed investment</i>	2.2	2.8	-2.6	3.1	0.6	1.3	2.1
<i>government consumption</i>	1.3	1.5	2.3	1.4	2.3	2.1	2.0
<i>net exports contribution ppt</i>	-0.1	0.3	0.3	-0.5	-0.6	-0.1	-0.3
Germany GDP	1.9	-0.7	-0.5	0.3	0.7	1.1	1.7
France GDP	2.8	1.9	1.4	0.9	0.5	0.8	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.7	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.2	1.9	2.1
Netherlands GDP	5.0	-0.6	1.1	1.6	1.1	1.2	1.6
United Kingdom GDP	5.1	0.3	1.0	1.3	1.0	1.1	1.5

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Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	-0.3	0.1	0.1	1.2	1.3	1.6
Producer prices %yr	10.3	-0.7	-2.7	-2.3	-2.6	2.0	1.2	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.5	5.0	4.8
Retail sales	12.5	-0.2	7.2	3.5	3.7	2.3	4.2	4.4
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.4
Fixed asset investment	4.9	5.1	3.0	3.2	-1.4	1.5	4.0	4.5
Exports %yr	20.9	-9.9	-2.3	10.7	5.2	8.0	4.0	3.5
Imports %yr	19.5	-7.5	0.2	0.9	-0.1	9.0	3.0	2.5

Source: Macrobond, Bloomberg. Year-to-date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1-year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Policy Rate	1.00	1.00	1.25	1.25	1.50	1.50	1.50	1.50	1.50	1.50	1.50
10 Year Bond Yield	2.88	2.85	2.90	2.95	2.70	2.60	2.50	2.45	2.40	2.35	2.30

Currency forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
JPY	162.36	162	160	159	158	156	154	152	150	148	146
SGD	1.2923	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8364	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75	7.75
PHP	61.61	60.5	60.0	59.0	58.0	57.0	56.00	55.00	54.00	53.95	53.95
THB	33.38	32.2	31.6	31.3	31.0	30.7	30.4	30.2	30.0	30.0	30.0
MYR	4.0766	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80	3.80
CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	18128	17500	17000	16800	16600	16400	16300	16200	16100	16072	16072
TWD	32.19	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2	28.2
KRW	1507	1470	1460	1440	1420	1400	1380	1360	1340	1336	1336
INR	95.38	95.0	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Source: Bloomberg, Westpac Economics.

Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
World	6.7	3.8	3.3	3.4	3.4	3.2	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.0	1.8	1.9
Japan	3.6	1.3	0.7	-0.2	1.1	0.6	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.5	0.2	1.1	1.5
Group of 3	5.9	2.8	1.8	1.7	1.8	1.2	1.4	1.6
United Kingdom	8.5	5.1	0.3	1.0	1.4	1.1	1.1	1.5
Canada	6.0	4.7	2.0	2.0	1.9	0.9	1.6	1.8
Australia	5.4	4.2	2.1	1.0	2.0	1.5	1.3	2.2
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.9	2.6	3.2
OECD total	6.2	3.2	1.9	1.8	1.7	1.5	1.5	1.7
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	2.6	2.3	2.2
Taiwan	6.7	2.7	1.1	5.3	8.8	9.2	5.0	4.0
Hong Kong	6.5	-3.7	3.2	2.6	3.6	3.5	2.7	2.5
Singapore	10.1	4.0	1.5	5.3	5.0	3.5	2.7	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.0	5.1	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	1.8	2.0	2.4
Malaysia	3.3	9.0	3.5	5.1	5.2	4.4	4.5	4.5
Philippines	5.7	7.6	5.5	5.7	4.4	4.0	4.8	5.5
Vietnam	2.6	8.5	5.1	7.0	8.0	7.4	7.0	7.0
East Asia	7.1	3.6	4.7	4.8	4.9	4.7	4.5	4.3
East Asia ex China	4.4	4.6	3.4	4.5	4.7	4.8	4.2	4.2
NIEs*	6.1	2.3	1.6	3.4	4.1	4.8	3.2	2.8
India	9.7	7.6	7.2	7.1	7.6	6.7	6.7	6.6
Russia	5.9	-1.4	4.1	4.9	1.0	0.9	1.1	1.3
Brazil	4.8	3.0	3.2	3.4	2.3	1.8	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	-1.9	-1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex-East Asia	6.8	3.7	3.7	4.7	4.4	4.1	4.3	4.3
Other countries	6.7	5.2	4.9	2.0	2.3	2.8	3.0	3.1
World	6.7	3.8	3.3	3.4	3.4	3.2	3.3	3.3

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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First Impressions: RBNZ Monetary Policy Review July 2026

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By [Kelly Eckhold](#) & [Westpac New Zealand Economics](#)

12:26 July 08 2026

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The RBNZ unexpectedly raised the OCR to 2.5%. We review some key quotes side by side relative to the May meeting below and provide an initial take on the implications.



The RBNZ has unexpectedly increased the OCR to 2.5%. The decision was reached by consensus. It seems that the balance of the Committee remains similar: Gai, Gourley and Hansen remain hawks while Conway, Breman and Silk remain Doves. There is perhaps a modest shift in the bias of the group

regarding the balance of risks for inflation as one hawk (Hansen) sees a balanced inflation outlook now.

The MPC are pointing toward follow on tightening and we still expect an OCR rise at the September Monetary Policy Statement. The MPC seemed concerned that not raising the OCR today would prompt further easing in financial conditions and hence it seems the RBNZ continues to see an end-of-year OCR of 2.75-3% as being reasonable.

A comparison of the RBNZ's updated policy assessment compared to their previous statement is shown in the table below. If the table does not display properly, please click the red 'Read more' button for the desktop version.

We will provide more detail after the press conference.

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RBNZ comparison table July 2026 vs May 2026

Category	May 2026 quotes	July 2026 quotes
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Committee expects that the OCR will increase. The timing of the increase will depend on the future course of economic activity. The Committee expects that the OCR will increase in the medium term. Increasing the OCR is part of the Committee's financial policy.
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement.	With inflation expectations anchored, the Committee expects that the OCR will increase in the medium term.

	With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	The Cor start rec ensure t medium
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Cor the OCF
		Howeve uncertai of the ne Prasanr shocks i interest and rais global s
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending.	New Ze before tl in the Ju econom Growth quarter improve
	Consumer confidence has fallen sharply, and the housing market remains weak.	
	Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict.	The Cor activity :
	These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	Domest the Sep
The global economic outlook	The global economic backdrop remains uncertain.	Global c tariffs ar because spendin
	On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation.	The Cor had rem 2026, de Consen
	The Middle East conflict poses downside risks to global economic activity.	global ir 2027.

The labour market	The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Unemployment remains elevated, indicative of spare capacity in the labour market. Wage pressures could also arise from labour shortages in some sectors and regions.	Over the percent purchas recovery Member househo domesti Inflation help to € growth &
The short-term inflation outlook	The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. First round direct and indirect effects from higher petrochemical prices will increase inflation this year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.	The fore given th significa Stateme Despite Middle E annual c remain & 3 perce Annual I peaked before c 2026 qu
The medium-term inflation outlook	Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term. The outlook for medium-term inflation pressures is also uncertain. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.	Althoug of the sh outlook uncertai Spare c firms' at busines Howeve demand rate cou pressur

The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Committee judges that the upside for inflation is more pronounced than the downside for growth. In the domestic economy, spare capacity is more limited than assumed in the central projection, while firms' ability to pass on higher costs is more constrained than assumed. The Committee judges that the downside for inflation is more pronounced than the upside for growth. The Committee judges that the downside for inflation is more pronounced than the upside for growth.
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanna Gai, Hayley Gourley and Carl Hansen argued that the OCR should be increased to 2.5 percent at this meeting. Prasanna Gai, Hayley Gourley and Carl Hansen argued that the OCR should be increased to 2.5 percent at this meeting. Prasanna Gai, Hayley Gourley and Carl Hansen argued that the OCR should be increased to 2.5 percent at this meeting.
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated.	Anna Breman, Karen Silk and Paul Conway argued that the OCR should be held at 2.25 percent at this meeting. Anna Breman, Karen Silk and Paul Conway argued that the OCR should be held at 2.25 percent at this meeting. Anna Breman, Karen Silk and Paul Conway argued that the OCR should be held at 2.25 percent at this meeting.

Spare capacity in the economy is likely to dampen second-round inflationary pressure.

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WESTPAC COMMODITY FORECASTS

This information is current as at 13 July 2026

Quarter average forecasts	Latest*	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28
Iron ore finesTSI @ 62% US\$/t	100	102	97	89	84	83	83	84
Iron ore fines contracts (Usc dltu)	154	160	150	140	130	130	130	130
Premium low vol met coal (US\$/t)	238	241	221	206	202	204	205	207
Newcastle spot thermal coal (US\$/t)	129	136	129	124	123	123	123	123
Crude oil (USD/bbl) WTI	72	81	83	82	75	72	67	63
Crude oil (USD/bbl) Brent	76	83	85	84	77	74	69	65
LNG in Japan US\$mmbtu	16.4	18.6	17.9	17.7	16.5	15.0	13.0	12.4
Gold (USD/oz)	4,116	4,560	4,640	4,590	4,550	4,580	4,610	4,640
Aluminium (US\$/t)	3,145	3,360	3,420	3,450	3,410	3,340	3,240	3,120
Copper (US\$/t)	13,328	13,290	12,950	12,630	12,380	12,250	12,190	12,120
Nickel (US\$/t)	16,294	17,980	17,850	17,760	17,670	17,630	17,710	17,800
Zinc (US\$/t)	3,596	3,470	3,400	3,350	3,280	3,200	3,110	2,930
Lead (US\$/t)	1,848	1,960	1,950	1,950	1,950	1,960	1,970	1,930
AUD/USD	0.69	0.72	0.73	0.73	0.74	0.74	0.74	0.73

Quarter average forecasts	Jun-28	Sep-28	Dec-28	Mar-29	Jun-29	Sep-29	Dec-29	Mar-30	Jun-30
Iron ore finesTSI @ 62% US\$/t	85	85	86	86	87	87	88	89	89
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	130	140	140	140
Premium low vol met coal (US\$/t)	208	209	211	212	214	215	217	218	220
Newcastle spot thermal coal (US\$/t)	124	124	125	125	126	126	127	127	128
Crude oil (USD/bbl) WTI	60	58	57	58	58	58	59	59	60
Crude oil (USD/bbl) Brent	62	60	59	59	60	60	61	61	61
LNG in Japan US\$mmbtu	11.6	10.8	10.5	10.4	10.5	10.6	10.7	10.8	10.9
Gold (USD/oz)	4,670	4,700	4,730	4,760	4,800	4,830	4,860	4,890	4,930
Aluminium (US\$/t)	3,040	2,980	2,950	2,980	3,020	3,060	3,100	3,130	3,170
Copper (US\$/t)	12,070	12,030	12,010	12,170	12,540	13,000	13,360	13,630	13,900
Nickel (US\$/t)	17,890	17,980	18,070	18,190	18,310	18,430	18,550	18,670	18,790
Zinc (US\$/t)	2,810	2,720	2,680	2,690	2,700	2,710	2,720	2,740	2,750
Lead (US\$/t)	1,890	1,870	1,860	1,860	1,860	1,860	1,870	1,870	1,870
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Quarter end forecasts	Latest*	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28
Iron ore finesTSI @ 62% US\$/t	100	100	95	87	83	83	84	84
Iron ore fines contracts (Usc dltu)	154	150	150	130	130	130	130	130
Premium low vol met coal (US\$/t)	238	234	216	203	202	204	206	207
Newcastle spot thermal coal (US\$/t)	129	134	127	123	123	123	123	123
Crude oil (USD/bbl) WTI	72	82	83	81	73	72	65	62
Crude oil (USD/bbl) Brent	76	84	85	83	75	74	67	64
LNG in Japan US\$mmbtu	16.4	18.4	17.8	17.7	16.0	14.5	12.6	12.4
Gold (USD/oz)	4,116	4,590	4,620	4,580	4,560	4,590	4,620	4,650
Aluminium (US\$/t)	3,145	3,380	3,430	3,440	3,390	3,310	3,200	3,080
Copper (US\$/t)	13,328	13,180	12,840	12,530	12,310	12,230	12,170	12,090
Nickel (US\$/t)	16,294	17,940	17,820	17,730	17,640	17,630	17,740	17,830
Zinc (US\$/t)	3,596	3,450	3,380	3,340	3,240	3,190	3,060	2,860
Lead (US\$/t)	1,848	1,960	1,950	1,950	1,950	1,970	1,960	1,910
AUD/USD	0.69	0.72	0.73	0.74	0.74	0.74	0.74	0.73

Quarter end forecasts	Jun-28	Sep-28	Dec-28	Mar-29	Jun-29	Sep-29	Dec-29	Mar-30	Jun-30
Iron ore finesTSI @ 62% US\$/t	85	85	86	86	87	88	88	89	89
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	130	140	140	140
Premium low vol met coal (US\$/t)	208	210	211	213	214	216	217	219	220
Newcastle spot thermal coal (US\$/t)	124	124	125	125	126	126	127	128	128
Crude oil (USD/bbl) WTI	59	58	57	58	58	59	59	59	60
Crude oil (USD/bbl) Brent	61	60	59	60	60	60	61	61	62
LNG in Japan US\$mmbtu	11.3	10.7	10.5	10.4	10.5	10.6	10.7	10.8	10.9
Gold (USD/oz)	4,680	4,710	4,740	4,770	4,810	4,840	4,870	4,900	4,950
Aluminium (US\$/t)	3,020	2,970	2,950	3,000	3,030	3,080	3,110	3,140	3,190
Copper (US\$/t)	12,070	12,020	12,100	12,190	12,740	13,110	13,490	13,680	13,990
Nickel (US\$/t)	17,920	18,010	18,100	18,240	18,340	18,480	18,580	18,720	18,820
Zinc (US\$/t)	2,770	2,810	2,630	2,690	2,710	2,710	2,730	2,740	2,760
Lead (US\$/t)	1,880	1,870	1,860	1,860	1,860	1,860	1,870	1,870	1,870
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

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ECONOMIC BULLETIN

RBNZ July 2026 Monetary Policy Review.

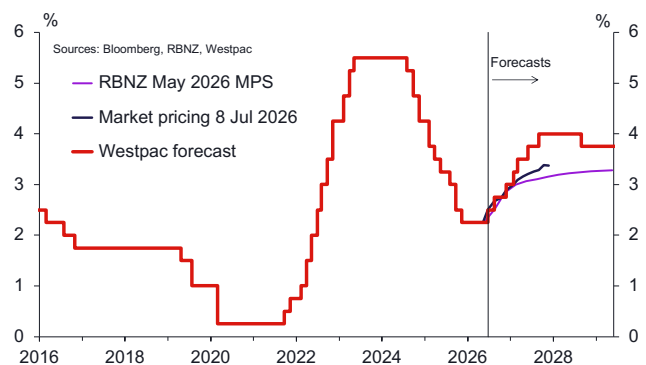


8 Jul 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Dovish hike?

- The RBNZ raised the OCR by 25bps to 2.5%. The decision was reached by consensus.
- The balance of the Committee seems unchanged: Gai, Gourley and Hansen remain hawkish while Breman, Conway and Silk remain more dovish.
- A key argument for the hike is a concern that financial conditions would have eased further if the OCR was left unchanged.
- The MPC seems to be comfortable with an end 2026 level of the OCR in the 2.75%-3% range – not very different from that shown in the May forecasts.
- Westpac expects follow-up 25 bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. Hence the peak OCR of 4% is reached in September, instead of December 2027.

Official Cash Rate forecasts



OCR raised by 25bps to 2.50%.

Today the RBNZ raised the OCR by 25bps to 2.50%, in contrast to our expectations for an 'on hold' decision. The decision was reached by consensus and hence no vote was required.

A comparison of key quotes from the July MPR statement and Record of Meeting with that from the May MPS meeting is provided at the end of this document.

The RBNZ has recognised the fall in oil prices and inflation risks that has been seen since May. Their forecasts for inflation have been revised down such that annual inflation is expected to be 3.9% in Q2 and 3.3% in Q3. These forecasts are a bit lower than our own (3.7% for Q3 in our case) but still demand OCR increases in 2026 by the MPC's thinking.

The RBNZ recognizes that the risks around the global growth outlook are better balanced relative to those seen back in May when energy prices were much higher.

A key argument cited as supporting the case for an OCR hike today was the risk that an unchanged OCR might have prompted a further easing in financial conditions.

This could have occurred through some combination of expectations of a lower end 2026 OCR and a weaker exchange rate. This suggests the RBNZ remain comfortable with the end 2026 OCR in the 2.75-3% range given where market pricing has sat in the last week or so.

The RBNZ indicates some further tightening is likely over coming meetings but notes the timing of these interest rate increases remains uncertain. The strategy seems to be to bring the OCR back to the neutral zone. For now, an OCR in the low 3% area seems to be viewed as consistent with that objective. However, there is uncertainty around where the neutral OCR is. Prasanna Gai noted a risk the neutral rate is rising in this less certain geopolitical environment. Paul Conway noted in the press conference that short-term estimates of the neutral OCR are being boosted by the higher short term inflation profile and the resultant impact on short term inflation expectations.

The balance of the MPC appears unchanged: the hawks remain Gai, Gourley and Hansen while the more dovish group includes Breman, Silk and Conway. Gai and Gourley see upside risks to the inflation outlook while the rest see the inflation risks as better balanced.

The RBNZ's rhetoric on the key factors driving future OCR increases has shifted a little. In May the Governor emphasized the importance of indicators of second round pricing pressures, rising inflation expectations and wage pressures. No evidence has accumulated since May on these risks. Nevertheless, these factors are still seen as important, but now signs of strengthening domestic and global growth are being added to the list of relevant factors. Trends in financial conditions seem also to be on the list of relevant factors. The potential inflationary impact of the exchange rate is playing a role here.

The RBNZ also decided to bring forward slightly the time at which the LSAP portfolio will be fully extinguished to June 2027. This does not have any monetary policy implications and is portrayed as being largely technical in nature.

Westpac outlook – 4% peak in the OCR reached a little earlier in 2027.

Looking ahead, we continue to expect the 25bp increases in the OCR that we forecast prior to today's meeting – at the September and December meetings – although these will now leave the OCR 25bps higher at year end (at 3.0%) than we had forecast previously. Thereafter, we continue to forecast a peak OCR of 4.0% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting. In the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve (we summarise the near-term economic diary below). Therefore, as the RBNZ noted itself today, the exact timing of the tightening profile is highly uncertain and even the tightening we

forecast at the September 2026 meeting should not be regarded as a “done deal”.

Things to watch ahead of the 2 September meeting.

The RBNZ's next policy review is on 2 September, when it will also publish a full Monetary Policy Statement (MPS) and refreshed economic forecasts. How the RBNZ's policy stance evolves between now and then will depend on the path the Middle East conflict takes and what indicators and anecdotes continue to suggest about the impact of the conflict on New Zealand's economic recovery and inflation.

In contrast to the period ahead of today's meeting, there are many important domestic economic indicators scheduled for release ahead of the 2 September meeting. We think the following are the key ones to watch.

- **Q2 CPI** (21 July) and **July Selected Prices** (17 August): These pricing indicators will reveal whether the earlier surge in fuel prices has generated upward pressure across a broader range of goods and services.
- **Q3 RBNZ surveys** (13 August, 14 August, 21 August): Inflation expectations measures from the RBNZ's surveys of professional forecasters, households and businesses will be analysed closely to see whether there has been a reversal of the energy-induced increase in inflation expectations observed in Q2.
- **Q2 QSBO** (14 July) and **July/August ANZ Business Outlook** (30 July/31 August): The data-rich QSBO survey was likely in the field before Middle East tensions eased so it will be interesting to see where the NZIER provide a breakdown of early and late responses. The ANZ surveys may provide a timelier account of how businesses are responding to the easing of the conflict and the resulting decline in oil prices.
- **July/August PMI and PSI surveys** (mid-July/mid-August): These may provide some early insight as to whether GDP growth has resumed in Q3.
- **Q2 labour market surveys** (5 August): Employment and hours worked data from the HLFS and QES surveys will cast light on the performance of the economy in Q2, while the LCI will cast light on underlying inflation pressures.

In addition to the above, we will monitor a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities.

RBNZ comparison table July 2026 vs May 2026

Category	May 2026 quotes	July 2026 quotes
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Committee agreed that while further OCR increases appear likely at upcoming meetings, their timing is highly uncertain. Future OCR decisions will depend on the Committee's judgement about how price-setting behaviour and excess productive capacity affect medium-term inflation pressures. Increasing the OCR at this meeting is intended, in part, to avoid an unwarranted further easing in financial conditions.
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement. With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	With inflation still above target and economic activity expected to strengthen, some further reduction in monetary stimulus is likely to be required to return inflation to the 2 percent target mid-point. The Committee agreed that it was appropriate to start reducing the degree of monetary stimulus to ensure that inflation returns to target over the medium term.
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Committee assessed that the current level of the OCR remains accommodative. However, members noted that there is some uncertainty around where to judge the current level of the neutral interest rate. Prasanna Gai noted that recent geoeconomic shocks may have increased New Zealand's neutral interest rate by reducing global productive capacity and raising investment demand relative to available global savings.
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending. Consumer confidence has fallen sharply, and the housing market remains weak. Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict. These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	New Zealand's economic recovery was underway before the Middle East conflict, but lost momentum in the June quarter as the oil shock weighed on economic activity. Growth is expected to resume in the September quarter as these effects fade and confidence improves. The Committee noted that domestic economic activity slowed in the June 2026 quarter. Domestic economic growth is projected to resume in the September 2026 quarter.
The global economic outlook	The global economic backdrop remains uncertain. On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation. The Middle East conflict poses downside risks to global economic activity.	Global growth has been resilient to the effects of tariffs and conflict in the Middle East, largely because of strong AI-related investment and spending on defence and economic security. The Committee noted that global economic activity had remained robust through 2025 and into early 2026, despite significant headwinds. Consensus forecasts imply that trade-weighted global inflation will moderate close to 2 percent in 2027.
The labour market	The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Unemployment remains elevated, indicative of spare capacity in the labour market. Wage pressures could also arise from labour shortages in some sectors and regions.	Over the medium term, inflation returning to the 2 percent target mid-point will lift household purchasing power and help support a sustained recovery in growth and employment. Members noted that high inflation erodes households' purchasing power and dampens domestic demand. Inflation declining towards the target mid-point will help to ensure a sustainable recovery in economic growth and a stronger labour market.

Category	May 2026 quotes	July 2026 quotes
The short-term inflation outlook	The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. First round direct and indirect effects from higher petrochemical prices will increase inflation this year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.	The forecast for near-term inflation has declined, given that current oil futures pricing is now significantly lower than assumed in the May Statement. Despite progress towards conflict resolution in the Middle East and the recent fall in energy prices, annual consumers price inflation is expected to remain above the Monetary Policy Committee's 1 to 3 percent target range in coming quarters. Annual headline inflation is expected to have peaked at 3.9 percent in the June 2026 quarter, before declining to 3.3 percent in the September 2026 quarter.
The medium-term inflation outlook	Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term. The outlook for medium-term inflation pressures is also uncertain. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.	Although energy prices have decreased, the effects of the shock will linger for some time and the outlook for medium-term inflation pressures remains uncertain. Spare capacity in the economy is expected to limit firms' ability to pass on higher costs, meaning many businesses may need to absorb them in margins. However, some firms may look to rebuild margins as demand recovers. If sustained, a lower exchange rate could also add to medium-term inflation pressures.
The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Committee judged that there are both risks to the upside and the downside. In the discussion, Prasanna Gai and Hayley Gourley assessed that risks were skewed to the upside, while Anna Breman, Paul Conway, Carl Hansen and Karen Silk viewed risks as broadly balanced. The Committee agreed that all these upside and downside risks are relevant for the medium-term inflation outlook and will be important for the monetary policy stance going forward.
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanna Gai noted that, despite the recent decline in energy prices, some indirect effects from earlier increases in energy-related input costs may also still flow through to consumer prices. Prasanna Gai also highlighted the risk that the Middle East shock could coordinate price-setting behaviour, licencing firms to pass on costs more readily than otherwise. Carl Hansen noted that lower energy prices could support a stronger recovery in household and business demand.
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated. Spare capacity in the economy is likely to dampen second-round inflationary pressure.	Anna Breman, Paul Conway, Carl Hansen and Karen Silk viewed risks as broadly balanced. Anna Breman noted that if demand remains weak, firms may have less ability to pass higher costs on to consumers and intelligence from recent business engagements point to divergence in ability to pass on cost increases. Paul Conway noted uncertainty around how quickly the recovery will broaden beyond currently strong sectors and regions. Several members observed that household consumption and investment remain weak, reflecting caution and the lingering effects of repeated shocks.

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